



2X Criteria

Reference Guide

Updated September 2025



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Overview: Taking the 2X standard setting work to the next level

Overview

2X Global and the 2X Challenge, underpinned by the 2X Criteria, have played an important role in building the field of gender lens investing (GLI). Today, hundreds of companies and investors around the world use the 2X Criteria as a global standard for gender finance. The 2X Criteria framework comprises the 2X Criteria, the Principles, and the Reference Guide. The 2X Criteria have underlying, internationally harmonised metrics integrated into IRIS+ and HIPS0, and are aligned with other standards such as the OECD DAC Gender Equality policy marker.

Changes to this Revision

This revision to the 2X Criteria Reference Guide provides updates in the following areas:

- Revisions to improve clarity and expand the FAQ sections,
- Revisions to the rules for funds portfolios,
- ESG updates for SME investments, for clarity,
- New guidance on applying the 2X Criteria to guaranties, risk sharing facilities, bonds, real estate platforms, and
- complex investment structures.

The 2X Criteria will continue to be a public good and can be used by anyone in the market to set their own targets for new business and/or portfolio targets, and self-report on their alignment with the 2X Criteria. This means, the 2X Criteria are applicable to any kind of investor or financial institution (FI), whether you are an impact investor, development finance institution, international finance institution, multilateral development bank, pension fund, endowment, asset manager, private equity firm, individual investor or other capital provider to screen and mark/ tag deals as 2X aligned for their internal reporting and tracking purposes.

The 2X Criteria can also be used by private sector companies to assess their gender-smart practices.

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Overview: The 2X Criteria within the broader 2X ecosystem



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Overview: 2X Criteria impact objectives

The 2X Criteria drive equality and empowerment in women through investments in six ways to meet a range of objectives.

- 1 as Entrepreneurs and Ownership**
 - Expand opportunities for women entrepreneurs, business owners and fund managers by providing access to finance.
 - Promote women entrepreneurs, business owners and fund managers as role models.
- 2 as Leaders**
 - Promote equal opportunity and the benefits of corporate and board diversity.
 - Promote women business leaders as role models.
- 3 as Employees**
 - Drive increased gender diversity of employees and improve women's access to quality work opportunities.
 - Support women's career advancement and development.
- 4 as Suppliers and Supply chain workers**
 - Enhance supplier and supply chain diversity.
 - Empower businesses in the supply chain which are owned, led or founded by women, or that provide access to quality work opportunities for women.
- 5 as Consumers**
 - Provide women access to products and services that enhance their wellbeing and/or drive gender equity.
- 6 via a Financial intermediary's Portfolio**
 - Indirectly support women customers or businesses which are owned, led or founded by women, provide decent work to women, or design products and services with women in mind.



Overview: 2X Criteria financial and economic benefits

Gender responsive transactions have a variety of positive financial outcomes in addition to impact outcomes.

- 1 as Entrepreneurs and Ownership**
 - Twice as much revenue per dollar invested in women-founded companies.
 - Greater capital efficiency with lower burn rates for women-led companies in the US markets.
- 2 as Leaders**
 - 27% likelihood of financial outperformance for companies with gender-diverse boards.
 - 20% higher net IRR for funds with women in senior leadership.
- 3 as Employees**
 - Increased GDP 23% over time by closing the gender gaps in workforce participation.
- 4 as Suppliers and Supply chain workers**
 - Greater resilience in managing risks including geopolitical shifts and climate-related disruptions, through gender-diverse supply chains.
 - Alignment with evolving ESG regulations - strengthening corporate accountability, reputation and stakeholder trust.
- 5 as Consumers**
 - Tap a global opportunity of US\$ 32 Trillion by better serving women as consumers, who are expected to control 75% of discretionary spending worldwide in the next five years.



How to use the 2X Criteria Reference Guide

This guidance is tailored towards investment transactions. However, companies can also assess their practices against the 2X Criteria using this guide.

- This Reference Guide **explains how to apply the 2X Criteria in various sectors, contexts and geographies**, including frequently asked questions (FAQs).
- It was first **developed in 2020 based on decisions and learnings of the 2X Challenge** Working Group¹ and was updated in May 2023, January 2024 and June 2024. This current update is effective as of September 2025.
- It is intended to be **used in conjunction with other existing 2X guidance documents**, including the [2X Criteria Threshold Tool](#), and the 2X Criteria/IRIS+ alignment guidance.
- It can be **used by any kind of investor wishing to use and apply the 2X Criteria**, whether you are an impact investor, development finance institution, international finance institution, multilateral development bank, pension fund, endowment, asset manager, private equity firm, individual investor or other capital provider.
- While much of the guidance is tailored towards investment transactions, **companies and other actors can also assess their practices against the 2X Criteria using this guide**.
- **It is not meant to be read end-to-end**. Users should utilise this as a reference guide to locate information on specific topics within each of the Criteria. The clickable index on the left can be used to navigate the document more easily.
- **It is not meant to grant investors, financial institutions and companies the ability to qualify investments for the 2X Challenge**, which is the sole prerogative of 2X Challenge participating investors and 2X Global.² Use of this guide does not imply endorsement of an investment or a company by the 2X Challenge or its members, and users that self-report their organisation as 2X aligned are not permitted to use a 2X Challenge, 2X Certification or 2X Global logo.

➤ Important note: The 2X Criteria Reference Guide is written from the perspective of an investor who uses the guide. As such, “investee” refers to either a company, fund or financial institution, whoever is the recipient of investment. Investment can mean equity, debt, mezzanine, guaranty or another form of capital.

¹ The 2X Challenge Working Group is formed of representatives from the development finance institutions and multilateral development bank participating members.

² As of 2024, any type of investor and capital providers can become official members of the 2X Challenge including private sector investors. Contact us to learn more.

2X Challenge Principles

These four principles can be considered when determining whether an investment is 2X aligned.



2X counts and values women

Gender lens investing often focuses on counting women, which may overlook opportunities to highlight or enhance women's value, both intrinsically and to investors, investees and society at large. In addition to quantitative criteria that measure how investees include women, this guidance recommends qualitative criteria that measure how investors/FIs and investees value women.



2X celebrates success while encouraging progress

The 2X Criteria can identify and promote best practices by celebrating investees that have already achieved 2X alignment. Driving change, however, will also require investors/FIs to encourage and celebrate investees willing to make long-term, resourced, and measurable commitments to empower women.



2X Criteria thresholds are aspirational but reasonable

The 2X Criteria aim to encourage investors and investees to empower women beyond the norm for their sector and geography. Setting the bar too low risks approving 'business-as-usual' transactions while setting the bar too high risks discouraging investees from trying. Setting the bar correctly, a task that will require iteration, has the potential to encourage long-term behavioural shifts.



2X Criteria and additional considerations should be viewed in business context

The 2X Criteria provide a backbone for gender investment analysis. The 2X Criteria Thresholds provide contextualisation at the nexus of country and sector. Investors may choose to consider additional factors beyond the 2X Criteria based on gender analysis in the specific context. Detailed guidance and practical examples are included in the subsequent pages.

For any efforts to count under the 2X Criteria, the level of ambition needs to be above the legal minimum (i.e. beyond compliance).

2X Criteria

Updated September 2025





2X Criteria: Key Developments

Key developments and changes from the previous 2X Criteria developed in 2018.

The 2X Criteria were developed in 2018 through a co-creation process by the founding members of the 2X Challenge, who were seven Development Finance Institutions (DFIs) from the G7 countries. The aim was to create a common framework that can be applied by all DFIs and MDBs to assess, structure and monitor investments that advance gender equity. Between 2018 and 2023 the 2X Criteria were widely adopted by a wide range of investors and companies.

In 2023, 2X Global engaged in a global co-creation process to update the 2X Criteria which included a review of existing gender impact monitoring and management frameworks, literature on GLI evidence base looking closely at 2X Challenge investments from 2018 to 2023, global gender data benchmarking, targeted surveys, co-creation workshops and expert interviews including 2X Global members and a diverse set of stakeholders across global markets, collective reflection from the 2X Challenge Working Group and a public comment period.

From these co-creation sessions, the important updates to the [2X Criteria](#) were made in January 2024. The Annex to this Reference Guide provides more information on the key changes made.

Alignment to the 2X Criteria now requires all investees to meet the minimum requirements for Basic 2X ESG, Governance & Accountability and at least 1 Criteria, and provide a formal, time-bound commitment to meeting another criterion.

This Reference Guide aims to provide guidance on how to use the 2X Criteria when evaluating investments. While much of the guidance is tailored towards investment transactions, independent companies and other actors can also assess their practices against the 2X Criteria using this guide.



2X Criteria: Overview

To align with the 2X Criteria, an investment must meet:

- a. Basic 2X ESG,
- b. Governance and Accountability,¹ and
- c. Two Criteria; **or** one Criteria and provide a time-bound commitment to meet a second Criteria.^{2, 3}

Basic 2X ESG ¹		
Governance and Accountability (gender strategic action(s), management system(s) and data) ¹		
2 Criteria (separate standards for companies, financial institutions, and funds appear on subsequent pages)		
Direct Criteria	1	Entrepreneurs & Ownership 1A. Share of women ownership _____ 51% or 1B. Share of women founders _____ 50%
	2	Leadership 2A. Share of women in senior management _____ Varies⁴ or 2B. Share of women on the board or investment committee _____ Varies⁴
	3	Employment Share of women in the workforce⁵ _____ Varies⁴ and One “quality” Employment indicator⁶ beyond compliance _____ Yes/No
	4	Supply Chain Commitment to women in supply chain _____ Yes/No and One “quality” Supply Chain indicator⁶ beyond compliance _____ Yes/No
	5	Products and Services Product(s) or service(s) enhance(s) wellbeing of women or girls _____ Yes/No and/or drives gender equity

Portfolio

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Financial Institutions

percent of the investor’s loan proceeds or the FI’s portfolio invested in businesses that meet one 2X Criteria **or** lending to individual women

- 30% if lending to businesses; or
- 50% if lending to individuals

Funds: Percent of portfolio companies that meet one 2X Criteria:

- 30% at origination; or
- 50% at exit

¹ If an investee does not meet this requirement, the investor can agree with the investee a formal time-bound action item to meet this within 2 years, with follow-up and monitoring from the investor.

² If an investee meets two Criteria, there is no requirement to commit to meet a third Criteria. See General [FAQ 9](#) for guidance on making commitments to meet the 2X Criteria.

³ Separate standards for companies, financial intermediaries, and funds appear on subsequent pages.

⁴ For direct investments, thresholds vary based on the sector and country. The thresholds can be found [here](#).

⁵ At least 10% of leadership should consist of women in order to meet the Employment Criteria, to avoid dissonance with the Leadership Criteria. See Employment [FAQ 3](#) for more guidance.

⁶ Includes diversity practices, pay equity, care support, health & wellbeing and GBVH (further details provided).

2X Criteria: Basic 2X ESG, Governance and Accountability

Investments must meet Basic 2X ESG (including safeguarding) and minimum Governance & Accountability requirements to be 2X aligned.

Basic 2X ESG

Basic 2X ESG refers to the basic assessment of an investee’s fundamental environmental and social (E&S) standards that is required for 2X alignment. The investee’s ESG performance should be a factor when assessing 2X alignment to confirm that the investee is not contributing to negative impacts on women.

Environmental and social risk management according to international standards form the foundation of Basic 2X ESG. Particular attention must be paid to gender risks, including gender-based violence and harassment (GBVH) in advance of qualifying any investment under the 2X Criteria.

Further guidance is provided [here](#).

Governance & Accountability

Intentionality has always been a key principle of the 2X Criteria and is now codified as Governance & Accountability (G&A). The minimum Governance & Accountability to be 2X aligned include at least:

- One indicator in Strategic action,
- One indicator in Management systems, and
- One gender data requirement.

Further guidance is provided [here](#).

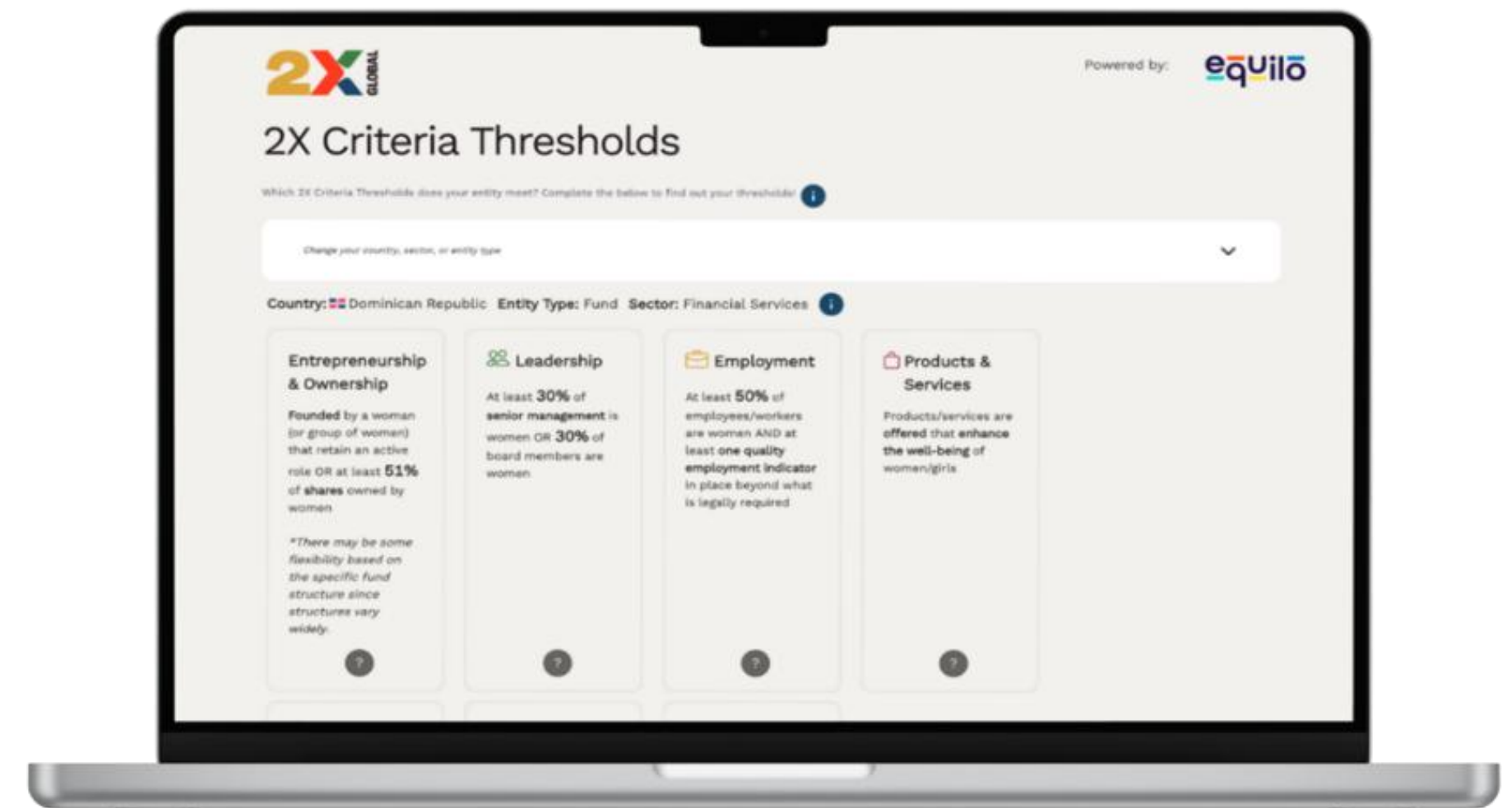
2X Criteria: Country and sector specific thresholds

The 2X Criteria Thresholds Tool provides the variable thresholds for the Leadership and Employment Criteria. These thresholds are determined based on respective country and sector contexts, based on the national benchmark for women's participation in the workforce, in senior management and on the board across the range of sectors. The minimum threshold is 25% for employment and 30% for leadership, and the maximum threshold is 45% for both.

The sector classification used follows the International Standard Industrial Classification of All Economic Activities (ISIC, used globally) and the NACE1 classification (used in the European Community).

Guidance on the approach to be used for investments or entities that sit across different sectors or countries is provided [here](#).

All underlying sources and the methodology for benchmarking is published on the [2X Challenge website](#).



¹ Nomenclature statistique des activités économiques dans la Communauté européenne.



2X Criteria: Companies

Investments into companies, or companies themselves, align with the 2X Criteria if they meet:

- a. Basic 2X ESG requirements,
- b. Governance & Accountability requirements,¹ and
- c. Two Direct 2X Criteria; **or** one 2X Direct Criteria and provide a time-bound commitment to meet a second 2X Direct Criteria.²

Basic 2X ESG ¹		
Governance and Accountability (gender strategic action(s), management system(s) and data) ¹		
2 Direct Criteria		
Direct Criteria	1	Entrepreneurs & Ownership 1A. Share of women ownership_____ 51% or 1B. Share of women founders_____ 50%
	2	Leadership 2A. Share of women in senior management_____ Varies³ or 2B. Share of women on the board or investment committee_____ Varies³
	3	Employment Share of women in the workforce⁴_____ Varies³ and One “quality” Employment indicator⁵ beyond compliance_____ Yes/No
	4	Supply Chain Commitment to women in supply chain_____ Yes/No and One “quality” Supply Chain indicator⁵ beyond compliance_____ Yes/No
	5	Products and Services Product(s) or service(s) enhance(s) wellbeing of women or girls_____ Yes/No and/or drives gender equity

¹ If an investee does not meet this requirement, the investor can agree with the investee a formal time-bound action item to meet this within 2 years, with follow-up and monitoring from the investor.

² If a company meets two Criteria, there is no requirement to commit to meet a third Criteria. See General [FAQ 9](#) for guidance on making commitments to meet the 2X Criteria.

³ For direct investments, thresholds vary based on the sector and country. The thresholds can be found [here](#).

⁴ At least 10% of leadership should consist of women in order to meet the Employment Criteria, to avoid dissonance with the Leadership Criteria. See Employment [FAQ 3](#) for more guidance.

⁵ A quality indicator includes diversity practices, pay equity, care support, health and wellbeing and gender-based violence and harassment. See Employment [FAQ 4](#) for more.



2X Criteria: Financial Institutions (FIs)

Investments into financial institutions (FI) or FIs themselves align with the 2X Criteria if the FI meets:

- a. Basic 2X ESG requirements,¹
- b. Governance & Accountability requirements, and
- c. One Direct 2X Criteria **and** the Portfolio Criteria (or a time-bound commitment).²

Basic 2X ESG ^{1,3}		
Governance and Accountability (gender strategic action(s), management system(s) and data) ³		
One Direct Criteria & the Portfolio Criteria		
Direct Criteria	1	Entrepreneurs & Ownership 1A. Share of women ownership _____ 51% or 1B. Share of women founders _____ 50%
	2	Leadership 2A. Share of women in senior management _____ Varies⁴ or 2B. Share of women on the board or investment committee _____ Varies⁴
	3	Employment Share of women in the workforce⁵ _____ Varies⁴ and One “quality” Employment indicator⁶ beyond compliance _____ Yes/No
	4	Supply Chain Commitment to women in supply chain _____ Yes/No and One “quality” Supply Chain indicator⁶ beyond compliance _____ Yes/No
	5	Products and Services Product(s) or service(s) enhance(s) wellbeing of women or girls _____ Yes/No and/or drives gender equity

Portfolio

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Financial Institutions:
percent of the investor’s
loan proceeds or the FI’s
portfolio invested in
businesses that meet one
2X Criteria **or** lending to
individual women
• 30% if lending to
businesses; or
• 50% if lending to
individuals.^{7,8}

¹ An FI need not screen each individual borrower (or client, or customer) for gender risks. Rather, the expectation is that the FI has an environmental and social management system (ESMS) in place that assesses social risks. Best practice is for FIs to apply a gender lens to the social risk assessment in the ESMS to assess gender-differentiated risks in its portfolio. See [here](#) for more information.

² Either the Direct Criteria or the Portfolio Criteria may be fulfilled through a time-bound commitment, but not both.

³ If an investee does not meet this requirement, the investor can agree with the investee a formal time-bound action item to meet this within 2 years, with follow-up and monitoring from the investor.

⁴ For direct investments, thresholds vary based on the sector and country. The thresholds can be found [here](#). Simplified thresholds apply when assessing an FI’s portfolio (see subsequent pages).

⁵ At least 10% of leadership should consist of women in order to meet the Employment Criteria, to avoid dissonance with the Leadership Criteria. See Employment [FAQ 3](#) for more guidance.

⁶ Includes diversity practices, pay equity, care support, health and wellbeing and GBVH (further details provided).

⁷ This threshold can apply to the full portfolio or a segment of the FI’s portfolio, such as the SME lending segment.

⁸ If use of proceeds is stipulated in a legal document, the portfolio threshold counts as “met” not “commitment”, allowing the Direct Criteria to be a commitment.



2X Criteria: Portfolio Criteria

For an FI to meet the 2X Criteria at the portfolio level, the percentage of the investor loan proceeds or percentage of the FI’s portfolio must meet **one Criteria**. Portfolio entities **need not meet Basic 2X ESG or Governance and Accountability requirements**. In addition:

- FIs must have an environmental and social management system in place, which also addresses gender-based violence and harassment risk at portfolio level (Basic 2X ESG).
- At the Portfolio level, FIs may use the country-sector specific thresholds or simplified thresholds as it appears below. Best practice is to use the relevant country-sector threshold when the **portfolio is concentrated >75% in one sector**.
- If use of proceeds is stipulated in a legal document, the portfolio threshold counts as “met” not “commitment”, allowing the Direct Criteria to be a commitment.

Direct Criteria	1	Entrepreneurs & Ownership	1A. Share of women ownership_____ 51% or 1B. Share of women founders_____ 50%	<table><tr><th colspan="3">Employment Share of women in workforce</th></tr><tr><th>Grp</th><th>Sector</th><th>%</th></tr><tr><td rowspan="3">Low</td><td>Infrastructure</td><td rowspan="3">25%</td></tr><tr><td>Power</td></tr><tr><td>Telecommunications</td></tr><tr><td>Mid</td><td>Financial Services Manufacturing – Heavy⁴ Agribusiness & Food Professional Services</td><td>35%</td></tr><tr><td>High</td><td>Healthcare Education Customer Services Manufacturing - Light⁴</td><td>45%</td></tr></table>	Employment Share of women in workforce			Grp	Sector	%	Low	Infrastructure	25%	Power	Telecommunications	Mid	Financial Services Manufacturing – Heavy ⁴ Agribusiness & Food Professional Services	35%	High	Healthcare Education Customer Services Manufacturing - Light ⁴	45%
	Employment Share of women in workforce																				
	Grp	Sector	%																		
	Low	Infrastructure	25%																		
		Power																			
Telecommunications																					
Mid	Financial Services Manufacturing – Heavy ⁴ Agribusiness & Food Professional Services	35%																			
High	Healthcare Education Customer Services Manufacturing - Light ⁴	45%																			
2	Leadership	2A. Share of women in senior management_____ 30% [40%] ¹ or 2B. Share of women on the board or investment committee_____ 30% [40%] ¹																			
3	Employment	Share of women in the workforce ² _____ 25%-45% and One “quality” Employment indicator ³ beyond compliance_____ Yes/No																			
4	Supply Chain	Commitment to women in supply chain_____ Yes/No and One “quality” Supply Chain indicator ³ beyond compliance_____ Yes/No																			
5	Products and Services	Product(s) or service(s) enhance(s) wellbeing of women or girls_____ Yes/No and/or drives gender equity																			

¹ For EU based entities, the leadership threshold for FI Portfolios is 40%. For all other regions, it is 30%, unless the country has a legal directive requiring a higher proportion of women in leadership positions.

² At least 10% of leadership should consist of women in order to meet the Employment Criteria, to avoid dissonance with the Leadership Criteria. See Employment [FAQ 3](#) for more guidance.

³ Includes diversity practices, pay equity, care support, health and wellbeing and GBVH (further details provided).

⁴ In general, industries which have an ISIC code Section C, Divisions 10 - 18 or Divisions 31 – 33 or a NACE code C10-C18 count as light manufacturing; industries with an ISIC code Section C, Divisions 27, 28, 29, 30 or a NACE code C19-C32 count as heavy manufacturing.



2X Criteria: Funds

Funds, or investments into funds align with the 2X Criteria if the fund meets:

- a. Basic 2X ESG requirements;¹
- b. Governance & Accountability requirements; and
- c. One Direct 2X Criteria at the fund manager level **and** the Portfolio Criteria (or a time-bound commitment).²

Basic 2X ESG ¹		
Governance and Accountability (gender strategic action(s), management system(s) and data) ¹		
One Direct Criteria & the Portfolio Criteria		
Direct Criteria	1	Entrepreneurs & Ownership 1A. Share of women ownership _____ 51% or 1B. Share of women founders _____ 50%
	2	Leadership 2A. Share of women in senior management³ _____ Varies⁴ or 2B. Share of women on the board or investment committee _____ Varies⁴
	3	Employment Share of women in the workforce⁵ _____ Varies⁴ and One “quality” Employment indicator⁶ beyond compliance _____ Yes/No
	4	Supply Chain Commitment to women in supply chain _____ Yes/No and One “quality” Supply Chain indicator⁶ beyond compliance _____ Yes/No
	5	Products and Services Product(s) or service(s) enhance(s) wellbeing of women or girls _____ Yes/No and/or drives gender equity

Portfolio

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Funds: Percent of portfolio companies that meet one 2X Criteria:

- 30% at origination; or
- 50% at exit.^{7, 8, 9}

¹ If an investee does not meet this requirement, the investor can agree with the investee a formal time-bound action item to meet this within 2 years, with follow-up and monitoring from the investor.

² Either the institutional level Criteria or the Portfolio Criteria may be a time-bound commitment to meet the 2X Criteria, but not both.

³ Typically the leadership of the particular fund should be assessed, rather than the full fund manager. See Leadership [FAQ 3](#) for more information.

⁴ For direct investments, thresholds vary based on the sector and country.

⁵ At least 10% of leadership should consist of women in order to meet the Employment Criteria, to avoid dissonance with the Leadership Criteria. See Employment [FAQ 3](#) for more guidance.

⁶ Includes diversity practices, pay equity, care support, health and wellbeing and GBVH (further details provided).

⁷ Funds where at least 50% of the portfolio comprises investments into 'complex structures', can apply a lower threshold of 30% of investments meet one 2X Criteria by exit. This is typically investments into greenfield infrastructure, forestry, real estate. See the [complex structures](#) chapter for more information.

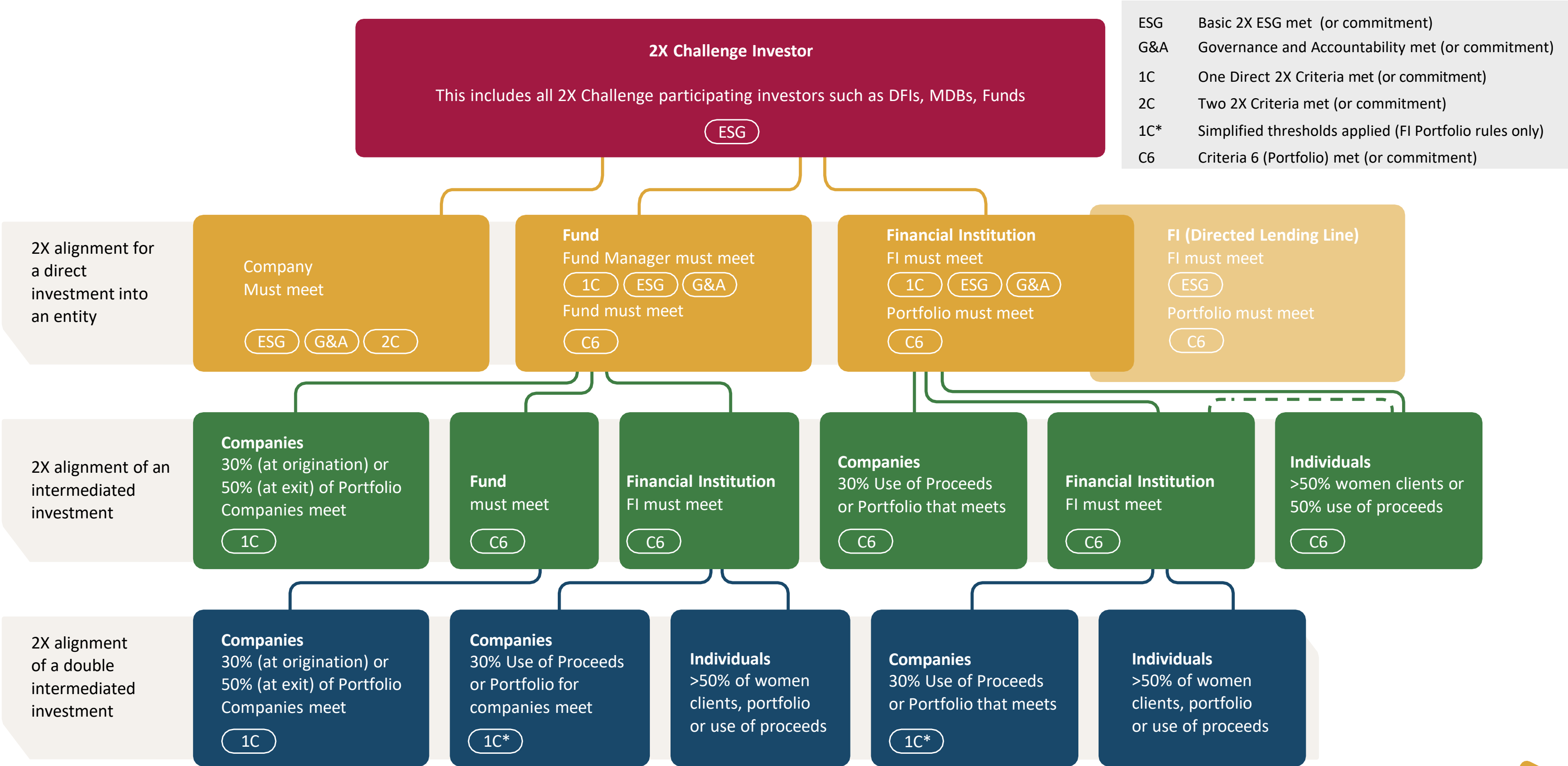
⁸ See Portfolio [FAQ 7](#) For guidance on the timing of 2X assessment in relation to origination and exit.

⁹ If use of proceeds is stipulated in a legal document, the portfolio threshold counts as “met” not “commitment”, allowing the Direct Criteria to be a commitment.



Pathways for Alignment

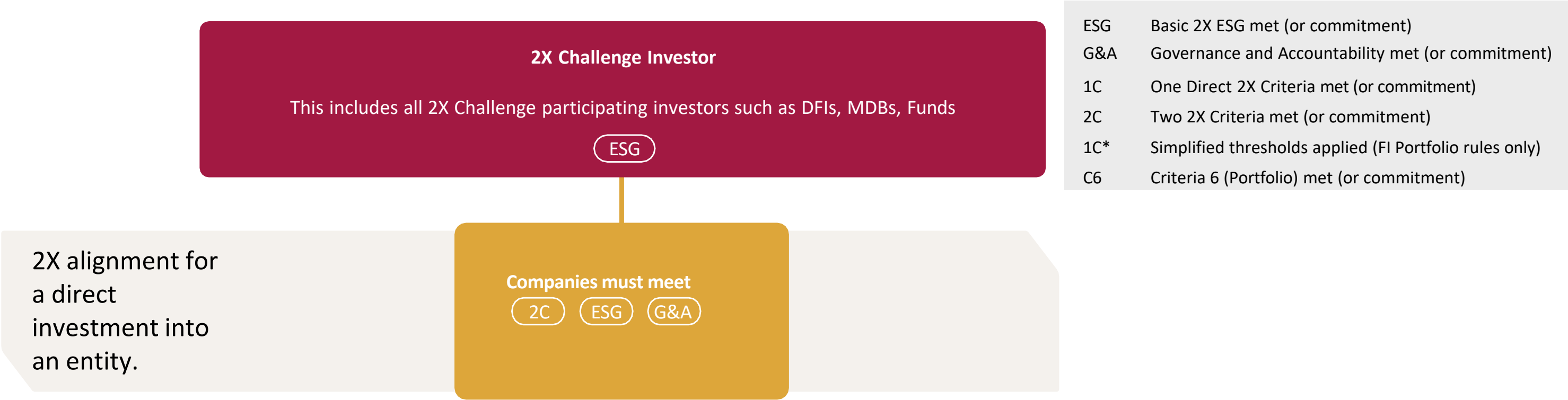
Below is an illustration of how direct, intermediated and double intermediated deals may be considered for alignment with the 2X Criteria. The Criteria in each box represent what must be met or committed to in order to be 2X aligned.





Pathways for Alignment: Companies

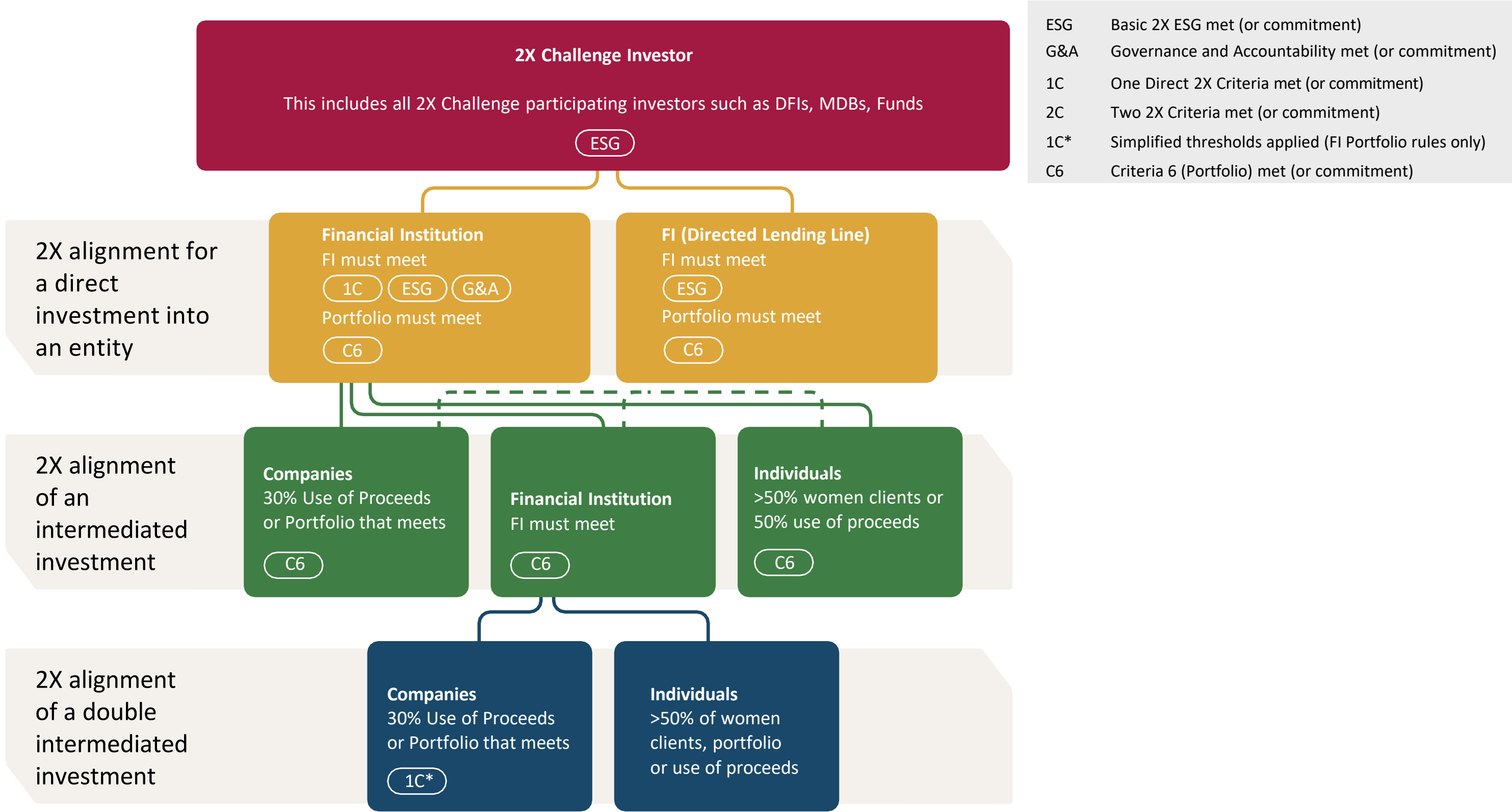
Below is an illustration of how companies and direct investments can align with the 2X Criteria. The Criteria in each box represent what must be met or committed to in order to be 2X aligned.





Pathways for Alignment: Financial Institutions

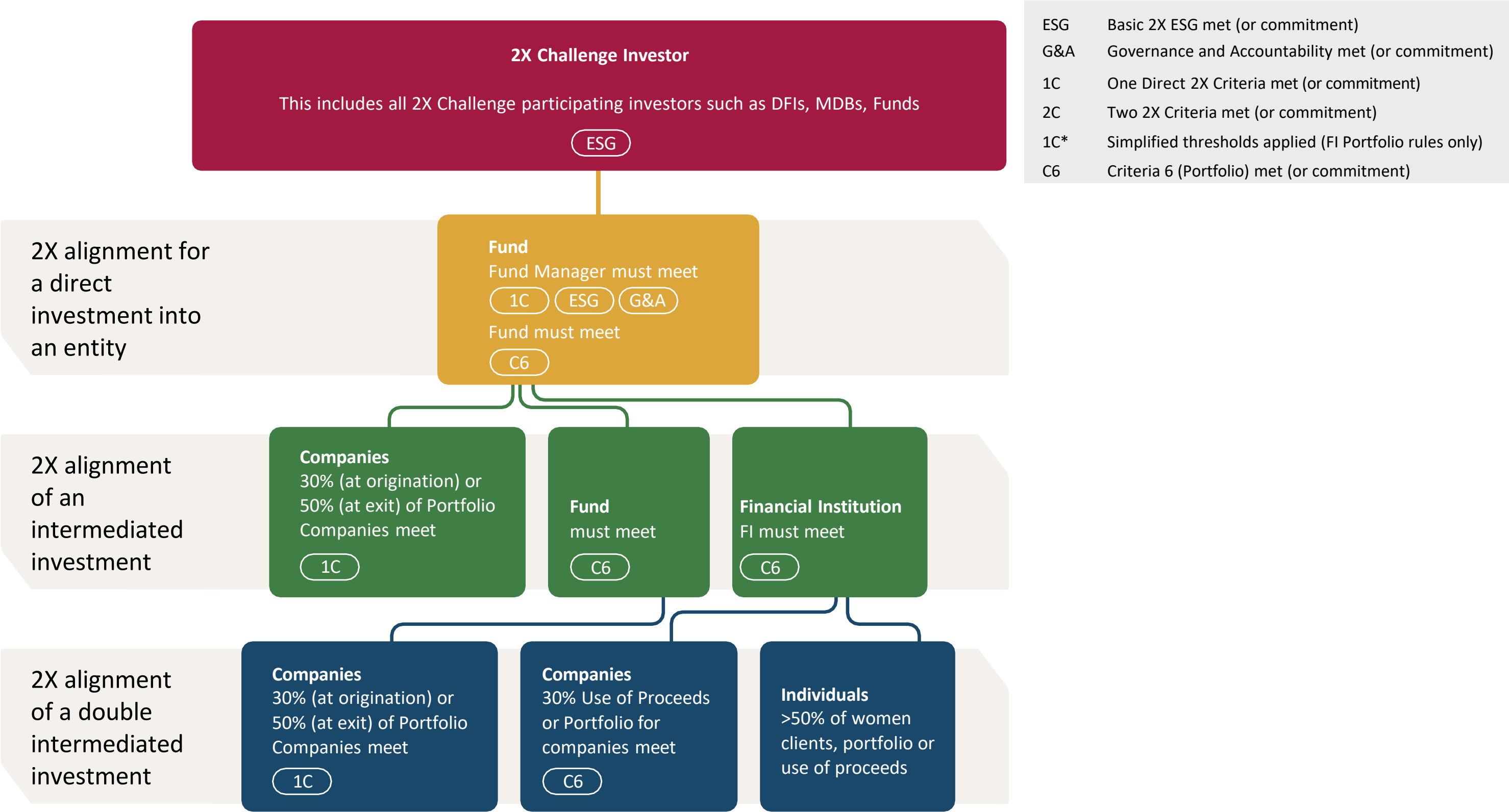
Below is an illustration of how intermediated and double intermediated transactions can align with the 2X Criteria. The Criteria in each box represent what must be met or committed to in order to be 2X aligned.





Pathways for Alignment: Funds

Below is an illustration of how funds may be aligned with the 2X Criteria. The Criteria in each box represent what must be met or committed to in order to be 2X aligned.



2X Criteria: Frequently Asked Questions

These questions were developed with the 2X Challenge Working Group as a guide to evaluate investments on their alignment with the 2X Criteria. Click on the questions below to read the detailed guidance.

1 When is 2X alignment assessed?

2 What types of investee commitments can make an investment 2X aligned?

3 What thresholds should be used if an investee sits across multiple sectors/countries?

4 How to define a financial institution, especially in relation to fintechs?

5 What is the difference between being 2X aligned and 2X Challenge qualified?

6 What is the difference between being 2X Challenge qualified and 2X Certified?

7 What is a suitable timeframe for making a Commitment to meet a 2X Criteria?

8 What should I do if I made a commitment to meet the previous 2X Criteria?

1. When is 2X alignment assessed?

Investment alignment with the 2X Criteria can be assessed at any point during the life of the investment.¹ Each investment must be individually assessed by the investor/FI.

Alignment with the 2X Criteria can be achieved by meeting the Basic 2X ESG (including safeguarding) and minimum Governance & Accountability requirements², **AND**

- Meet two 2X Criteria,³ OR
- Meet one 2X Criteria and make a time-bound commitment to meet a second 2X Criteria.³

➤ **Monitoring:** Investors and FIs are expected to monitor performance against the 2X Criteria at least every 2 years over the life of the investment and proactively support investees to maintain or exceed the threshold(s).

Illustrative examples:



Example: An investor/FI identifies a new investee that is 2X aligned based on Criteria 2 (Leadership). The investee makes a time-bound commitment to meeting the Employment threshold within 3 years, showing interim progress within 2 years.

As good practice, the investor/FI monitors adherence to the Leadership threshold over time, monitors progress towards the Employment threshold target and develops a gender action plan to support additional efforts to support women's career advancement.



Example: An investor/FI identifies an existing investee that meets Criteria 5 (Products & Services). This investee makes a clear and resourced commitment to meet Criteria 2 (Leadership) within 24 months of the investor/FI's investment. The Investor/FI identifies the transaction as aligned with the 2X Criteria and monitors progress on the 2X Criteria annually.

¹ An investment (i.e. a specific deal), an investee (can be a company, fund or FI) or a product, instrument or project is 2X aligned if it meets the 2X Criteria as per the 2X Criteria Reference Guide. This is not the same as being 2X Certified or qualifying under the 2X Challenge.

² In cases where the investee does not meet this requirement yet, the investor can agree on a formal time-bound action item to meet this requirement within 2 years, along with follow-up/monitoring from the investor.

³ For funds and FIs, this means meeting one Direct Criteria (Criteria 1-5) at the FI/fund manager level and meeting the Portfolio Criteria.

2. What types of commitments make an investment 2X aligned?

An investee must meet:

- Basic 2X ESG and Governance & Accountability requirements; **AND**
- Meet two 2X Criteria¹; **OR**
- Meet one 2X Criteria and make a time-bound commitment to meet a second 2X Criteria.

➤ **Good Practice:** Support investees to meet their commitments through technical assistance.

Commitments should be written and include a mix of specific targets, action items with roles and responsibilities, resource allocation, and a monitoring, evaluation and learning (MEL) plan which can be client-led or investor-led.¹ These commitments can be used as a tool to engage with new investees and 'nudge' existing investees to maintain or make organisational shifts that benefit women.

Considerations: Investors/FIs should exercise discretion to assess the quality, clarity, and 'measurability' of commitments.

Minimum Expectations for 2X Challenge qualified investment: Monitoring is required and focuses on ensuring the requirements and thresholds are maintained, and time-bound commitments are met. Investors will require evidence that sufficient progress has been made during the time span of the commitment. If Commitments are not met or progressed towards, the investment will be de-qualified from the 2X Challenge.



Example: In addition to already meeting Criteria 1 (Entrepreneurship & Ownership), the investee commits to increasing the share of women employees in its operations to meet the 2X country-sector threshold with:

- Clear time-bound targets (final and interim)
- Action items (including revising HR policies for improvements on gender equity and inclusion)
- Monitoring system: the investor/FI considers the transaction as 2X aligned and conducts annual monitoring.



Example: An investee makes a public statement around the importance of diversity and the role of gender diversity on the Board of Directors. This does not fulfil the requirement for a clear and measurable commitment, therefore the investee is not aligned with the 2X Criteria.

¹ Commitments can be codified in documents such as a side letter, gender action plan with senior level oversight, memorandum of understanding, or a similar document deemed appropriate by the investee and the investor or FI. These documents can be binding or non-binding at the Investor's or FI's discretion.

2. What types of commitments make an investment 2X aligned? (cont.)

Illustrative examples:



Example: A healthcare investee unwittingly meets Criteria 2 (40% of senior leaders are women) and not any other Criteria. The company is identified as 2X aligned if it commits to meeting an additional 2X Criteria in a determined future time, provided it also meets the Governance & Accountability minimum requirements.

As good practice, the investor identified why the investee was not meeting other criteria and further supported the investee in taking a gender lens by introducing clear targets on gender diversity and more structured hiring processes.



Example: A fund meets Criteria 6 (Portfolio) by committing to have 50% of portfolio companies 2X aligned by the end of the fund life. The fund manager also makes a time-bound commitment to meet the Leadership Criteria within a reasonable timeframe, including an interim target after 2 years. However, the fund manager does not yet fulfil the Governance & Accountability.

(G&A) minimum requirements. The fund manager commits to meet the G&A requirements within 2 years and documents this in an MOU. Based on this commitment with a maximum two-year timeframe, the investment counts as 2X aligned.



Example: One investor's investment was aligned under Criteria 1 (Entrepreneurship & Ownership) as it was founded by a woman who still plays an active role in the company. However, the company is unwilling to make a time-bound commitment to a second 2X Criteria, and so the investment is not 2X aligned.

3. What thresholds should be used if an investee sits across multiple sectors and countries?

The 2X Criteria Thresholds for Leadership and Employment are based on the latest benchmarking data at the nexus of country and sector (see the 2X Criteria thresholds here: 2xchallenge.org/2xcriteria).

Sectors: When having to choose between multiple sectors, the investor/FI can choose to aim for the 'primary' sector that the investment maps to, or the one with the higher threshold, or a blend if it truly feels like it fits multiple sectors. Meanwhile, funds should be assessed for the Financial and Insurance threshold (at the fund manager level).

Countries: When having to choose between multiple countries, the investor/FI can choose between three approaches to determine which threshold to apply, based on what is most appropriate for the particular context:

1. Select the primary country that the investment or highest use of proceeds maps to,
2. Select the country with the higher threshold, or
3. Use the individual thresholds for each country where the investee operates.

If using either approach 1 or approach 2, the leadership or employee count should be in aggregate across all of the operating countries, i.e leadership or employee numbers from all countries should be aggregated and compared to the threshold that is highest among those countries.

In the context of funds, the fund manager should be assessed based on the country where the fund manager team is based and employed (not where the fund is domiciled), whilst portfolio companies of funds should be assessed based on the country of their operations.

For companies who are headquartered in one country but operate and serve another, Leadership should be assessed where the headquarters are located, and Employment should be assessed based on where the majority of full-time employees are based.

3. What thresholds should be used if an investee sits across multiple sectors and countries? (cont.)

Illustrative examples:



Example: An investor/FI is determining 2X alignment of a fund investing in the MENA region, established in Mauritius. The team has its office and a majority (75%) of their investments in Egypt. The investor/FI uses 2X Criteria thresholds for financial services in Egypt to determine 2X alignment at the fund manager level.



Example: A fund manager is domiciled in Mauritius, the team is based in the UK and investing in East Africa. Since the team is based in the UK and employed there, the UK/financial services threshold should be used for the Leadership and Employment Criteria at the fund manager level.



Example: An investee provides educational content to new mothers via a cellphone application. Women comprise 35% of the company's leadership team. The investee classified itself in the information and communication sector, but the investor/FI decides it is more appropriate to map it to the education sector (higher threshold) and uses the higher threshold to assess alignment. The Investor/FI determines it is not 2X aligned.

4. How to define a financial institution, especially in relation to fintechs?

Financial institutions include commercial banks, savings and loan associations, microfinance institutions, non-bank financial institutions, insurance providers, and financial technology companies (fintechs).

As the finance sector evolves and fintechs emerge to offer financial services, at times it is not clear whether an entity should be classified as a Financial Institution or a Company.

For the purposes of applying the 2X Criteria, a simple definition is used:

- If the entity **has a portfolio of either individuals or companies to which it has extended loans, made investments or has other financial exposure**, it is considered a financial institution and the 2X Criteria rules for FIs apply. For example, this can include fintech companies offering banking services, asset loans to SMEs or microloans to individuals, or insurance companies offering insurance products to individuals or companies.
- If the entity **does not have a portfolio of individuals or companies**, it is considered to be a Company and the 2X Criteria rules for companies apply. This can include fintechs such as payment platforms, or insurance service providers (that do not offer insurance products).
- If an entity is **hybrid**, for example **offers a payment platform and provides** loans, the **largest** business segment by revenue should be considered as the primary entity category. Investor discretion is advised to select the entity type that is the most appropriate for the context. If it is determined that the entity should be classified as a FI, only the FI portfolio such as the loan book should be considered for the purposes of the Portfolio Criteria; any customers who are not considered to be in the portfolio, such as payment platform customers, should not be included.

It is recognised that there are many different business models used by the expanding fintech sector, which may lead to some corner cases. Users of the 2X Criteria are able to reach out to the 2X Challenge team for case-by-case support.



5. What is the difference between being 2X aligned and 2X Challenge qualified?

An investment (i.e. a specific deal), an investee, a product, instrument or project is **2X aligned** if it meets the 2X Criteria as per the 2X Criteria Reference Guide (see FAQ '[When is 2X alignment assessed?](#)'). As a public good and the global standard in gender finance, actors can use the 2X Criteria to self-report on alignment.

Meanwhile, an investment is **2X Challenge qualified** if it is officially recognised under the 2X Challenge and counted towards the collective capital target. To be officially qualified, a 2X Challenge Participating Investor must qualify the investment with the 2X Challenge.

An investee cannot qualify without investment from a 2X Challenge Participating Investor. Participating Investors can be found [here](#).

What is the 2X Challenge?

The [2X Challenge](#) was launched at the G7 Summit 2018 as a commitment by DFIs to collectively mobilise US\$3 billion in private sector investments in developing country markets over three years. These investments provide women with improved access to leadership opportunities, quality employment, finance, enterprise support, and products and services that enhance economic participation and access to opportunity. The original target was exceeded threefold, with the DFIs mobilising US\$11 Billion. This sent an unprecedented global market signal, demonstrating the business and impact case for gender finance.

At the G7 Summit 2021, 20 global DFIs and MDBs committed to a new target of US\$15 billion for the period 2021-2022. This second round of the 2X Challenge has again exceeded its target and collectively raised gender lens investments totalling US\$16 billion. The 2X Challenge has played a critical role in building the field of gender lens investing, mobilising a total of US\$34 billion to support gender equality and women's economic empowerment since 2018 (2018-2023).

The [G7 Leaders' Summit 2024](#) in Italy welcomed the third iteration of the 2X Challenge, from 2024-2027. This new commitment by Development and Multilateral Finance Institutions to invest at least US\$20 billion over three years to advance measurable changes and financing directed to women's empowerment. They also called upon other public and private investors to join the 2X Challenge.

We invite capital providers to join us in this bold new collective commitment. [Find out more here](#).



6. What is the difference between being 2X Challenge qualified and 2X Certified?

2X Challenge qualified investees are entities that meet the 2X Criteria and receive investment by a 2X Challenge Participating Investor that is formally qualified in the 2X Challenge and reported to 2X Global. 2X Challenge qualified investments are published in the database on the [2X Challenge webpage](#), listing investment information and data on how they meet the 2X Criteria. Qualified investees under the 2024-2027 2X Challenge receive access to dedicated logos, a visibility and communications package, publicity and marketing opportunities and a gender action support package.

To be 2X Certified is to receive formal recognition that an entity has been awarded a 2X Certification level, reflecting its active implementation of gender-smart practices. The certification goes beyond compliance, rewarding inclusive strategies that drive measurable gender equity and align with global best practices. Learn more about 2X Certification [here](#).

7. What is the suitable timeframe for making a Commitment to meet a 2X Criteria?

Commitments to meet a second 2X Criteria, Basic 2X ESG and Governance and Accountability were introduced to the 2X Criteria in January 2024. It is now possible for entities to be 2X aligned if they do not currently meet them requirements, through making a time-bound commitment to do so.

Commitments to Basic 2X ESG and Governance and Accountability requirements: Commitments to both requirements are permitted (including by the same entity) and must be met within a 2 year timeframe.

It is expected that commitments will apply to selected components of the Governance and Accountability or Basic 2X ESG requirements, rather than all components, but in cases where the investor is comfortable that this is achievable it may be permitted. Best practice is for investors to document commitments in an environmental and social action plan (ESAP) which is legally binding, at the time of the transaction. Alternative forms of documentation such as in a memorandum of understanding (MoU) are permissible.

Note: investors are required to monitor that the commitment is fulfilled within the 2-year timeframe. If they are not achieved, the investment will no longer be 2X aligned.

Commitments to a 2X Criteria: Time-bound commitments to meet one 2X Criteria are permitted. The timeframe permitted is variable, investors are able to apply discretion to agree a timeframe with the entity. It is expected that this be between 2 and 5 years, depending on the Criteria selected and the level of change required.

Note: investors are required to monitor that sufficient progress is being made towards meeting the commitment.

For **funds** seeking to align to the Portfolio Criteria, commitments by the Portfolio Companies to meet the requirements are only permitted if the fund opts for the target of 50% of Portfolio companies meeting one 2X Criteria at exit. If the fund opts for the target of 30% of Portfolio companies meeting the requirements at origination, this requires that the Portfolio Company already meets the requirements, therefore commitments are not possible.

Best practice is that commitments are written and include specific targets, action items with roles and responsibilities, resources allocation, and a monitoring plan. These commitments can be used as a tool to engage with new investees and 'nudge' existing investees to maintain or make organisational shifts that benefit women. Investors/FIs can further support their investees to meet these commitments through technical assistance.



8. What should I do if I made a commitment to meet the previous 2X Criteria

There is no requirement for investments into entities that were qualified under the 2X Challenge during 2018-2023 to meet the updated 2X Criteria, which came into effect in January 2024. Investors may however, at their discretion, request this. All entities seeking to attract future capital from a 2X Challenge participating investor must meet the updated 2X Criteria.

Basic 2X ESG

Updated September 2025





Basic 2X ESG: Overview and Context

Basic 2X ESG refers to the basic assessment of an investee’s fundamental environmental and social (E&S) standards that is required for 2X alignment. Particular attention is paid to their safeguarding measures against gender-based violence and harassment (GBVH). The investee’s ESG performance should be a factor when assessing 2X alignment to confirm that the investee is not contributing to negative impacts on women.

Environmental & social risk management (E&S) according to international standards represent the foundation. The focus in the Basic 2X ESG Requirements is primarily on environmental and social, as the most relevant aspects to gender lens investing and the nexus of gender and the environment. Particular attention must be paid to gender risks, including gender-based violence and harassment (GBVH) in advance of qualifying any investment under the 2X Criteria. The governance aspect is considered in the Governance and Accountability requirements, rather than the Basic 2X ESG requirements, and relates primarily to the governance of the entities approach to gender.

In practice this means that in advance of any investor qualifying an investment as 2X aligned, it is considered a prerequisite to ensure the following **three** elements are met:

- Activities under the [Harmonised EDFI Exclusion List](#) and [Harmonised EDFI Fossil Fuel Exclusion List](#) are not financed.
- Investee has adequate ESG policy and process in place, of which there are four sub-requirements:
 - ESG policy and process in place
 - Alignment to one International Standard on responsible business practises
 - ILO core labour standards, and
 - Person responsible for ESG and/or labour rights.
- Investee has adequate GBVH safeguarding systems to be in place.

When significant gaps or chronic underperformance in 2X ESG areas are identified, investor should exercise judgment on alignment based on severity of the risk and the investee’s commitment to change.

Where the investee or entity does not meet the Basic 2X ESG requirement yet, the investor can agree on a formal time-bound action plan to introduce/refine such systems through the incorporation of this action in the ESAP and actioned within 2 years of close.



Basic 2X ESG: Exclusion List Adherence

2X aligned entities and investments must not be involved in or investing in any of the following Excluded Activities,¹ and the [Harmonised EDFI Exclusion List](#), and this must be confirmed by due diligence. This includes restrictions on the use of proceeds by financial intermediaries for on-lending to only entities that are not involved in any of the following:

1. Forced labour,
2. Activities or materials deemed illegal under country laws, regulations, international conventions, agreements, or subject to international phase-outs or bans,
3. Child labour,
4. Pornography and/or prostitution,
5. Racist and/or anti-democratic media,
6. Any of the following product(s) form a substantial² part of your business/financed activities: alcoholic beverages (except beer or wine); tobacco; weapons and munitions; gambling, casinos and equivalent enterprises,
7. Activities or materials deemed illegal,
8. Cross-border trade in waste and waste products,
9. Destruction of High Conservation Value areas, and
10. Radioactive materials and unbounded asbestos fibres.

If it is found that evidence of being involved in or financing excluded activities based on the Exclusion List is revealed at any point in the future, the investee will no longer be 2X aligned until they address/remedy the situation. If the investee is qualified under the 2X Challenge, this qualification will be removed and they will no longer be able to use the 2X Challenge logo.

¹ These are part of the [Harmonised EDFI Exclusion List](#).

² For companies, “substantial” means more than 10 % of their consolidated balance sheets or earnings. For financial institutions and investment funds, substantial means more than 10% of their underlying portfolio volumes.

Basic 2X ESG: Fossil Fuel Exclusion List

Fossil fuel investments and companies as defined by the [Harmonised EDFI Fossil Fuel Exclusion List](#) are not eligible for 2X alignment. This includes investment exclusions for direct financing via debt or equity, indirect equity through commitments to investment funds, dedicated lending lines¹ to financial institutions where the debt is specified as use for an activity on the EDFI Fossil Fuel exclusion list. In general, Transition Finance is not eligible if it is within an area outlined in the EDFI Fossil Fuel Exclusion list. It may be eligible if it falls outside of this list. For 2X Challenge Participating Investors who are seeking to qualify an investment in Transition Finance under the 2X Challenge, this will be considered on a case-by-case basis.

The investment exclusions are:

1. Coal prospection, exploration, mining or processing,
2. Oil exploration or production,
3. Standalone fossil gas exploration and/or production,
4. Transport and related infrastructure primarily used for coal for power generation,
5. Crude Oil Pipelines,
6. Oil Refineries,
7. Construction of new or refurbishment of any existing coal-fired power plant (including dual),
8. Construction of new or refurbishment of any existing HFO-only or diesel-only power plant producing energy for the public grid and leading to an increase of absolute CO2 emissions, and
9. Any business with planned expansion of captive coal used for power and/or heat generation

If it is found that evidence of being involved in or financing excluded activities based on the Exclusion List is revealed at any point in the future, the investee will no longer be 2X aligned until they address/remedy the situation. If the investee is qualified under the 2X Challenge, this qualification will be removed and they will no longer be able to use the 2X Challenge logo.

¹ A “dedicated lending line” is defined for these purposes as loans conditioned by a use of funds clause specifying that such financing will be used for one or more of the purposes described.

Basic 2X ESG: ESG Policy and Processes

The investor and investee must meet **all four** elements below to demonstrate their ESG Policy and Procedure. These are accompanied by examples of what is considered to be appropriate to meet each requirement:

1. ESG policy and procedures in place that:

- **For funds and financial institutions:** Requires ESG policies, procedures and risk categorisation of clients/investees into High, Medium and Low risk according to sector, size and regional classification, and requires clients/investees to have E&S policies and procedures in place that are appropriate for their risk profile. ESG Policy and Procedures vary between different organisation types.
 - **For funds:** This is met by having a formal ESG policy and framework which guides the undertaking of ESG due diligence on individual portfolio companies. Best practice is that gender is outlined in the ESG policy as a risk category to consider, and highlights gender-risks where they are relevant.
 - **For financial institutions,** this is met by having an ESMS system in place that assesses social risks. An assessment of individual clients is not required. Best practice is that FIs apply a gender lens to the social risk assessment in the ESMS, in order to assess gender-differentiated risks in its portfolio. Best practice is also that the ESMS should be centralised in a single document with appropriate references to other policies and procedures. If such centralized document does not exist, the FI should be able to demonstrate that it has the policies in place and capacity to cover the requirements of an ESMS system.
- **For companies:** Address key environmental and social risks relevant for your type of company considering sector, size, geography, and other factors that impact gender-related risks. For large companies or those in higher risk sectors, this would be expected to be through a formal ESG policy that serves as a guideline for how the company addresses these issues, sets targets, and reports on its performance. It should be accompanied by associated ESG practises and frameworks, including active monitoring of identified risks. For MSMEs, ESG policy may not be formally documented, or an ESMS may not be fully in place. In such cases, companies are encouraged to commit to developing an ESG policy or ESMS system within a 2 year timeframe. The Policy should focus on ESG risk areas most material to the company, and consider whether these have gender-differentiated impacts.

Basic 2X ESG: ESG Policy and Processes

2. Alignment to one International Standard on responsible business practises, for example:

- UN Guiding Principles for Business and Human Rights
- OECD guidelines for Multinational Enterprises Responsible Business Conduct
- IFC Performance Standards
- UN PRI signature
- UN Women's Empowerment Principles
- MDB Standard of equivalence
- Universal Standards for Social and Environmental Performance Management (Cerise/SPTF)

MSMEs except those classified as high risk are not required to meet an International Standard, although it remains best practice. Definitions of MSMEs are available [here](#)

Basic 2X ESG: ESG Policy and Processes

3. Alignment to the ILO core labour standards, outlined in the ILO Fundamental Principles and Standards at work. The Standards are:

- **Freedom of association and the effective recognition of the right to collective bargaining:** Policies/practices in place that support and respect workers' freedom of association and their right to join or form trade unions,
- **The elimination of all forms of forced or compulsory labour:** Compliance with local labour laws and regulations related to forced labour,
- **The effective abolition of child labour:** Policy or commitment that explicitly prohibits the employment of children under the age of 18 and/or below the minimum age as defined by national laws, and mechanisms to monitor, address and mitigate the risk of any potential instances of child labour, including hazardous work, in supply chain or business operations,
- **The elimination of discrimination in respect of employment and occupation:** Policies/practices that promote equity, diversity and inclusion and/or prohibits discrimination based on gender, race, ethnicity, religion, sexual orientation or otherwise, and
- **A safe and healthy working environment:** Documented health and safety (OHS) procedures and policies in place.

Note that the IFC Performance Standards, especially PS2, serve as a framework for ensuring that investments are aligned with ILO core labour standards and other relevant labour and human rights principles.

MSMEs except those classified as high risk are not required to align to the ILO core labour standards, although it remains best practice. They are required to meet national law and regulations, which in practice often covers the same requirements but may not be as explicit as the ILO core labour standards. MSMEs are defined [here](#).

4. Person(s) specifically responsible for ESG and/or labour rights topics.

It is required that a person within the organisation has ESG responsibilities as part of their role. In large funds and financial institutions, this will likely be a fulltime role. In smaller organisations and companies, this may not be a fulltime person dedicated to ESG, and they may not have ESG in their role title. The person should have an appropriate weighting of their role assigned to ESG issues based on the context of the organisation and ESG risk profile.

Basic 2X ESG: Basic Gender-based Violence and Harassment (GBVH) safeguarding measures

A company, fund or FI is required to demonstrate at least one basic GBVH safeguarding requirement. This reinforces their commitment to respecting the right to a world of work free from violence and harassment, including GBVH, as noted in the [ILO Convention on Violence and Harassment in the World of Work \(C-190\)](#).

Funds must also require at least 1 basic GBVH safeguarding requirement from their portfolio companies, alongside meeting this at the fund manager level. FIs do not need to screen all individual borrowers for gender risks. Rather, the expectation is that the FIs' ESMS incorporates a gender lens to enable the FI to assess gender-differentiated risks in its portfolio, or that the FI is committing to adopt a gender lens in their ESMS within a reasonable timeframe.

This can be demonstrated through meeting any **one** of the following examples, among others:

- Zero tolerance policy (applicable internally and externally, e.g. suppliers, service providers),
- No forced arbitration requirement/clause regarding GBVH claims,
- Gender-responsive grievance mechanism for GBVH claims,
- Gender-responsive remediation process for GBVH issues (e.g. clear, survivor-centered investigation procedures),
- Risk management process(es) consider(s) GBVH a salient/material risk,
- Code of Conduct that prohibits all forms of GBVH,
- Mandatory training of all staff on GBVH and company policies/procedures,
- Regular monitoring processes,
- Dedicated, trained staff to identify and manage GBVH issues, and
- Safe environment for all work-related activities including physical work environment and transport.



Example: An investee has a code of conduct that explicitly mentions and addresses GBVH or sexual harassment and prohibit all forms of GBVH/sexual harassment.



Example: An investee has a code of conduct that addresses harassment in general but does not make specific reference to GBVH.

Basic 2X ESG: Basic Gender-based Violence and Harassment (GBVH) safeguarding measures

Sexual Exploitation, Abuse, and Harassment (SEAH) is often used interchangeably with GBVH. Whilst they are not the same, for the purposes of this requirement, a SEAH policy or SEAH process can be considered as analogous as GBVH, and is sufficient to meet this requirement.

In cases where an investee has strong policies and practices regarding "sexual harassment" safeguarding, but no explicit mention of "gender-based" harassment, it is acceptable and it will be considered to meet this component. A general "anti-harassment" or 'anti-discrimination' policy without the explicit mention of sexual- or gender- is not sufficient to meet this requirement.

Note that the **IFC Performance Standards** integrate approaches to GBVH. **PS2** covers the treatment of workers and includes specific requirements related to discrimination, equal opportunity, and protection from harassment, intimidation, and exploitation. It directly addresses GBVH in the workplace. PS4 focuses on the potential impacts of projects on the surrounding community, including risks related to violence and harm. It's particularly important for addressing GBVH risks as these can affect community safety and security.

The GBVH requirement may also be used to meet the Governance and Accountability requirements or the Quality indicators under the Employment Criteria or the Supply Chain Criteria, at the investors discretion.

Basic 2X ESG: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 Why is it important for efforts addressing violence and harassment to explicitly focus on gender-based violence and harassment (GBVH)?

2 How do you mitigate GBVH risks?

3 How are MSMEs defined?

1. Why is it important for efforts addressing violence and harassment to explicitly focus on gender-based violence and harassment (GBVH)?

Addressing Gender-based violence and harassment (GBVH) explicitly is crucial due to its distinct nature, as outlined by the ILO Convention on Violence and Harassment in the World of Work (C-190) and the UN Women's Empowerment Principles.

GBVH specifically targets individuals based on their sex or gender and disproportionately affects women, girls, and LGBTQ+ individuals. Recognising and targeting GBVH ensures that interventions are effectively tailored to protect those most at risk and uphold international standards. Focused efforts are essential not only for legal compliance but also for promoting an equitable work environment that addresses the unique challenges faced by marginalised groups.

It is recognised that the levels of GBVH risk varies between countries and sectors. Women workers in a typically male dominated environment or in cultures of lower women's empowerment may face higher risks of GBVH. Efforts to increase women's participation in such contexts should be twinned with appropriate approaches to GBVH based on the risk profile of the investment.

2. How do you mitigate GBVH risks?

There are a variety of measures that can help to mitigate GBVH-related risks that apply ‘do no harm’ principles.

Examples of gender risk mitigating baseline standards (not exhaustive):

- Collection of sex-disaggregated data during the social and environmental assessments to identify the impact of the project on women and girls,
- Code of conduct and training for staff of all contractors/operators, as well as community awareness campaigns, on Gender-based violence and harassment (GBVH) and gender discrimination,
- Construction planning incorporates safety and security considerations specific to women, e.g. for transport between construction site and their home/accommodation and for men/women interactions on site, including adapted formal and informal channels for work-related grievances,
- Culturally appropriate and accessible grievance mechanism to receive and facilitate resolution of local women and girls’ concerns, and
- If resettlement is unavoidable, the process is carried out in a way to ensure that women have access to equal financial compensation and property rights, for instance in the form of joint titles (in the names of both wife and husband) of all assets granted as compensation.



Example: A fund meets all requirements of the 2X Criteria but just as the investor wants to officially qualify the investment, a sexual harassment case is brought to its attention. The investor puts alignment on hold until there is clarity on the sexual harassment case under the fund’s complaints mechanism.



3. How are MSMEs defined?

The definition of MSMEs used within the 2X Criteria is important to determine if the MSME exemptions to some parts of the ESG requirements can be applied. These exemptions relate to the [ESG Policy and Process](#), the [International Standard](#) and the [ILO Labour Standards](#) (please see each section for more detail on how the exemption is applied).

The investor's or investee's own organisational definition can be applied.

If the investor or investee does not have its own organisational definition, the IFC definition should be applied. This is provided below for clarity.

IFC MSME Definition				MSME Loan Size Proxy
Classification	Number of Employees	Total Assets (USD)	Annual Sales (USD)	Loan Size at Origination
Micro Enterprise	<10 employees	<\$100,000	<\$100,000	<\$10,000
Small Enterprise	10 – 49 employees	\$100,000- < \$3 million	\$100,000- < \$3 million	<\$100,000
Medium Enterprise	50 – 300 employees	\$3 million-\$15 million	\$3 million-\$15 million	<\$1 or \$2 million ¹

¹ US\$2 million for more advanced countries including: Argentina, Brazil, Chile, China, Colombia, India, Korea, Mexico, Morocco, Peru, Russia, South Africa, Thailand, Tunisia, Turkey, and all EU accession countries—Poland, Hungary, Czech Republic, the Baltics and Slovenia.

Governance & Accountability

Updated September 2025





Assessing Governance & Accountability alignment

Intentionality has always been a key principle of the 2X Criteria and is now codified as Governance & Accountability (G&A).

Companies and Financial Institutions (FIs):

Minimum Governance & Accountability requirements **for Companies and FIs** to be 2X aligned include **at least**:

- One (1) indicator in **Strategic action**,
- One (1) indicator in **Management systems**, and
- One (1) gender **data** requirement.

Strategic action can include:

- Public commitment related to gender equity¹
- Clear, measurable and time-bound gender targets beyond the minimum requirements for 2X alignment²
- Action items or action plan to drive gender equity (that may be linked to gender targets) with clear roles, responsibilities and timelines
- Own resources (budget, FTEs with gender as a substantial priority and explicit part of the job description) specifically allocated to gender and/or to implement gender action plans
- Standalone gender strategy and/or gender explicitly integrated into business strategy or strategic plan

Management systems can include:

- Three core gender policies
- Accountability for gender including regular monitoring/monitoring plan of gender-related efforts and/or progress against gender targets
- Gender-responsive grievance mechanism
- Risk management efforts that explicitly consider gender
- Internal and/or external stakeholder engagement capturing a gender perspective
- Impact measurement and management (IMM) on gender

Data

- Regular collection and analysis of gender-/sex-disaggregated data (at least annually)

Where the investee does not meet these requirement yet, the investor can agree on a formal time-bound action item to have this requirement met within 2 years. This should be monitored by the investor.

¹ The public commitment to gender equality should include specific commitments of the investee (e.g. explicitly outlines tangible areas of focus; Women's Empowerment Principles (WEPs) signatory where clear principles are captured).

² For example, making a time-bound commitment to meet a third 2X Criteria would be considered to go beyond the minimum requirements and be acceptable as a strategic action for G&A.



Assessing Governance & Accountability alignment

Funds:

Minimum Governance & Accountability requirements for **funds** to be 2X aligned include **at least**:

- One (1) indicator in **Strategic action**,
- One (1) indicator in **Management systems**, and
- One (1) gender **data** requirement.

Strategic action can include:

- Public commitment related to gender equity¹ and/or investing with a gender lens
- Clear, measurable and time-bound gender targets beyond the specific minimum requirements for 2X alignment² at the portfolio level or that are agreed with portfolio companies directly
- Action items or action plan to drive gender equity at the Portfolio level that may be linked to gender targets with clear roles/ responsibilities and timelines
- Own resources (budget, FTEs with gender as a substantial priority and explicit part of the job description) specifically allocated to gender and/or to implement gender action plans
- Standalone gender lens investing strategy and/or gender explicitly integrated into business strategy or strategic plan

Management systems can include:

- Three core gender policies that cover portfolio companies and/or requiring Portfolio companies to have these explicit policies
- Accountability for gender including regular monitoring/monitoring plan of gender-related efforts and/or efforts including gender expertise, monitoring (at the portfolio level) and/or incentives to improve gender equity outcomes
- Risk management efforts that explicitly consider gender are applied to portfolio companies
- Support for and/or requirements for Portfolio companies to have internal and/or external stakeholder engagement capturing a gender perspective among the Portfolio companies
- Impact measurement and management (IMM) on gender among the fund's portfolio companies
- Stages in the investment cycle that embed gender (See [FAQ 7](#))

Data

- Regular collection and analysis of gender-/sex-disaggregated data (at least annually) of Portfolio companies

If the investee does not meet these requirements yet, the investor can agree on a formal time-bound action item to have this requirement met within 2 years. This should be monitored by the investor.

¹ The public commitment to gender equality should include specific commitments of the investee (e.g. explicitly outlines tangible areas of focus; WEPs signatory where clear principles are captured).

² For example, making a time-bound commitment to meet a third 2X Criteria would be considered to go beyond the minimum requirements and be acceptable as a strategic action for G&A.

Governance & Accountability: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 What counts as core gender policies?

2 What should be assessed under risk management?

3 What should be assessed under stakeholder engagement?

4 What should be assessed under IMM?

5 What are the minimum requirements in relation to gender data?

6 What is best practice for Governance and Accountability for funds?

7 How should investors assess a gender lens embedded across the investment cycle?

8 What is a gender responsive grievance mechanism?

1. What counts as core gender policies?

To meet the **Management Systems** requirement under Governance & Accountability, an investee must have any **three core policies** from the list below:

- Non-discrimination/equal opportunity policy that explicitly addresses gender/sex
- Explicit policy related to zero tolerance of gender-based violence and harassment (see [ILO C190 on Violence and Harassment in the World of Work](#) for further information),
- No requirement for private arbitration of violence and harassment claims (through company policy or mandatory arbitration clauses in employment contracts),
- Explicit policy/clause related to equal pay,
- Explicit policy that acknowledges and/or indicates commitment to respecting the gender-specific health and wellbeing needs of employees, or
- Explicit care (leave) policy (i.e. paid primary carer/maternity leave; paid secondary carer/paternity leave; work/life balance or flexible work policy).

Multiple policies can be reflected in a single policy document and can count under multiple G&A components.

Best practice is that the policies go beyond what is required under national law. Some countries have strong statutory requirements already, in such cases investor discretion is advised in determining whether the policy should go beyond national law.

For funds, these policies may be in place at the fund manager level and/or the Portfolio level (e.g. policies that fund manager have in place that cover Portfolio companies and/or that the fund manager requires portfolio companies to have).

Polices that are used to meet the Governance & Accountability requirements, may also be used to meet the Quality Indicator for Employment or Supply Chain.

Illustrative examples:



Example: An agribusiness has (i) an equal opportunity policy that explicitly addresses gender, (ii) an explicit policy related to zero tolerance of GBVH, and (iii) an explicit policy clause related to equal pay. The Management Systems requirement under Governance & Accountability requirements is fulfilled.



Example: A climate tech business has (i) a non-discrimination policy that explicitly addresses sex, and (ii) an explicit policy that acknowledges the importance of respecting gender-specific health & wellbeing needs of employees. It also has (iii) a care leave policy, but this is currently not documented. The investor agrees to support the investee to put in place an explicit written policy within 18 months. This is documented as a time-bound commitment by the investee.



Example: A company has good practices and generally good policies, but these do not explicitly refer to gender/sex. The company is not willing to make a time-bound commitment to develop three (3) core written policies within 2 years. The Management Systems requirement under Governance & Accountability requirements is fulfilled.



2. What should be assessed under risk management?

To meet the **Management Systems** requirement under Governance & Accountability, an investee can include **risk management** efforts that explicitly consider gender. The table below illustrates examples an investee can consider.

Type of effort:	Possible elements:
Gender-responsive human rights due diligence (HRDD) process	• Screen for gender-specific human rights impacts • Identify and assess gender-specific human rights impacts as salient • Consult with relevant parties representing women (e.g. potentially/affected women, women’s organisations, women human rights defenders, gender experts) • Track and report related gender-/sex-disaggregated grievance data • Communicate related gender-specific progress
Gender-responsive grievance mechanism	• Ensure user confidentiality, • Allow for anonymous reporting (unless legally restricted) • Allow for alternate access to a party concerning the grievance, if the perpetrator is the direct supervisor of the aggrieved party • Ensure the protection of the aggrieved party (non-retaliation) • Utilise an impartial third-party investigator for all grievances • Involve a gender-balanced review body to process grievances • Is available in all relevant languages, based on the composition of the workforce/as appropriate to the geographic areas that the mechanism covers • Allow verbal submission of grievances via a telephone line • Involve women in the review of the grievance mechanism • Regularly collect and analyse gender-/sex-disaggregated grievance data Additional guidance is available in FAQ 8.

For funds, risk management efforts can differ. At both the fund manager and portfolio levels, efforts may include a gender-responsive grievance mechanism. At the portfolio level, efforts may also include a gender-responsive HRDD process. Supply chain focused risk management efforts are not explored for funds.



2. What should be assessed under risk management? (cont.)

To meet the **Management Systems** requirement under Governance & Accountability in the **Supply Chain**, an investee can include **risk management** that explicitly consider gender. The table below illustrates examples an investee can consider.

Type of effort:	Possible elements:
Practices and/or processes to ensure an enabling environment for freedom of association and collective bargaining	• Require suppliers to have recognition agreements with local trade unions • Require suppliers to prohibit gender-specific intimidation, harassment, retaliation and violence against trade union members/representatives • Provide or require suppliers to provide support (e.g. training) to workers on their rights to freedom of association and collective bargaining (including as relates to GBVH) • Work with suppliers that have recognised collective bargaining agreements currently in place



2. What should be assessed under risk management? (cont.)

To meet the **Management Systems** requirement under Governance & Accountability, an investee can include **risk management** efforts that explicitly consider gender. The table below illustrates examples an investee can consider.

Type of effort:	Possible elements:
Practices and/or processes to proactively manage gender-specific risks in supply chain.	Commitments/policies • Have a commitment to reduce social risks in supply chain (including trafficking) • Have a forced labour policy • Have a GBVH policy
	Grievance mechanism • Provide access to supply chain workers of company's own grievance mechanism to raise (gender-related) complaints • Ensure supply chain workers are aware of company's own grievance mechanism • Provide access to external individuals and community members of company's own grievance mechanism to raise (gender-related) complaints • Require suppliers to have a grievance mechanism in place for workers to raise (gender-related) complaints • Require suppliers to ensure supply chain workers are aware of supplier's grievance mechanism • Require suppliers to provide access to external individuals and community members of supplier's grievance mechanism to raise (gender-related) complaints
	Risk assessment • Require suppliers to undertake a gender needs assessment for their supply chain workers • Screen for gender-related issues (e.g. GBVH, discrimination, intimidation/retaliation, informal work, lack of access to health information/services, lack of access to gender-responsive on-site facilities) among suppliers as part of audit process, supplier self-assessments/scorecards or other supply chain management tools • Identify gender-related issues requiring corrective action to be taken by supplier within set period to remediate issue • Identify gender-related issues automatically resulting in termination of relationship with supplier
	Data • Collect and analyse gender-disaggregated grievance data in supply chain • Require suppliers to collect, analyse and monitor gender-disaggregated grievance data in supply chain



3. What should be assessed under stakeholder engagement?

To meet the **Management Systems** requirement under Governance & Accountability, an investee can include **internal and/or external stakeholder engagement** that capture a gender perspective. The table below illustrates examples an investee can consider.

Type of effort:	Possible elements:
Internal stakeholder (employee) engagement	- Internal communications capture a gender perspective (e.g. communicate about gender-related issues, use gender-inclusive language) - Collect, analyse and monitor employee satisfaction by gender - Address gender-related issues in employee engagement efforts (e.g. explore if gender-related benefits meet employee needs) - Ensure women employees participate in the development and/or implementation of gender-related efforts
External stakeholder engagement	- Engage with external stakeholders to inform your gender efforts - Explore the gender-specific impacts of your enterprise’s activities on external stakeholders - Supports community-based initiatives re: gender equity - Advocates for gender equity in public fora

For fund managers, this can be at the fund manager and/or portfolio level.



4. What should be assessed under IMM?

To meet the **Management Systems** requirement under Governance & Accountability, an investee can include **impact measurement and management (IMM) measures** that explicitly consider gender. The table below illustrates examples an investee can consider.

Possible elements:

- Impact goals that explicitly capture a gender perspective
- Impact strategy that explicitly captures a gender perspective
- Impact measurement approach for how to measure gender impact
- Impact management/policies (guiding documents) that explicitly capture a gender perspective
- Impact management/processes (implementation guidance) that explicitly capture a gender perspective
- Impact reporting that explicitly capture a gender perspective
- Iterative process to improve IMM efforts on gender

IMM efforts that consider gender can be focused on different types of stakeholders (e.g. shareholders, board, founders, leadership, employees, consumers, supply chain workers, community members etc.).

5. What are the minimum requirements in relation to gender data?

To meet the **Data** requirement under Governance & Accountability, the minimum expectation is that the investee **consistently collects and analyses** at least one type of gender/sex disaggregated data.

If the investee **does not consistently** collect gender/sex disaggregated data, the investor/FI and investee must agree to a **measurable, time-bound commitment within 2 years** to regularly collect and analyse data that is disaggregated by gender/ sex. The minimum expectation is that gender/sex disaggregated data is collected regularly for at least 1 gender indicator.

Examples of data points that would be relevant to meet this requirement include gender disaggregated employee data, customer or client data, or supplier data.

Recommendations: Commitments should be written and include a mix of specific targets, action items with roles and responsibilities, resources allocation, and a monitoring plan. These commitments can be used as a tool to engage with new investees and 'nudge' existing investees to maintain or make organisational shifts that benefit women. Investors/FIs can further support their investees to meet these commitments through technical assistance.

For **funds**, gender data can be collected at the fund manager and/or portfolio level(s). For the latter, this includes a fund manager's commitment to support and/or requirement for portfolio companies to regularly collect and analyse gender data.

Illustrative examples:



Example: An investee collects sex- disaggregated data on its workforce on an annual basis and analyses women's representation among its workforce.



Example: An investee does not regularly collect any data points on gender. However, when asked by the investor, the investee was able to provide a gender data point by conducting an internal counting exercise based this ad-hoc request.

6. What is best practice for Governance and Accountability for funds?

For funds, efforts regarding gender and Governance and Accountability can draw from the follow best practices:

Accountability efforts through gender expertise:

- Gender expert on the investment team
- Voting member with specific gender finance expertise on the IC
- External gender expert supporting investment team

Regular **monitoring and/or monitoring plan** to track gender efforts and/or progress against gender targets with the following considerations (also applicable at Portfolio level):

- Depth/breadth of regular monitoring of gender targets,
- Frequency of regular monitoring of gender targets (at fund manager and/or portfolio level), and
- Gender data and/or gender targets regularly monitored by and/or reported to Leadership team members (e.g. Executive Committee/C-suite; LPAC).

Mechanisms to align **incentives** with gender outcomes

- Carry linked to gender targets
- Incentives for portfolio companies to implement gender actions
- Impact-linked ratchets
- Management incentive plans for portfolio companies
- Other incentives considered on a case-by-case basis by the investor

Clear consequences for when gender efforts are not effectively implemented and/or when gender targets are not met.

Illustrative examples:



Example: A fund manager monitors its own alignment with the 2X Criteria annually and reports 2X Criteria related data to the LPAC.



Example: A fund manager regularly uses management incentive plans for portfolio companies to incentivise improvements on gender performance.

7. How should investors assess a gender lens embedded across the investment cycle?

A fund with a gender lens embedded across the investment cycle will also meet the Management System component of Governance and Accountability. Often, a fund that has a gender lens investment strategy will also meet the Strategic Action and Data components. To assess this, investors should assess how gender is embedded across different stages of the investment cycle of the fund, including:

- Origination
- Due diligence
- Value creation approach
- Responsible exits

The investor must be able to demonstrate how gender is embedded at all relevant stage(s) of the investment cycle of the fund. For Responsible Exits, the investors can indicate which, if any, Principles for Responsible Exits in Gender Lens Investing it follows or can use this opportunity to invite the fund manager to endorse the principles. For further guidance, see “A fund manager’s guide to gender-smart investing” (IFC & BII, 2020).

Illustrative examples:



Example: A fund consistently screens its pipeline against the 2X Criteria and proactively seeks companies with significant gender impact potential at the time of origination.



Example: A fund incorporates gender actions and targets in its value creation plans for portfolio companies.



Example: A fund makes a general statement about the importance of gender in investment processes but does not proactively embed gender in any stage of the investment cycle.

8. What is a gender-responsive grievance mechanism?

A gender-responsive grievance mechanism is a formal system or process that allows individuals, groups, or stakeholders (like employees, suppliers, or communities) to raise concerns about an organisations' activities or the activities of their employees and seek redress for any harm they have experienced. To be gender-responsive it should be designed to address complaints and seek redress that explicitly considers gender-based risks and inequalities.

A well-designed gender-responsive grievance mechanism typically includes the following points:

- **Clear Channels:** Defined ways to raise concerns (e.g., hotlines, emails, online platforms),
- **Gender Sensitivity:** The mechanism should be aware of gender dynamics, including power imbalances and potential biases in the complaint process,
- **Anonymous Reporting:** Mechanisms to allow individuals to report concerns without fear of retaliation (unless legally restricted),
- **Formal Procedures:** Established processes for investigating complaints, assessing their validity, and determining appropriate remedies. Investigations should be conducted impartially and be sensitive to gender-specific concerns,
- **Protection from Reprisal:** Individuals who lodge complaints must be protected from any negative consequences,
- **Redress Options:** Potential solutions or actions to address the grievances, including access to justice/legal action, corrective actions, compensation or changes in company policies,
- **Gender Diversity:** The mechanism's staff should reflect gender diversity, and they should be trained on gender sensitivity and unconscious bias, and
- **Monitoring and Evaluation:** The mechanism's effectiveness should be regularly monitored and evaluated to ensure it provides equal access and outcomes

This provides guidance for how to assess a gender responsive grievance mechanism. Not all elements are required; entities and investors are advised to ensure key elements such as Gender Sensitivity and Gender Diversity are present at a minimum.

A gender-responsive grievance mechanism can be used to meet both the Management System requirement of Governance and Accountability and the GBVH requirement of Basic 2X ESG, at the investors discretion.

Entrepreneurship & Ownership

Criteria 1

Updated September 2025





Entrepreneurship & Ownership: Assessing alignment

Investees are aligned with the Entrepreneurship & Ownership (E&O) Criteria if women have a majority stake in, or founded, the investee.¹

	Criteria	Threshold
1	Entrepreneurs & Ownership	1A. Share of women ownership_____ 51%
		or 1B. Share of women founders_____ 50%

Criteria detail:	Threshold rationale:
1A. Share of women ownership - 51% share - Percentage of the organisation that is directly or indirectly woman owned Shares held by women Total shares x100 - The Criteria specifies primarily direct ownership² but indirect ownership also counts if data is available.	1A. Share of women ownership - 51% share - Gender lens investing standards such as <u>WeConnect</u> promote investments in majority women-owned firms. - Women comprise 18% of all business owners⁵ in Africa,⁶ 21% in Asia,⁷ and 24% in Latin America,⁸ so opportunities for investment exist.
1B. Share of women founders - 50% Investees founded by a woman or a group of women that retain(s) an active role in the organisation^{3, 4} Women founders who retain an active role Total founders who retain an active role x100	1B. Share of women founders (50% founders) - This means that at least half of the founders who retain an active role in the company are women. - Founders that have left the organisation and no longer have an active role and are not counted. - This threshold was set at 50% as women should be at least equally represented among founders. As there are typically 1-2 founders or just a small number of founders, the threshold based on number of founders was set at 50% (rather than 51%).

¹ Direct ownership means that the shares are held directly by the individual person. Indirect ownership means that ownership is held through one or multiple companies. See [FAQ 1](#).

² Investees founded by women in any sector are aligned.

³ See FAQs in this section for clarification of what it means to retain an ‘Active Role’ in an organisation.

⁴ In this research, ‘Business owners’ are defined as owners who employ at least one employee other than themselves; figures for all businesses are extracted from the MasterCard Index of Women Entrepreneurs 2018, based on ILO data 2008-2016.

⁵ Sample for all businesses includes: Algeria, Botswana, Egypt, Ethiopia, Ghana, Malawi, Nigeria, South Africa, Tunisia and Uganda, 2018.

⁶ Sample for all businesses includes: China, India, Indonesia, Malaysia, Philippines, Thailand and Vietnam, 2018.

⁷ Sample for all businesses includes: Brazil, Colombia, Costa Rica, Ecuador, Mexico and Peru, 2018.

Entrepreneurship & Ownership: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 Who should the investor/FI count as entrepreneurs and owners?

2 What constitutes a founder retaining an "active role" in a company?

3 What are the considerations for women founders raising capital?

1. Who should the investor/FI¹ count as entrepreneurs and owners?

Under 1A: Ownership, women must either own at least 51% of the organisation. When counting ownership in the presence of institutional investors, the ownership must be traced to the ultimate beneficial owner (UBO). The percentage of ownership by women of the UBO can be counted as "women's" shares. If the UBO cannot be traced, those shares should be counted as 0%.

Under 1B: Entrepreneurship, at least 50% of the founders who retain an active role in the organisation must be women.² A founder is any individual included in the legal registration of the organisation with a substantial decision-making role when the organisation was first established.

Illustrative examples:



Example: An investee was legally registered in 2010 with equal ownership between two women and a man. All three still have significant roles within the company and together have majority ownership: the women own 70% together and the man owns 30%. The investee is considered 2X aligned.



Example: An investee was co-founded by a husband-and-wife team. Both the husband and wife retain an active role. The investee is 2X aligned because it has one woman founder.



Example: An investee was legally registered in 2010 with equal ownership between two men and a woman as founders, i.e. each founder owns 1/3 of the shares. All three still have significant company roles and together have majority ownership. Since women founders are not at least half of all founders, Criteria 1 is not fulfilled.



Example: An Ag-tech investee was launched in 2010 by two men who own the company, and on the same day, signed three women onto the pay roll, who are all now in senior leadership roles. Although the three women were present from day one, they do not count as founders nor owners and the company does not align with Criteria 1.

¹ Investing in financial intermediaries that support women entrepreneurs is covered under the Criteria 6 (Portfolio).

² See FAQ 2 in this section for clarification of what it means to retain an 'Active Role' in an organisation.

2. What constitutes a founder retaining an "active role" in a company?

An active role can refer to a key position in the organisation's senior executive team (C-suite or equivalent). It may also include acting in an advisory capacity for key decisions and does not necessarily require a full-time role at the organisation.

Considerations: Based on the specific context of the investee, different decisions could be considered as 'key' and different roles could be considered 'active'. Investor/FI can consider parameters such as the following:

- Clear decision-making authority,
- Meaningful involvement in board or senior management meetings,
- Serves as a strategic advisor,
- Presence on company website or other communications materials (should be recent/prominent), and
- Representation of the company externally (in activities with significant business impact)

If a Founder leaves a company, they are no longer considered to have an active role and are not included in the calculation.

Illustrative examples:



Example: A tech startup is solo founded by a woman and she initially owns 100% of the company. She raises capital from investors, and as a result, her shareholding drops to 40%. According to the 2X Criteria, the company can still be counted as women-founded if she remains actively involved in the business, because over 50% of the founders are women (in this case 100%).



Example: A woman entrepreneur launched a company and has since sold her majority stake to a male-dominated private equity firm. She stepped back as CEO, and instead is seen as an expert voice on key topics relevant to the company's decision-making process. However, she engages irregularly, when she is requested by the Board rather than at set times and her advice is sometimes disregarded when considering long-term strategic advice. The investee does not align with the 2X Criteria.

3. What are the considerations for women founders raising capital?

If a woman owner/founder raises capital that dilutes her shares, and her shareholding drops below the 51% required in Criteria 1A, the company is still counted as women founded (but not women-owned) and meets Criteria 1B if she is still actively involved. If she sells the business entirely and does not remain involved in the company, the Criteria is not met. Shareholding can drop if investment is received but would still qualify through having a woman founder, Criteria 1B.

Illustrative examples:



Example: A tech startup is solo founded by a woman and she initially owns 100% of the company. She raises capital from investors, and as a result, her shareholding drops to 40%. According to the 2X Criteria, the company can still be counted as women-founded if she remains actively involved in the business, because over 50% of the founders are women (in this case 100%).



Example: A tech startup is founded by a woman, who retains 40% of the shareholding. If she decides to sell all her shares and completely exit the company, it would no longer meet the 2X Criteria under either Criteria 1A or 1B.



Example: An energy company is 55% owned by a woman, but she does not play an active role in the company. This meets Criteria 1A under women ownership. The company raises funds which dilutes shares, this reduces women ownership to 40%. As she does not play an active role in the company, the investee no longer meets the 2X Criteria under either Criteria 1A or 1B.

Leadership

Criteria 2

Updated September 2025





Leadership: Assessing alignment

Investees are aligned with the Leadership Criteria if women are well-represented at senior management or Board/IC level¹

	Criteria	Threshold
2	Leadership	
	2A. Share of women in senior management _____ or 2B. Share of women on the board or investment committee _____	Varies Varies ²

Criteria detail:	Threshold rationale:
2A. Share of women in senior management Senior management (e.g. C-suite equivalent and senior officers)³ $\frac{\text{Women in Senior Management}}{\text{Total people in Senior Management}} \times 100$ 2B. Share of women on the Board³ (companies and FIs) or IC (funds) - Share of women on the organisation’s board $\frac{\text{Women on the board/IC}}{\text{Total People on the board/IC}} \times 100$ - Investees in which women Board members do not play an active role⁴ on the Board should not be counted. - Company secretaries and observers to the Board should not be counted on the Board.	The required thresholds range from 30-45%. The <u>exact threshold</u> is set at the intersection of country and sector, and nudges performance slightly above the national benchmark. In 2024 2X updated the thresholds and expanded the sector list, to bring the thresholds in line with the most current data available. Details on the 2X Criteria thresholds, methodology and data sources is <u>available here</u>.

¹ For intermediate investments, banks and other non-bank financial intermediaries should count the women in the Board or C-Suite towards the threshold, whereas funds should count the women on their Investment Committee or C-Suite towards the threshold.

² Board can include Board of Directors and/or Supervisory Board.

³ For large and medium businesses, the level below C-suite may be considered - see details on FAQ question “Who can be considered a senior manager?”.

⁴ See [FAQ 2](#) for clarification on what it means to retain an ‘active role’ in an organisation.

Leadership: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1

Who can be considered under Senior Management?

2

How should an investor define and assess an “active role” on a Board?

3

When evaluating funds, how is Leadership assessed?

4

How should the leadership threshold be calculated for multi-country or multi-sector teams?

1. Who can be considered under Senior Management?

When assessing gender diversity in leadership, the investee should include the following leadership levels:

1. Chief Executive Officer,
2. Senior Executives: Refers to the senior operating officers or managers of a company who are responsible for the everyday operations of the organisation and report directly to the CEO or Board of Directors. Includes, for example, the C-suite, and
3. For medium and large organisations:¹ Senior Management refers to the CEO, C-Suite and senior officers or senior managers that report to the senior executive/C-Suite level.

As organisational structures vary widely, investor judgement can be applied regarding which leadership levels they include in the calculation. Small organisations can focus on the C-suite or equivalent ('Senior executive level') while large businesses can also consider the next level of leadership ('Senior management level').

Considerations: To determine who should count under Senior Management, the investor/FI can use parameters such as whether the individual(s) are involved in determining the organisation's overall structure and direction, manage a significant percentage of the workforce, have equivalent authority or directly report to the CEO and other considerations as relevant on an investment- by investment-basis. The organigram on the next page offers a visualisation of what counts towards Senior Management.

Illustrative examples:



Example: An investee in the health sector in Bolivia has one CEO and seven directors of different company divisions and functions. Collectively, they make up the management team. Although the CEO is not a woman, the management team in total reaches 35% women. The investee is 2X aligned on Criteria 2 (Leadership).

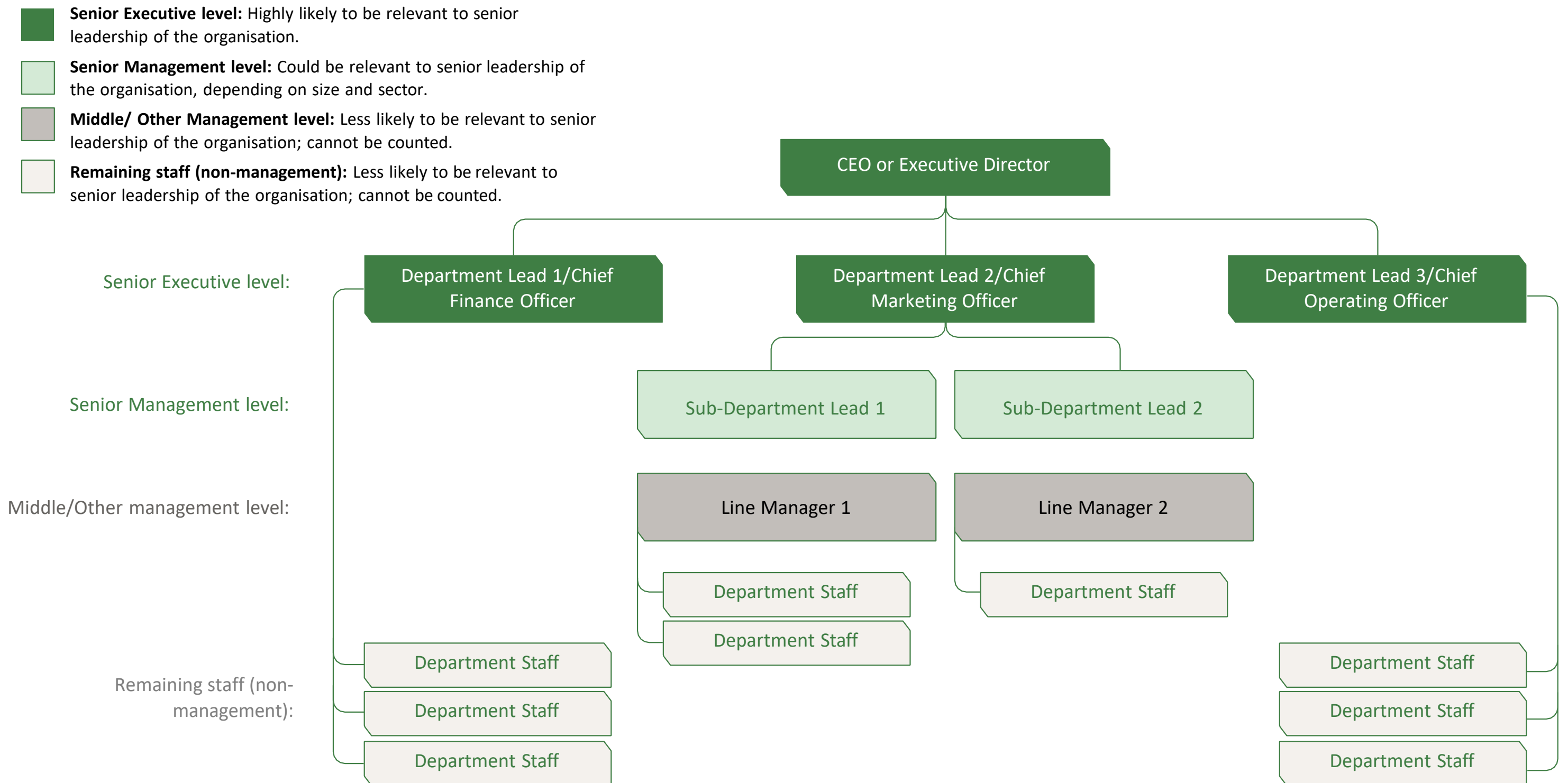


Example: An investor/FI invested in a fund. The GP's leadership is composed of all women and the Investment Committee has a woman majority. The investee qualifies under Criteria 2 (Leadership).

¹ Micro, small, medium and large companies defined as per IFC definitions. See [FAQ 3](#) in the ESG chapter for more information.

1. Who can be considered under Senior Management? (cont.)

This example organogram presents which employees can be considered under Senior Management.



For **funds**, generally only managing partner and partner levels count as senior management.

2. How should an investor define and assess an “active role” on a Board

An active role may include full board members and those acting in an advisory/supervisory capacity for key decisions.

Considerations: Based on context of the investee, different decisions could be considered as ‘key’ and different roles could be considered ‘active’. Investors can use parameters such as the role of the Board (e.g. strategic vs. titular Board), Board position, attendance and voting in Board meetings, oversight of a Board committee and other considerations as relevant on an investment-by-investment basis.

Illustrative examples:



Example: A former woman founder stays on the Board of her company and is consulted before any key changes in strategic direction. She is considered an active member of the Board as part of the leadership threshold calculations.



Example: A family-owned company’s Board has 3 women and 6 board members total. The women are family members, miss most board meetings, and are not part of key committees. The investment is not 2X aligned on Criteria 2 (Leadership) because the women board members do not play an ‘active’ role.

3. When evaluating funds, how is Leadership assessed?

For funds, Leadership can be assessed through either the senior management, or the Investment Committee.

Senior Management

For funds, senior management refers to the managing partner and partner levels.

- Typically, the management of the specific fund should be assessed, which may be a sub-set of the wider fund manager firm. This is particularly relevant for large fund managers or funds where there are quite distinct teams and different strategies e.g. firms that have quite separate private equity and private credit arms, or different sector strategies.
- In some cases, investors may apply discretion to assess Senior Management at the fund manager firm-wide level.

Considerations when opting to use this approach are:

- Investors should be able to justify why they are assessing the firm-wide senior management,
- Consideration should be given to how forward looking firm-wide gender targets are cascaded down to individual teams and how these gender targets compare to actuals, and
- The same approach should be taken for assessing the Leadership Criteria as taken for the Employment Criteria. Investors may refer to organograms, hiring plans, key person clauses and carry allocations to confirm the selection of individuals to include within senior management of funds.

Investment Committee:

For funds, the investment committee (IC) is assessed rather than the board composition. Particular attention should be paid to IC members with an active roles and actual decision-making power over investments. For example, if the IC member is added for purely practical reasons such as legal compliance but does not de-facto have an equal voice and vote on investment decisions or only plays an advisory role, it should not be counted.

Illustrative examples:



Example: A fund has 5 members on the IC, 3 men and 2 women. This is above the country-sector threshold. All IC members have the same voice and vote and participate meaningfully in decision-making on investments. This qualifies for the 2X Criteria on Leadership (IC).



Example: A regional fund has an IC with 30% women. The women in the IC only decide on investments in one of the five countries where it operates. In the last year, they only participated in 1 out of 10 investments in the portfolio. Even if they meet the threshold for the number of women, because the role of women in the IC is very limited, the 2X Criteria on Leadership (IC) is not met

4. How should the Leadership threshold be calculated for multi-country or multi-sector teams?

The 2X Criteria Thresholds for Leadership and Employment are based on the latest benchmarking data at the nexus of country and sector (see the [2X Criteria thresholds](#)).

Sectors: When having to choose between multiple sectors, the investor/FI can choose to aim for the primary sector that the investment or use of proceeds maps to, or the one with the higher threshold, or a blend if it truly feels like it fits multiple sectors. Meanwhile, funds should be assessed for the Financial and Insurance Activities threshold (at the fund manager level).

Countries: When having to choose between multiple countries, the investor/FI may choose between three approaches to determine which threshold to apply to the Leadership Criteria, based on what is most appropriate for the particular context:

1. Select the primary country that the investment or highest use of proceeds maps to,
2. Select the country with the higher threshold, or
3. Use the individual thresholds for each country where the investee operates.

If using either approach 1 or approach 2, the leadership count should be in aggregate across all of the operating countries i.e leadership numbers from all countries should be aggregated and compared to the threshold that is highest among those countries.

In the context of funds, the fund manager should be assessed based on the country where the fund manager's leadership team (Managing Partners and Partners) is based and employed (not where the fund is domiciled), whilst portfolio companies of funds should be assessed based on the primary country where their leadership are located. Each portfolio company will be assessed based on a threshold specific to their context.

For companies who are headquartered in one country but operate and serve another, Leadership should be assessed where the headquarters are located.



Example: An investee provides educational content to new mothers via a cellphone application. Women comprise 35% of the company's leadership team. The investee classified itself in the telecom sector, but the investor/FI decides it is more appropriate to map it to the education sector (higher threshold) and uses the higher threshold to assess alignment. The investor/FI determines it is not 2X aligned.



Example: An investor/FI is determining 2X alignment of a fund investing in the MENA region, established in Mauritius. The team has its office and a majority (75%) of their investments in Egypt. The investor/FI uses 2X Criteria thresholds for Financial Services in Egypt to determine 2X alignment at the fund manager level.

Employment

Criteria 3

Updated September 2025





Employment: Assessing alignment

Investees are aligned with the Employment Criteria if they provide quality jobs to a significant share of women.

	Criteria	Threshold
3	Employment	
	Share of women in the workforce_____and One “quality” Employment indicator beyond compliance_____	Varies Yes/No

Criteria detail:

Threshold rationale:

Share of women in the workforce¹

Investor/FI typically assesses employment based on the direct workforce. For entities where the contracted workforce is material to the total workforce, such as in agriculture or in season work, the investor can assess the contracted workforce. At the investor discretion, the weighted average can be assessed. The selection of which type of workforce to assess should be based on what is most appropriate for the investee context.

- **Direct workforce:** Share of women directly employed full- and part-time by the investee counted on a full- time equivalent (FTE) basis:²

$$\frac{\text{Women Direct Employees (FTE)}}{\text{Total Direct Employees (FTE)}} \times 100$$

- **Contracted workforce:** Share of women among third party workers or contractors engaged to perform work related to core business processes³ for a substantial duration (e.g. a season in the case of an agribusiness):

$$\frac{\text{Women Contracted Employees}}{\text{Total Contracted Employees}} \times 100$$

Quality indicator

Investee should have at least one effort—beyond those required by local law—addressing barriers to women’s quality employment, with evidence of implementation. As employee types can vary, the quality indicator must be linked to the most representative employee type(s).

¹ For companies: Always exclude senior management in evaluating for the Employment Criteria. For funds, SPV teams in greenfield projects: Consider whether leadership and employment %s are robust to calculations that both include and exclude leadership from employee numbers. Only consider Criteria as being met if the fund manager exceeds the 2X threshold under both cases.

² As per the HIPSO definition, part-time jobs are converted to full-time equivalent jobs on a pro rata basis, based on local definition (e.g. if working week equals 40 hours, a 24 hr/week job would be equal to 0.6 FTE job). If the information is not available, the rule-of-thumb is two part-time jobs equal one full-time job.

³ Core business processes constitute those production and/or service processes essential to the business activity without which the business activity could not continue.

Employment: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 How should share of employees be considered for Companies and FIs?

2 How should share of employees be considered for funds?

3 How do you assess 'no dissonance' of the Employment Criteria with Leadership?

4 What are 'quality indicators' under the Employment Criteria?

5 How should the Employment threshold be calculated for multi-country or multi-sector teams?

1. How should share of employees be considered for Companies and FIs?

When calculating the share of women in the workforce of companies and FIs, the investee must consider all employees types which may include any of the following depending on context: permanent, temporary, full-time, part-time, or contractors of either the entity or third-party agency. Under the Employment Criteria, informal workers are not counted.

As employee types can vary, the quality indicator must be linked to the most representative employee type(s). The investor/FI can determine which employee type(s) are the most representative by considering their relative size. Types of employees comprising 30% or at least 100 people of the workforce should be counted. Moreover, the investee should have at least one workplace-focused effort ("one quality Employment indicator beyond compliance") to increase the share of women employees and/or to support them.

Personnel that are included in the Leadership calculation are also considered to be employees and should be included in the employment calculation. This aligns to the methodology used to determine Employees under IRIS+ and applies to companies, FIs and funds.

Illustrative examples:



Example: A manufacturing firm relies on a large part-time seasonal contract staff to help process export forms during tax season. As both part-time seasonal and full-time employees are critical to the business' operations (each representing $\pm 1/3$ of the firm's employees). They both meet the threshold and quality indicator, so the investee is 2X aligned.



Example: An agribusiness employs men during harvest season. Women family members play a significant but informal role in picking the crops on the farms, but are not part of the contract scheme, and their pay/benefits are unclear. This is not 2X aligned.

2. How should share of employees be considered for funds?

When calculating the share of women in the workforce in funds, the fund must consider all employees types which may include any of the following depending on context: permanent, temporary, full-time, part-time, contracted. Under the Employment Criteria, informal workers are not counted nor are third-party contracted workforce.

For funds, typically the fund manager team dedicated to a particular fund (including leadership/partners) should be included within the total ‘count’ for employees. This includes non-investment employees who are dedicated fully or partially to the fund. They should be counted on a full time equivalent (FTE) basis. Investors can apply reasonable judgement to ensure the role is meaningful in this fund. This is especially important given that fund teams can be relatively small.

In some cases, investors may apply discretion to assess Employees at the fund manager firm-wide level. Considerations when opting to use this approach are:

- Investors should be able to justify why they are assessing the firm-wide employees.
- Consideration should be given to how forward looking firm-wide gender targets are cascaded down to individual teams; and how these gender targets compare to actuals.
- Whilst it is acceptable to count all employees across investment, impact/ESG, operational and administration roles, it’s important for investors to consider if concentrations of women’s representation in non-investment and/or administration roles are skewing the figures.
- The same approach should be taken for assessing the Leadership Criteria as taken for the Employment Criteria.

Investors may refer to organograms and hiring plans to ascertain employee roles.

3. How do you assess 'no dissonance' of the Employment Criteria with Leadership Criteria?

For Criteria 3 (Employment) to be met, there should be no dissonance with Criteria 2 (Leadership). Both indicators should be evaluated.

To meet the minimum requirements for Employee diversity, there must be no dissonance between this and the Leadership Criteria, which means either the Senior Management, Board or Investment Committee. If the investee meets the variable threshold for employee diversity but has less than 10% women in Senior Management, Board or Investment Committee, it does not meet the minimum requirements for the Employment Criteria. The dissonance threshold applies to any of one the three components within Leadership: Senior Management, Boards or Investment Committee.

To meet the minimum requirements under Employment where there is dissonance with Leadership, the investee must be willing to make a time-bound commitment to reaching at least 10% women in Leadership. This commitment operates like other Commitments whereby the investee must commit to achieving the indicated threshold within a reasonable timeframe as well as demonstrating progress within 2 years. This will be considered as commitment to a 2X Criteria, it is not considered as meeting the 2X Criteria. This means a second 2X Criteria will be required to be met in full.

Illustrative examples:



Example: A fund manager meets the Employment Criteria (threshold and quality indicator), There are no women as Partners with investment-decision making authority, and no women on the Investment Committee. There is a dissonance with the Leadership Criteria. The fund manager makes a formal, time-bound commitment to reach a target of 30% women on the Investment Committee within 4 years, with interim progress demonstrated after 2 years. The investment qualifies.



Example: A company meets the Employment Criteria (threshold and quality indicator), but has only 5% of women in Senior Management and 5% on the Board, i.e. there is a dissonance with the Leadership Criteria. The company is not willing to make a formal commitment to improve Leadership diversity, thus the dissonance cannot be resolved. The investment does not qualify.

4. What are 'quality indicators' under the Employment Criteria?

The quality indicator addresses workplace-focused efforts to increase the share of women in the workforce and/or to support them. This builds on the original 2X Criteria's focus on women's recruitment, retention and career advancement. It includes efforts linked to any of the five categories below that address women's barriers to quality employment:

- **Diversity efforts** to increase the share of women in the workforce (e.g. recruitment practices to drive gender diversity; employee support practices including Employee Resource Groups)
- **Equal pay efforts** to address any gender pay gap(s) identified
- **Equal care efforts** to support employees with their care responsibilities (e.g. retention efforts that ensure an inclusive working environment for women employees with care responsibilities including paid parental leave, flexible working policies, etc.)
- **Health and wellbeing efforts** to support the gender-specific health and wellbeing needs of employees
- Efforts to address and prevent **gender-based violence and harassment**¹

The following pages provide more examples on quality indicators an investee can consider under the Employment Criteria.

Please note that these indicators must be above the legal minimum (i.e. beyond compliance), there must be evidence of implementation. The policies used to meet the Governance & Accountability requirements may be used to meet the Employment Quality Indicator.

¹ These efforts must go beyond the required one (1) GBVH action under Basic 2X ESG. Good practice here is to have several from the Basic 2X ESG list met.

4. What are 'quality indicators' under the Employment Criteria? (cont.)

Examples of quality indicators:

Diversity

- Explicit, time-bound targets for the share of women in the workforce
- Regular collection and analysis of gender-/sex-disaggregated data regarding the share of women in the workforce
- Hiring efforts designed to eliminate bias and diversify talent pipeline, e.g. gender-balanced interview panels, anonymised resume screening, trainings for recruiters on unconscious bias)
- Dedicated employee support with a gender focus, e.g. employee resource groups
- Performance management/review process designed to eliminate gender bias
- Training on unconscious bias and/or diversity, equity and inclusion

Health and wellbeing

- Efforts to address the **gender-specific occupational health & safety (OH&S) needs** of employees
Examples: involvement of women in decision making, proactive management of gender-specific health and safety risks, physical workspace and facilities that address gender-specific needs of employees including among others toilet facilities and exposure to hazardous materials, support for pregnant and breastfeeding employees)
- Employer-sponsored **health insurance** options
Examples: cost coverage for gender-specific health services including among others: contraception, family planning, maternal health, menopausal health)
- Other efforts or benefits regarding **gender-specific health information and services**
Examples: paid sick leave for gender-specific issues; onsite or referred health services for women's health issues, support for employees' reproductive health

Equal Care

- The investee has **equal care efforts** in place to support employees with their care responsibilities
Examples: paid primary carer (or maternity) leave, paid secondary carer (or paternity) leave, other types of parental leave (e.g. adoptive), flexible work policies, return-to-work support, childcare support (e.g. on-site childcare facilities, subsidies for off-site childcare), breastfeeding support, other care support (e.g. dependent care support; postpartum support; support with domestic duties)

4. What are 'quality indicators' under the Employment Criteria? (cont.)

Examples of quality indicators:

Equal Pay

- Regular collection and analyses its gender pay gap data to identify and address any pay gap(s)
Example: regular collection and analysis of gender-/sex-disaggregated pay data (e.g. unadjusted, adjusted, mean, median pay gaps, includes all components of compensation, considers all leadership levels)
- Processes and practices to address any pay gap(s) identified
Examples: explicit, time-bound targets for pay equity by gender/ sex, public commitment that addresses specific gender pay equity ambitions, action plan to address gender pay gap including time-bound goals and activities, regular market compensation studies or benchmarking of gender-/sex-disaggregated pay data, consultations with experts regarding gender pay equity, etc.

Efforts to address and prevent GBVH

- The investee has multiple efforts¹ in place that specifically prevent and address GBVH in the workplace; see [Basic 2X ESG list](#)
- Grievance/remediation mechanisms
Examples: clear process for investigation, remediation, alerting external authorities; clear disciplinary actions; support provided to aggrieved during/after remediation
- GBVH training
Examples: mandatory, at least annual, in local language, by gender expert, includes bystander training
- Regular collection and analysis of gender-/sex-disaggregated GBVH data
- Other efforts
Examples: third-party assessment of company cultures that explores safety; provision of access to safe transport

¹ These efforts must go beyond the required one (1) GBVH action under Basic 2X ESG. Good practice here is to have several from the [Basic 2X ESG list](#) met.

4. What are 'quality indicators' under the Employment Criteria? (cont.)



Example: An investee meets the Employment threshold and has specific protocols in place, with evidence of implementation, to support trans and LGBTQ employees when they travel to areas with restrictive government policies for these groups.



Example: A company that meets the employment threshold reviews unconscious bias in hiring decisions. They have a dedicated budget for efforts to increase gender diversity in hiring so it is aligned with Criteria 3 (Employment).



Example: An FI has 55% women employees and a 'fast-track' career scheme which provides additional training opportunities for women, such as executive coaching and negotiation skills. It is aligned with 2X Employment Criteria, specifically because the fast-track scheme has a gender focus.



Example: An investee meets Criteria 3 (Employment) Threshold and meets two of the basic GBVH requirements from the list provided on the [Basic 2X ESG list](#). It has now also added more comprehensive features into its zero-tolerance policy which covers travel to/from work and business-related travel, clear definition of harassment with examples of inappropriate behaviour.



Example: An investee has 75% women employees and its quality indicator is a generous parental leave policy that goes beyond the legal requirements in its country.



Example: An investee regularly collects and analyses gender-/sex-disaggregated pay data. It finds a gender pay gap of 8% and develops an action plan with specific activities and regular monitoring to close this gap within a defined timeframe.



Example: An investee meets the numerical threshold for women employees and has generous health & wellbeing policies in place, including free access to sexual, reproductive and maternal health care.



Example: An investee has 75% women employees, but its only quality indicator is a parental leave policy which matches the legal minimum requirement. It is not aligned with the Criteria 3 (Employment).



Example: An investee meets one of the basic GBVH requirements on [Basic 2X ESG list](#) which was counted towards Basic 2X ESG and cannot be double counted as an Employment quality indicator. The investee needs to have one additional quality indicator in place.

5. How should the Employment threshold be calculated for multi-country or multi-sector teams?

The 2X Criteria Thresholds for Leadership and Employment are based on the latest benchmarking data at the nexus of country and sector (see the 2X Criteria thresholds here: 2xchallenge.org/2xcriteria).

Sectors: When having to choose between multiple sectors, the investor/FI can choose to aim for the 'primary' sector that the investment maps to, or the one with the higher threshold, or a blend if it truly feels like it fits multiple sectors. Meanwhile, funds should be assessed for the Financial and Insurance threshold (at the fund manager level).

Countries: When having to choose between multiple countries, the investor/FI can choose between three approaches to determine which threshold to apply to the Employment Criteria, based on what is most appropriate for the particular context:

1. Select the primary country that the investment or highest use of proceeds maps to,
2. Select the country with the higher threshold, or
3. Use the individual thresholds for each country where the investee operates.

If using either approach 1 or approach 2, the employee count should be in aggregate across all of the operating countries i.e employee numbers from all countries should be aggregated and compared to the threshold that is highest among those countries.

In the context of funds, the fund manager should be assessed based on the country where the fund manager team is based and employed (not where the fund is domiciled), whilst portfolio companies of funds should be assessed based on the country of their operations. Each portfolio company will be assessed based on a threshold specific to their context.

For companies who are headquartered in one country but operate and serve another, Employment should be assessed based on where the majority of full-time employees are based.



Example: A fund manager is domiciled in Mauritius, the team is based in the UK and investing in East Africa. Since the team is based in the UK and employed there, the UK/financial services threshold should be used for the Leadership and Employment Criteria at the fund manager level.



Example: An investee provides educational content to new mothers via a cellphone application. Women comprise 35% of the company's leadership team. The investee classified itself in the telecom sector, but the investor/FI decides it is more appropriate to map it to the education sector (higher threshold) and uses the higher threshold to assess alignment. The investor/FI determines it is not 2X aligned.

Supply Chain

Criteria 4

Updated September 2025





Supply Chain: Assessing alignment

An investee can be aligned with this Criteria if it has a clear commitment to women in the supply chain.

	Criteria	Threshold
4	Commitment to women in supply chain	Yes/No
	One “quality” Supply Chain indicator ¹ beyond compliance	Yes/No

Criteria 4 (Supply Chain) aims to address gender broadly in the supply chain context, including: (1) women-owned/-led suppliers, (2) suppliers that explicitly address gender equity and (3) women supply chain workers.

Criteria detail:

To be aligned with the Supply Chain Criteria, the investee must demonstrate:

- a. strategic commitment to women in the supply chain
- AND**
- b. at least one “quality indicator” in the supply chain

Threshold rationale:

Supply chains have traditionally been very opaque and gender- related issues have been pervasive but difficult to tackle given this opacity. The Supply Chain Criteria is designed to be qualitative rather than require a specific quantifiable metric, due to the nascent nature of assessing gender in supply chains and the difficulty in doing so.

A **strategic commitment** asks that the entity makes a strategic commitment that demonstrates an explicit focus on women in the supply chain. This can be a public facing commitment or an internal commitment such as a policy or programme.

A **quality indicator** applies to the strategic commitment to ensure that it will be implemented and as effective as possible. This may include ensuring there is a suitable process, action or detail in place to deliver upon the strategic commitment.

¹ Includes diversity practices, pay equity, care support, health and wellbeing and GBVH (further details provided).

Supply Chain: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 What counts as strategic commitment/s under Criteria 4 (Supply Chain)?

2 What counts as quality indicator/s under Criteria 4 (Supply Chain)?

1. What counts as strategic commitment/s under Criteria 4 (Supply Chain)?

The table below illustrates examples of how an investee can meet the **strategic commitment** this Criteria.

Requirements	Examples
Strategic support in place that demonstrate explicit commitment to women in the supply chain	- Public commitment to women in the supply chain (e.g. gender-responsive procurement, gender equity in the supply chain, supporting women supply chain workers) - Compliance with written policy regarding women in the supply chain (e.g. gender-responsive procurement policy; policy regarding gender equity standards for suppliers) - Specific targets regarding women in the supply chain (e.g. procurement targets/goals for the amount and percentage spend with women-owned businesses; specific targets regarding gender equity in the supply chain) - Supplier diversity or inclusion code of conduct - Supplier diversity programme that includes women-owned/-led businesses - Strategy to increase the number of women-owned/-led suppliers - Actively seeks to source from suppliers that prioritise gender equity - Commitment to support women workers in supply chain companies, (e.g. a company has put in place programmes to support the upskilling of the supplier's workers) - Works with third party entity that verifies suppliers that are women-owned/-led

Example: A company has made a public commitment to gender-responsive procurement and collects data to measure progress towards a greater share of women-owned businesses in its supply chain. The company also has a supplier diversity programme being implemented that explicitly includes women-owned/led suppliers.

Example: An investee company has developed a concrete strategy to increase the number of women-owned/-led suppliers and they have begun implementing a key pillar of the strategy involving providing value-added services to women-owned/led suppliers.

Example: A company has publicly spoken about the value of supply chain diversity but is unable to demonstrate any concrete efforts to promote gender diversity within its own supply chain.



2. What counts as quality indicator/s under Criteria 4 (Supply Chain)?

Good practice: Relevant gender-/sex-disaggregated supply chain data is regularly collected and analysed alongside improvement efforts to directly address the opacity of supply chains, given the need for more gender data in the context of supply chains.

The table below illustrates examples of how an investee can meet the **quality indicators** under this Criteria. Please note that the indicators used to meet the Governance & Accountability requirements may also be used to meet the Supply Chain Quality Indicator.

Criteria detail:	Threshold rationale:
Quality supply chain indicator beyond compliance	- Regular collection and analysis of gender-/sex-disaggregated data regarding the share of women-owned/-led suppliers and/or supply chain workers, gender pay gaps(s), health and wellbeing and GBVH, among others - Market access/outreach initiatives to communicate procurement opportunities to women-owned/-led businesses - Efforts to educate (procurement) employees on opportunities and barriers that women suppliers face (e.g. access to knowledge of technology, challenges meeting large orders, limited cash flow) - Capacity building support for women-owned/-led businesses (e.g. training to complete formal bid processes, training for women entrepreneurs) - Value-added services to women-owned/-led suppliers (e.g. attractive payment terms, supply chain finance, job skills training) - Requirement for suppliers to undertake a gender needs assessment with respect to their supply chain workers - Supplier/vendor code of conduct that explicitly states support for gender equity and/or that suppliers are expected to meet regarding gender equity standards, zero tolerance policy (in local language) - Requirement for suppliers to have an equal opportunity/non-discrimination policy that includes the protection of pregnant/married workers - Requirement for suppliers to offer their workers formal contracts, recognise home-based workers, payment of living wages, access to health & wellbeing services, professional development opportunities, and GBVH training - GBVH mechanism that support for suppliers' GBVH prevention, monitoring and remediation - Provision of gender-responsive, safe and healthy work environment (which may include transportation services, access to on-site health clinic, health information, hygiene, etc.)



Example: A company has made a public commitment to address women's health, not only among employees but also in the supply chain context. The company proactively provides health and wellbeing support for women supply chain workers, including menstrual health support and access to reproductive health services beyond what is typical in the countries where suppliers operate.

Products & Services

Criteria 5

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Products & Services: Assessing alignment

This Criteria evaluates if an investee provides products or services that drive gender-specific positive effects linked to enhancing the wellbeing of women/girls, and/or driving gender equity.¹

	Criteria	Threshold
5	Products and Services Product(s) or service(s) enhance(s) wellbeing of women or girls and/or drives gender equity	Yes/No

To be aligned with the Criteria 5 (Products & Services), the investee must offer product(s)/service(s) that drive gender- specific positive effects linked to **enhancing the wellbeing** of women/girls and/or **drive gender equity**. The product or service must be material² to the investees' revenue, sales volume or sales number.

For each proposed 2X aligned investment, the investee needs to provide a rationale and clear links on how the product(s)/ service(s) offered are designed to be gender-responsive and have a direct positive effect on women/girls. Alignment with this Criteria can be **further supported** if the investee also demonstrates additional ways in which their product(s)/service(s) enhance the wellbeing of women/girls and/or drive gender equity. These can include the examples below **(it is important to note that these are in addition to the primary requirement to enhance wellbeing, these are insufficient alone)**:

- 1. Product(s)/service(s) specifically target women customers
- 2. Efforts in place to integrate gender-specific considerations across product(s)/service(s) life cycle (e.g. design/development, marketing, advertising, distribution, customer service/feedback) (see [FAQ 5](#))
- 3. Gender-specific considerations are captured in product(s)/service(s) safety efforts (See [FAQ 6](#))

Given the unique nature of **infrastructure transactions**, these transactions are subject to specific evidence requirements ([further guidance in the FAQs](#)).³

¹ Financial institutions (FIs) can align with this the Products & Services Criteria if they either design products or services specifically for women’s needs or they on- lend to individual women and these women compose the majority of the FI’s customers. [More details here](#).
² The materiality requirements is outlined in [FAQ 3](#).
³ Given the unique nature of infrastructure transactions, they are only 2X aligned if projects are designed to serve women’s unique needs or if they both address a problem disproportionately impacting women and are expected to have majority women customers or beneficiaries. Please see [FAQs for further guidance](#).

Products & Services: Assessing alignment

- 1 What are examples of gender-specific positive effects linked to enhancing the wellbeing of women/girls and/or driving gender equity?
- 2 What are examples of products and services drive gender-specific positive effects linked to enhancing the wellbeing of women/girls?
- 3 What is the materiality threshold of a product or service that enhances the wellbeing of women/girls and/or drives gender equity?
- 4 What is gender analysis?
- 5 What are examples of efforts to integrate gender-specific considerations across the product/service life cycle?
- 6 What are examples of gender-specific considerations captured in product(s)/service(s) safety efforts?
- 7 How does Criteria 5 apply to infrastructure projects?
- 8 What evidence is required to qualify infrastructure projects designed for women's needs?
- 9 What evidence is required to demonstrate that an infrastructure project expects to address a problem disproportionately impacting women and have majority women customers/beneficiaries?
- 10 How can a fund meet Criteria 5?
- 11 How can a FI meet Criteria 5?

1. What are examples of gender-specific positive effects?

Examples of gender-specific positive effects linked to enhancing the wellbeing of women/girls and/or driving gender equity include:

- Access to quality affordable education
- Access to job training and/or capacity building opportunities
- Access to quality jobs, stable and reliable income, and/or value-added benefits
- Enhancement in economic participation and/or financial independence
- Access to quality medical care
- Improvement in women's health conditions (e.g. sexual, reproductive, maternal, other)
- Access to/improvement in public transportation
- Access to clean, safe, and affordable energy
- Access to clean, safe water and/or sanitation
- Access to fair and affordable financial services (e.g. lending, savings) and/or financial products
- Access to markets
- Access to equitable and affordable housing
- Access to equitable and affordable caregiving
- Reduction in unpaid care and/or domestic labour (e.g. technology, electricity, childcare, household care and management)
- Reduction in time poverty
- Access to affordable, sustainable, and quality food and/or product(s)/service(s) that contribute to healthy or healthier living
- Reduction in harmful practices (e.g. forced/child marriage, violence against women)
- Improvement in personal safety/security

The Products and Services Criteria is less applicable to and less commonly seen in companies operating in heavy industries and focusing on B2B strategies but may still be possible.

1. What are examples of gender-specific positive effects? (cont.)



Example: A tech platform aggregates demand & supply of produce and provides logistics to move produce. 65% of its urban street vendor clients are women. The company commissioned a market study to understand how it could have a greater positive impact on women. Based on these insights, it applied a gender lens design to its product and measured that this is now saving women significant time contributing to alleviate their time poverty.



Example: A tech platform aggregates demand & supply of produce and provides logistics to move produce. 65% of its urban street vendor clients are women. The company commissioned a market study to understand how it could have a greater positive impact on women. Based on these insights, it applied a gender lens design to its product and measured that this is now saving women significant time contributing to alleviate their time poverty.



Example: A makeup company has produced a new lipstick specifically targeting women customers. As this product does not meaningfully enhance the wellbeing of women and girls, it is not 2X aligned.



Example: A ‘virtual witness’ security app for unsafe situations directs users toward emergency services. As this service is primarily used in locations with high rates of violence against women (5x global averages)¹ and disproportionately benefits women, it is 2X aligned.



Example: A fintech has designed and developed a new product developed that addresses needs of both women and men customers, explicitly paying attention to the needs of women in the design and development process. It has also established a clear approach to assess the differential impacts on women and men based on market research. From a safety perspective, it proactively prevents over-indebtedness. A critical mass of women customers use the product. It is 2X aligned.



Example: An agriculture extension service provider trains men heads of households in fertilizer application, with the understanding they may transfer learnings to their wives. As there is unclear intent to ensure women benefit, it is not 2X aligned.

2. What are examples of products and services drive gender-specific positive effects linked to enhancing the wellbeing of women/girls?



Example: A bank provides small-ticket, flexible repayment loan products to women-owned SMEs, reflecting these clients' desire to adjust borrowing strategies based on business needs. The investee consulted women entrepreneurs and designed the product for their needs. As this provides access to fair and affordable financial services (e.g. lending, savings) and/or financial products, it is 2X aligned.



Example: An off-grid energy company has designed a solar-powered fridge product targeting women customers at the bottom of the pyramid in East Africa. The gender-balanced design team of the company conducted market research to understand how this product can contribute to reducing women's time poverty. Regular customer surveys allow the company to assess the impact on time poverty reduction and provide valuable customer feedback. It is 2X aligned.



Example: An e-commerce company provides women's health products and critical health information to urban and rural low-income customers in East Africa. Social stigma around sexual and reproductive health is very common in the region leading to women not getting access to the right information and safe products to make empowered decisions about their health. The company helps address this by delivering a unique, discreet and user-friendly purchasing experience to the customers it serves. It is 2X aligned.



Example: A road construction firm is being assessed against Criteria 5 (Products & Services), under the premise that new road infrastructure will disproportionately benefit women by enabling them to travel for paid and unpaid work. However, the investee is not able to provide evidence that lack of transport is a major barrier to women's paid employment opportunities or contributes to women's unpaid work responsibilities such as collecting water or fuel. The project is not 2X aligned.¹

Sources: Analysis from Women's Economic Empowerment Through Financial Inclusion: Review of evidence, Innovations for Poverty Action, 2017; Unilever: Opportunities for Women, 2017;

¹ Given the unique nature of infrastructure transactions, they are only 2X aligned if projects are designed to serve women's unique needs or if they both address a problem disproportionately impacting women and are expected to have majority women customers or beneficiaries.

3. What is the materiality threshold of a product or service that enhances the wellbeing of women and girls and/or drives gender equity?

Investors should assess whether a significant proportion of the product(s)/service(s) that the investee offers enhance the wellbeing of women/girls i.e. that the Product/Service is material to the investees' business. Investor discretion can be used to determine what is material in the specific context of the investee.

Investors should consider on what basis investees are able to calculate the proportion of the product(s)/service(s) that they offer that enhance the wellbeing of women/girls. A variety of approaches can be considered to serve as the basis for this judgement on materiality:

Revenue or sales (USD or local currency equivalent)

- What is the total revenue driven by all product(s)/ service(s) sold?
- What is the total revenue driven by product(s)/ service(s) sold that enhance the wellbeing of women/girls?

Volume of products/services sold (How many units of the product is sold)

- What is the total volume of all product(s)/ service(s) sold?
- What is the total volume of product(s)/ service(s) sold that enhance the wellbeing of women/girls?

Number of products/services (How many products are offered)

- What is the total number of product(s)/ service(s) that you offer?
- What is the total number of product(s)/ service(s) that you offer that enhance the wellbeing of women/girls?

There is no specific threshold for materiality that much be met. In some contexts, material may be deemed to be at least 50% of the investees revenue, sales, products sold or products offered. In contexts such as a large company with a larger product/service portfolio, or specific sectors with more limited gender considerations historically, a lower materiality proportion can be considered if reasonable explanation is provided by the investee whereby meaningful impact can be demonstrated.

This guidance relates to products and services offered by companies. For funds with a GII thesis and FIs offering financial products tailored to women, a determination of materiality is not required as it is considered that by meeting the Portfolio Criteria, the product or service would be deemed material.

4. What is gender analysis?

Investors using the 2X Criteria regularly conduct gender analysis alongside financial analysis. Gender analysis is an important part of building a product or service that enhances the wellbeing of women or girls or promotes gender equity.

“A gender analysis examines the differences in women’s and men’s roles and responsibilities, daily routines and activities, and access to and control over resources, services and decision-making, including those that lead to social and economic inequalities.”¹

What are some examples of gender analysis methodologies?

Gender analysis may be conducted through various methodologies such as (but not limited to):²

- **Sex-disaggregated surveys**
- **Focus group discussions with women beneficiaries**
- **Sex-disaggregated demand analysis** which segments customer demand
- **Activity and incomes profiles**, which help reveal how men and women spend their time and earn income
- **Access and control profiles**, which focus on resources, asset ownership and access in households & community
- **Benefits profiles**, which identify whose needs are likely to be met by the project services and facilities
- **Community mapping**, which involves residents in mapping out assets and opportunities

What is the difference between primary and secondary evidence?

Primary evidence is **data collected directly by the investee** (e.g. focus groups). On the other hand, **secondary evidence** is data collected by a **credible and accurate external source** (e.g. regional study by a statistics bureau).

What determines if secondary evidence is relevant?

The relevance of secondary evidence depends on three key dimensions:

- a. **Geography:** Data is focused on the local context of the project or is from a context which is similar enough for the insights to be transferable,
- b. **Sector:** Data is focused on the same sector as the project, and
- c. **Date of collection:** Data has been collected recently enough to be considered reliable in the current context

¹ OECD, Handbook on the OECD-DAC Gender Equality Policy Marker, 2016

² UNOPS, Guide on integrating gender throughout infrastructure project phases in Asia and the Pacific, 2019



5. What are examples of efforts to integrate gender-specific considerations across the product/service life cycle?

Good practice: Having efforts in place to ensure the design and development of product(s)/service(s) integrate gender-specific considerations is considered among the most advanced of examples of integrating gender across the product/service life cycle.

To meet the Products & Services Criteria, the product(s)/service(s) offered must be designed to be gender-responsive and have a direct positive effect on women/girls and/or enhance the wellbeing of women/girls and/or drive gender equity. The examples of efforts to integrate gender-specific considerations across the product(s)/service(s) life cycle listed in the succeeding pages are insufficient alone – they are intended to illustrate examples of gender-responsive design in product lifecycles. The central pillar of enhancing the wellbeing or women/girls is critical to be met.

Design/development:

- Policy/commitment to ensure product(s)/service(s) are developed for the needs of both women and men consumers
- Approach to assess/consider the differential impacts on women and men when developing products/services
- Gender-diverse stakeholder consultations and/or focus groups to continuously improve design of product(s)/service(s) for women
- Consider gender aspects of customers when designing or offering new product(s)/service(s) (e.g. size, design)
- Regular audits and product testing to make sure product(s)/service(s) meet the specific needs of women (or women AND men)
- Explicit testing of how much product(s)/service(s) are used by different genders
- Market research on the specific product(s)/service(s) needs and/or preferences of women
- Value proposition of product(s)/service(s) is differentiated for women customers
- Gender-diverse product(s)/service(s) design/development team

Distribution:

- Proactive efforts to ensure no gender-based price discrimination
- Distribution strategy considers needs and/or preferences of men and women customers (e.g. access to product(s)/service(s) delivery channels)
- Consider gender differences in access to product(s)/service(s) and/or changes distribution models to accommodate these differences
- Employ women sales agents
- Provide upskilling/training opportunities and/or other support for women sales agents/distributors
- Ensure non-discriminatory packaging

5. What are examples of efforts to integrate gender-specific considerations across the product/service life cycle? (cont.)

Marketing/advertising:

- Public commitment to address how gender is portrayed in marketing campaigns so as not
- perpetuate gender stereotypes
- Responsible marketing (or similar) policy that addresses the portrayal of gender stereotypes
- Signatory to Unstereotype Alliance, SeeHer movement or equivalent
- Marketing strategy tailored to women customers/clients (and/or women-owned/-led business customers) as a target segment
- Approach to responsible marketing that considers the portrayal of gender stereotypes and/or seeks to challenge existing gender norms and/or promote positive images of women and girls
- Process to ensure marketing materials, advertisements and external communications have a balanced representation of all genders, do not discriminate against men and women and/or protect against negative gender stereotypes
- Evaluation of marketing and advertising content for gender biases prior to publication
- Gender-diverse stakeholder consultations/focus groups to ensure marketing approaches are not perpetuating gender stereotypes
- Easily accessible communication channel for the public to provide feedback and report incidences where stereotypes are perceived to be perpetuated
- Gender-diverse marketing/advertising team
- Resource allocation to women customer acquisition and/or retention

Customer service/feedback:

- Employ women customer service /relations agents
- Have gender-responsive guidelines for customer service and support teams
- Provide training on unconscious bias for employees who have direct exposure to customers
- Encourage customers of all genders to provide feedback on product(s)/service(s)
- Conduct customer satisfaction surveys that address/analyse gender-specific issues

6. What are examples of gender-specific considerations captured in product(s)/service(s) safety efforts?

Examples of gender-specific considerations are captured in product(s)/service(s) safety efforts may include:

- The investee monitors the gender-specific health and safety impacts of the products/services (including that they do not perpetuate inequity)
- The investee monitors whether the products/services cause any negative gender-specific health and safety impacts
- The investee monitors whether the distribution of the products/services cause any gender-specific risks that may compromise customer safety

Illustrative examples:



Example: A rapidly growing chain of chemists in a country in Sub-Saharan Africa provides affordable drugs and healthcare for poor households in underserved rural areas. It has an equal number of men and women customers, and the chemist was the first firm in its country to offer the morning after pill. The investor/FI decides to identify as aligning with 2X.

As good practice, the investor/FI also works with the company to consider gender in its provision of other products.



Example: A large infrastructure project focused on sanitation consulted women as part of original stakeholder consultations and strategically designed the locations of latrines within rural villages to specifically balance the need for privacy with the safety risks of isolation. As the investee integrated gender considerations into the project design, the investor/FI decides to identify the transaction as 2X aligned.



Example: An investee sells personal care products made with ingredients that are not explicitly monitored for toxins that negatively impact the health of women. This does not demonstrate gender-specific safety efforts and cannot be 2X aligned.



Example: A new mobile application was launched that is marketed as a tool to increase women's access to a global marketplace. The online platform does not have mechanisms to actively monitor online safety risks especially for women/girl users that are more at risk for online abuse, etc. While the product targets women, because online safety considerations were not included in the product, this cannot be 2X aligned.

7. How does Criteria 5 apply to infrastructure projects?

Infrastructure projects can meet the Products and Services Criteria if they:¹

Are designed
for women's
needs.

OR

Address a problem disproportionately impacting women;²
and
Expect to have majority women customers, **or** expect to have majority women beneficiaries.³

Commitments to meeting Products and Services Criteria for infrastructure projects are not accepted for infrastructure investments unless qualifying greenfield projects under the Products & Services Criteria, and the gender-responsive design is still in progress. See the guidance on [Complex Structures](#) for more information.

Infrastructure funds where at least 50% of the portfolio comprises investments into 'complex structures' can align if they meet the Criteria requirements at fund manager level and 30% of the portfolio meets one 2X Criteria by the end of the fund's life.

Illustrative examples:



Example: A water supply project is undertaken in an area where it is evidenced that women disproportionately take on the unpaid domestic work of collecting water. Following a household survey conducted on a representative sample of women in the area, the project expects that women are majority beneficiary.



Example: A highway is constructed in a region where women disproportionately encounter transport barriers. However, it is unclear how the project addresses women's existing transport barriers or whether women are expected to be majority of road users. The project is not 2X aligned.



Example: A school is built in a region where girls have lower education levels than boys. However, the school does not include any design features to ensure girls can safely and fully benefit and it is unclear whether girls will represent majority of students. The project is not 2X aligned.

¹ All infrastructure transactions should be reviewed for baseline gender risk mitigating measures that apply 'do no harm' principles.

² See [FAQ 8](#) for more details.

³ See [FAQ 9](#) for more details.

8. What evidence is required to qualify infrastructure projects designed for women's needs?

For projects which are designed – in part or as a whole – to respond to women's needs, investees must:

- Conduct **gender analysis** using primary evidence specific to the project (e.g. women focus groups, sex-disaggregated surveys or demand analysis) or relevant secondary evidence;¹
and
- Demonstrate **a link** between the gender analysis conducted/collected and the gender design features incorporated in the project.

Illustrative examples:



Example: A social housing project consulted secondary research and conducted focus groups to **design the housing to address women's stated needs**, including safety (e.g. by locating waste collection bins in public, well-lit areas) and unpaid care responsibilities (e.g. by having all units overlook a communal playground where caregivers can oversee children from their unit's window).



Example: A highway is constructed in a region of Mexico. The investee wants to utilize secondary research in South Asia to justify the key adjustments made to the highway to design it for women's unique needs. However, the **investor/ FI determine the secondary evidence is not relevant to the project in Mexico**. The project is not 2X aligned.



Example: A sanitation project leads **focus groups with a representative sample of local women** to identify locations and designs for latrines which balance women's needs for privacy with safety risks of isolation.



Example: : A hospital is built in a region of Kenya where **secondary evidence suggests women face poorer health outcomes than men**. However, the project does not include any design features meant to ensure women can safely and fully benefit from the hospital. The project is not 2X aligned.

¹ Please see [FAQ 3: What is Gender Analysis](#) for details on types of gender analysis and the distinction between primary evidence that is collected by an investee vs. secondary evidence that is collected by a credible external source. Relevance of secondary evidence can typically be defined by (i) geography: data is focused on the local context of the project or is from a context which is similar enough for the insights to be transferable; (ii) sector: data is focused on the same sector as the project, and (iii) date of collection: data has been collected recently enough to be considered reliable in the current context.

9. What evidence is required in infrastructure projects?

Addressing a problem disproportionately impacting women

For projects that address a problem that disproportionality impacts women, investees must provide primary evidence specific to the project or relevant secondary evidence.¹ This may include sex-disaggregated surveys carried out by the investee directly (primary) or from a reliable external source (secondary).

Expect to have majority women customers OR expect to have a majority of women beneficiaries

To demonstrate that an infrastructure project expects to have majority women customers or beneficiaries, the following is required:

Primary evidence specific to the project;¹

and/or²

Commitments to encourage women to be majority customers or beneficiaries through measures to support.

Illustrative measures to support women's uptake of infrastructure services²

- Including women within oversight committees and/or running a gender-representative consultation process during the operational phase to ensure women's perspectives are included in the management of the infrastructure going forward
- Addressing safety/pricing/logistical issues that would otherwise prevent women from fully benefiting from infrastructure services
- Running targeted outreach/communication campaigns to ensure that women directly benefit from infrastructure services (this does not refer to sporadic or one-off marketing campaigns, but rather consistent efforts that nudge changes in gender norms and practices)
- In the case of service provision, allocating part or all the service to women/girls
- Offering free training and/or financial support to local women/girls to facilitate their access to and benefit from infrastructure service

¹ Please see FAQ 3: 'What is gender analysis?' for details on types of gender analysis and the distinction between primary evidence that is collected by an investee vs. secondary evidence that is collected by a credible external source. Relevance of secondary evidence can typically be defined by (i) geography: data is focused on the local context of the project or is from a context which is similar enough for the insights to be transferable; (ii) sector: data is focused on the same sector as the project, and (iii) date of collection: data has been collected recently enough to be considered reliable in the current context.

² These measures should go beyond baseline gender risk mitigating measures that apply 'do no harm' principles (please see Appendix for further details) and be relevant to the specific challenges women face in the project's context. Recommended best practice is for the investee to commit to measures to support women's uptake irrespective of the provision of acceptable primary evidence.

9. What evidence is required in infrastructure projects? (cont.)

Illustrative examples:



Example: A water supply project in East Java uses a local study conducted by the World Bank in 2018 to demonstrate that women bear most of the burden for collecting water. The investee does not have primary evidence to demonstrate ex ante that women will be majority beneficiaries. However, they commit to ensuring that women disproportionately benefit and plan to implement specific measures to encourage women's uptake such as setting up a gender-balanced local water board and outreach targeting a representative share of women in the community to ensure women can safely and fully benefit from the infrastructure.



Example: An electrification project in Adamawa State, Nigeria uses a local study carried out by the Nigerian Federal Ministry of Women Affairs And Social Development to prove that women disproportionately bear the burden for collecting fuel and firewood in the State. The investee then conducts a sex-disaggregated survey on the impact of electrification on local households to analyze expected usage and determine that women would be the majority of beneficiaries. Following best practice, the investee also commits to creating financing arrangements that respond to the needs of woman-headed households and conducting outreach to women to raise awareness of the financial arrangements available and the benefits (e.g. time saving value) of electrification.



Example: A road construction project in the Northern Cape province uses a white paper published by a renowned South African think-tank in 2017 to prove that women disproportionately encounter transport barriers in the province. However, it is unclear how the project will address transport barriers faced by women. The investee does not submit any primary evidence to support the expectation that women would represent the majority of road users (e.g. through sex-disaggregated demand analysis) nor commits to ensuring women will disproportionately benefit from the road. The project is deemed not to be 2X aligned.



Example: A school construction project in Jinotega, Nicaragua uses a local study conducted by the Nicaragua's statistics institute in 2020 to show that girls have lower education levels than boys in the Jinotega region. However, it is unclear how the project will address educational barriers faced by girls. The investee does not submit any primary evidence to suggest that girls would represent majority students at the school. The investee also does not commit to ensuring that girls will disproportionately benefit such as through measures to increase girls' attendance. The project is deemed not to be 2X aligned.

10. How can a fund meet Criteria 5?

A fund can meet Criteria 5 (Products & Services) if it has an intentional gender lens investment thesis. This counts as the fund manager meeting an institutional level Criteria, the Portfolio Criteria is still required to be met or committed to.

A gender lens investment thesis requires the following to count:

- Gender is explicitly stated, and front and center in the fund's investment thesis, and
- The fund pursues a gender lens investing strategy and gender is incorporated along the investment cycle. This includes gender being incorporated into investment decision-making structures and processes; assessing investments for opportunities to support gender equity along the 2X Criteria; supporting investees to realise these opportunities post-investment through targeted gender value creation; and tracking and reporting systematically on gender impact across the portfolio.

We would generally expect a fund with a gender lens thesis to have gender incorporated across the entire investment lifecycle; however, as a minimum requirement, there needs to be evidence that gender is incorporated at least at certain stages of the investment cycle (such as e.g. origination or value creation).

Best practice is that carry is partially linked to gender outcomes.

With a gender lens investment thesis, it can be expected that the share of portfolio companies that are 2X aligned is at least as high as the Portfolio Criteria threshold, meaning there is no dissonance with the Portfolio Criteria.

Illustrative examples:



Example: A fund focuses on supporting women entrepreneurs in South Asia, via a portfolio that includes direct equity stakes in women-led businesses and training services for aspiring entrepreneurs. The investment thesis states women's economic empowerment as a strategic goal. This fund meets the Products & Services Criteria (explicit gender thesis and gender lens along the investment cycle) and the Portfolio Criteria.



Example: A fund has an investment thesis explicitly focusing on the nexus of gender and climate. A gender lens is incorporated along the investment cycle, with a particular focus on gender action plans as part of the value creation strategy. This fund meets the Products & Services Criteria (explicit gender thesis and gender lens along the investment cycle).



Example: A fund makes public statements about the importance of gender diversity. On its website and investor deck it speaks to its gender lens, however the investment thesis as such only mentions agriculture and climate. This fund does not meet the Products & Services Criteria, as gender isn't front and center in the investment thesis.

11. How can a Financial Intermediaries meet Criteria 5?

FIs can offer financial and non-financial products and services designed for women and fulfil Criteria 5 (Products & Services). For FIs, this can be financial or non-financial products designed for women. Examples include loans for women-led SMEs, banking or savings products for women's community groups, insurance products tailored for women. It is important that the product or service is designed to be tailored to women's needs and addressing the specific barriers or unserved needs they face. It may use tools such as needs analysis or market gaps as it pertains to women, affordability studies, women's focal groups.

If an FI meets the Products and Services Criteria, this counts as the Direct Criteria. They are required to meet or commit to meet the Portfolio Criteria. It is possible that the clients of the product or service which qualifies, form the clients counted under the Portfolio Criteria.

Where FIs lend to individual women, rather than companies, in the past this was assessed under Products & Services rather than under Portfolio. This current update to the Reference Guide has moved this to be included in the Portfolio Criteria, to facilitate understanding and when a FI has a hybrid portfolio of both client types. [See more information.](#)

Illustrative examples:



Example: An FI has created a dedicated lending line exclusive for women-owned SMEs. After conducting a comprehensive analysis of the needs of women, they have designed their product with reduced collateral requirements and created loan incentives through interest reduction. Furthermore, the FI conducted community awareness and financial education campaigns directed at women borrowers and their households. Apart from this, the FI also has another lending facility that reaches 55% women. This FI meets both Criteria 5 and 6.



Example: An insurance company serves a diverse customer base and offers a diverse product range. The company has developed tailored products for car insurance, which was developed through focus groups with women and include a specific focus on women's needs. The product provides car insurance alongside recovery services and a commitment to women customers that they will be prioritised in the need of road-side response, and the support will arrive within 10 minutes in response to women's safety needs. More than 50% of investor proceeds are allocated to this product. This insurance company meets Criteria 5.



Example: An FI has created one specific lending line within their portfolio that aims to increase their women clients. This same product has reached 50% women. To qualify under Criteria 5, the FI must demonstrate how this lending line benefits women. Moreover, the same lending line cannot be used to qualify under Criteria 6, even if it targets 50% women clients because it will be considered double counting.

Portfolio

Criteria 6

Updated September 2025





Assessing Portfolio alignment – Financial Institutions

	Criteria	Threshold
6	Portfolio	
	6A. Financial institutions (FIs): percent of the investor’s loan proceeds or the FI’s portfolio invested in businesses that meet one 2X Criteria or lending to individual women	30% (lending to companies) 50% (lending to individuals)

Criteria detail:

6A. Financial Institutions (FIs)

- Financial Institutions includes banks, MFIs, and non-bank financial institutions.
- If lending to companies or other registered entities:** Either the FI commits that 30% of the investor/FI loan proceeds will go towards businesses that meet one 2X Criteria or the FI's existing portfolio comprises at least 30% businesses (by volume or value) that meet one 2X Criteria.
- If lending to Individuals:** At least 50% of clients (by number) are women, women comprise 50% of total portfolio or 50% of investor proceeds going to women.
- If an FI has a hybrid portfolio** where they lend to both individual women and companies, this will be considered as two different portfolio segments and assessed separately. The FI can meet the Portfolio Criteria through either the portfolio segment of individual customers exceeding 50% women, or the portfolio segment of companies exceeding 30% that meet one 2X Criteria.

If use of proceeds is stipulated in a legal document, the portfolio threshold counts as "met" not "commitment". The investor/FI should monitor the use of proceeds to ensure compliance over time.

Threshold rationale:

FI Portfolio – 30%/50% by value OR number (volume) for FIs

- Women consistently have lower access to finance than men therefore access to investment is beneficial.
- For FIs lending to SMEs, the 30% threshold is benchmarked to the share of women-led SMEs which on average is around 30% globally.
- For individual lending**, 50% threshold is assessed on the number of customers. This equates to representative access based on population.
- For business lending**, the 30% threshold is applied to either the:
 - Value:** value of the loan book exposure/value of the loan amount outstanding; **OR**
 - Number:** number of loans or number of customers.
- The investor can apply discretion as to which is the most appropriate to assess for the specific context.



Assessing Portfolio alignment – Funds

	Criteria	Threshold
6	Portfolio	6B. Funds: Percent of portfolio companies that meet one 2X Criteria.
		30% (at origination) 50% (at exit)

Criteria detail:

6B. Funds

- The fund must commit that 30% of investees meet one 2X Criteria going into the fund (at origination) OR reach 50% at the end of the fund’s life (at exit).
- Exception: Funds where at least 50% of the portfolio comprises investments into 'complex structures', a lower threshold of 30% of investments meet one 2X Criteria by exit can be applied. Please see the [Complex Structures](#) chapter and [FAQ 1](#).
- Funds investing into Real Estate platforms should consult [FAQ 9](#).

Evergreen funds:

- 50% of new portfolio investments must meet one 2X Criteria 5 years after the evergreen fund makes a 2X commitment and is qualified under the 2X Challenge. From the 5th year onwards, the 50% threshold of the portfolio since the 2X commitment was made must be kept stable.
- The portfolio before the 2X commitment was made is not counted in the portfolio alignment calculation at 5 years, unless desired.
- If seeking to include the existing portfolio companies before a 2X commitment was made in the portfolio calculation, 2X alignment of investments concluded prior to 2024 can be assessed based on the previous 2X Criteria framework.

Threshold rationale:

Fund Portfolio – 30% at origination or 50% at exit by volume for funds

- For funds, the threshold is based on the practical experience with the 2X Challenge 2018-2023.
- The 30% or 50% portfolio threshold is applied to the fund's volume, which means the number of portfolio companies. It does not apply to the value of the fund.

Portfolio: Frequently Asked Questions – Financial Intermediaries

Click on the questions below to read the detailed guidance.

1 What happens if a financial institution meets the Direct Criteria related to the intermediary itself, but not the Portfolio Criteria? Or vice versa?

2 What are the different ways an FI portfolio can be assessed?

3 How can directed lending lines be 2X aligned?

4 How should double intermediated investments be assessed in FIs?

5 How can portfolio guaranties or bonds be 2X aligned?



1. What happens if a financial institution meets the Direct Criteria related to the intermediary itself, but not the Portfolio Criteria? Or vice versa?

Financial Institutions (FIs)

To be 2X aligned, FIs must meet the Basic 2X ESG,¹ meet Governance & Accountability² requirements, meet one Direct 2X Criteria **and** meet the Portfolio Criteria. Either the Direct Criteria or the Portfolio Criteria (not both) may be a time-bound commitment to meet the Criteria.

Important Notes:

- Criteria 6A: If use of proceeds is stipulated in a legal doc, the portfolio threshold counts as "met" not "commitment",
- Portfolio Companies of FIs must meet one Criteria (i.e. no additional Criteria commitment, Basic 2X ESG, nor the Governance & Accountability metrics),
- At the Portfolio level, FIs may use the [country-sector specific thresholds](#) or simplified thresholds ([see this page](#)), and
- FIs can only qualify under the Supply Chain Criteria if they indeed have a significant supply chain.

The following considerations may be applied:

- If the FI lends to registered entities: It meets the Portfolio Criteria if 30% of the investor loan proceeds OR 30% of the FI's portfolio must support businesses that meet one 2X Criteria.
- If the FI lends to individuals, it meets the Portfolio Criteria if at least 50% of clients are women, women comprise 50% of total portfolio or 50% of investor proceeds going to women.
- As FI portfolios are typically very granular with hundreds or even thousands of MSME clients, there is the option to use simplified thresholds for Leadership and Employment. If this remains difficult particularly for very large portfolios, investors/FIs can apply reasonable judgement to apply the most relevant single threshold. The threshold must be reasonable and an average for the main sectors represented in the portfolio.
- The FI itself must meet at least one of the 2X Criteria 1-5 or make a time-bound commitment to doing so. Where FI meets the Employment Criteria, the investor should pay special attention to ensure there is no dissonance with the Leadership Criteria (i.e. that there are at least 10% women in Leadership).
- If use of proceeds is stipulated in a legal document such as an ESAP, the portfolio threshold counts as "met" not "commitment".

¹ The FI does not need to screen all individual borrowers (or clients/customers) for gender risks. Rather, the expectation is that the FIs' ESMS incorporates a gender lens to enable the FI to assess gender-differentiated risks in its portfolio, or that the FI is committing to adopt a gender lens in their ESMS within a reasonable timeframe.

² If the investee does not meet this requirement yet, the investor can agree on a time-bound action item to meet this within 2 years.

1. What happens if a financial institution meets the Direct Criteria related to the intermediary itself, but not the Portfolio Criteria? Or vice versa? (cont.)

Illustrative examples:



Example: An investor/FI invests in a fund with a clear target to have at least 50% of its portfolio in 2X aligned companies. The fund meets the Employment Criteria threshold but has no women at Partner level with decision-making authority or on the IC (i.e. there is dissonance between Employment and Leadership, women in leadership is below 10%). The fund manager makes a time-bound commitment to increase the women's representation on the IC to at least 10%. and develops a set of actions to get there. The investment can be considered 2X aligned.



Example: An investor/FI invests in a financial institution which is considered an employer of choice for women in its country and meets the Leadership and Employment Criteria. The FI concludes that a 30% use of proceeds for WSMEs would be too aggressive given its challenging context. This investment is not 2X aligned unless the FI makes a commitment at the Portfolio level, either for the use of proceeds or for the portfolio as a whole.

2. What are the different ways a FI portfolio can be assessed?

Below outlines a number of ways that an FI portfolio can be assessed.

General loan to FI (no specific use of proceeds)

At least 30% of its investment/financing must go to businesses who meet one 2X Criteria. If an investor/FI does not mandate use of capital, the FI must demonstrate that over 30% of its portfolio is already composed of businesses who meet one 2X Criteria, or effectively ‘commit’ to using 30% of the investment/financing towards such businesses. If use of proceeds is stipulated in a legal document, the portfolio threshold counts as "met" not "commitment”.

Directed lending line to FI (specific use of proceeds)

Please see guidance in [FAQ 3](#).

Equity investment into FI that lends to individuals

At least 50% of clients are women, women comprise 50% of total portfolio or 50% of investor proceeds going to women.

Equity investment into FI that lends to companies

At least 30% of the FI’s portfolio must go to businesses who meet one 2X Criteria.

Equity investment into FI that lends to both individuals and companies

If an FI has a hybrid portfolio where they lend to both individual women and SMEs, this will be considered as two different portfolio segments and assessed separately. The FI can meet the Portfolio Criteria through either the portfolio segment of individual customers exceeding 50% women, or the portfolio segment of companies exceeding 30% that meet one 2X Criteria.

Double intermediated investments

Please see guidance in [FAQ 4](#).

Guaranties and risk sharing facilities

Please see guidance in [FAQ 5](#).

Bonds

Please see guidance in [FAQ 6](#).



3. How can directed lending lines be 2X aligned?

For an FI to be fully 2X aligned, it must meet one Direct Criteria along with meeting the Portfolio Criteria. One of these can be a commitment to meet the Criteria, but not both. Under the 2X Challenge, the full investment into the FI is counted. If an FI is unable to meet or commit to meet one Direct Criteria, a directed lending line provided to the FI is able to be 2X aligned even if the FI is not fully 2X aligned. Directed lending lines are defined as where a defined percentage of the financing is directed specifically to women individuals or companies who meet one 2X Criteria, and this is legally stipulated in a use of funds clause. It is important there is adequate governance to ensure delivery. Under the 2X Challenge, only the percentage of the financing that is stipulated to support women is counted.

Use of proceeds commitments that are not specified in a legal document are not eligible to qualify as a Directed Lending Line.

Equity Investments in MFIs/FIs do not qualify under directed lending rules. In equity investments, a FI must meet or commit to meeting one Direct Criteria at the institutional level alongside the Portfolio Criteria.

	Full FI 2X alignment	Directed Lending Line alignment
Eligibility	Equity and debt investments into FIs	Directed lending lines (debt finance) only
Requirement at FI level	• Basic 2X ESG met • G&A met • 2X Criteria met	• No Basic 2X ESG required • No G&A required • No 2X Criteria need to be met
Requirement at Lending Line level	At least 30% of the use of proceeds is stipulated go to entities that meet one 2X Criteria, Or 50% use of proceeds is stipulated to go to retail clients that are women (if the intention is legally stipulated, it counts as meeting the Criteria. If it is non-binding, it is considered a commitment and not met in full).	At least 30% of the use of proceeds is legally stipulated go to entities that meet one 2X Criteria, Or 50% use of proceeds is legally stipulated to go to retail clients that are women.
2X Challenge counting	100% of the investment into the FI	Only the % of the lending line that is stipulated for 2X alignment

4. How should double intermediated investments be assessed in FIs?

Double intermediated investments are less common, but examples can include an investor lending to a FI, who on-lends to a FI.

The ability to monitor and set requirements for the end-beneficiaries of the finance is limited, especially for FIs. As such, simplified application of the 2X Criteria is acceptable. The rules are provided below and are presented from the view of the initial investor. A summary of this is provided on in the [2X Criteria Pathways](#).

Investments into a FI that on-lends to a FI

- The FI receiving the investor's loan must meet Basic 2X ESG, Governance and Accountability, and one Direct Criteria.
- The intermediated FI must meet the Portfolio Criteria. No Direct Criteria at the FI level is required.
- To meet the Portfolio Criteria, the FI must meet or commit to meet 30% of its portfolio meeting one 2X Criteria using simplified thresholds.

5. How can portfolio guaranties and bonds be 2X aligned?

A new chapter on Guaranties is provided and provides guidance on how portfolio guaranties can be 2X aligned, alongside other types of guaranties. Please see the [Guaranty section](#) for more information.

A new chapter on Bonds is also provided and provides guidance on how Bonds issued by financial institutions can be 2X aligned, alongside other types of Bond issuers. Please see the Bond section for more information.

Portfolio: Frequently Asked Questions – Funds

Click on the questions below to read the detailed guidance.

6 What happens if a fund meets the Direct Criteria related to the intermediary itself, but not the Portfolio Criteria? Or vice versa?

7 For funds, what is the timing of 2X assessment in relation to the origination and exit of the fund?

8 How should double intermediated investments be assessed in funds?

9 How to assess real estate investment platforms?

6. What happens if a fund meets the Direct Criteria related to the intermediary itself, but not the Portfolio Criteria? Or vice versa?

Funds

To be 2X aligned, funds must meet the Basic 2X ESG, meet Governance & Accountability requirements, meet one 2X Criteria at the fund manager level **and** meet the Portfolio Criteria. Either the Direct Criteria assessed at the level of the fund manager or the Portfolio Criteria may be a time-bound commitment to meet the Criteria, not both.

The following considerations may be applied:

- Funds typically attract investments before the start of the investment period and, by their very nature, certainly before the fund is fully invested. Therefore, the investor should agree to a portfolio level commitment aligned with the Portfolio Criteria. At the Portfolio level, either 30% of portfolio companies going into the fund or 50% at time of exit must meet one 2X Criteria.
- It is possible that the fund manager seeks to be 2X aligned when the fund is fundraising and therefore has not begun disbursements, or the portfolio is not complete. As such, the fund can make a commitment to meet the Portfolio Criteria. If this commitment is bound in legal documents such as the limited partners agreement, this can be considered as met, enabling the institutional (fund manager) level Criteria to be a commitment. If this commitment is not legally binding, such as in a MoU, this is counted as a commitment and the Direct Criteria must be met in order for the fund to be 2X aligned.
- If the fund manager does not meet any 2X Criteria at the fund manager level, and makes a time-bound commitment to do so, the portfolio level target must be included in the legal documents.
- For funds where at least 50% of the portfolio comprises investments into 'complex structures', a lower threshold of 30% of investments meet one 2X Criteria by exit can be applied. This is typically investments into greenfield infrastructure, forestry, or real estate. See the [complex structures](#) chapter for more information.
- Where fund managers meet the Employment Criteria, the investor should pay special attention to ensure there is no dissonance with the Leadership Criteria (i.e. that there are at least 10% women in Leadership).
- Funds are aligned with the Products and Services Criteria if they have an intentional gender lens investing thesis. This requires that gender is explicitly stated in the investment thesis and a gender lens is incorporated along the investment cycle. See more [here](#).
- Note: The Supply Chain Criteria does not typically apply at the fund manager level, as fund managers typically don't have significant supply chains.

7. For funds, what is the timing of 2X assessment in relation to the origination and exit of the fund?

To meet the Portfolio Criteria, funds are required to have or commit that 30% of their portfolio meet one 2X Criteria at origination, or 50% at exit.

If choosing to be 2X aligned at origination, i.e. at full deployment, portfolio companies of equity funds should be assessed on an individual basis at the time of the investment approval to determine if they meet one 2X Criteria. Data to undertake the assessment is typically collected at the due diligence stage. If the 2X assessment is undertaken more than a year before the point of investment, it should be reviewed to determine if it is still valid. This means the 2X assessment of portfolio companies within the same fund may be undertaken at different times in different years. The fund can be 2X aligned and qualify for the 2X Challenge before full deployment if there is a commitment to meet the Portfolio Criteria (30% at origination). The final determination of the 2X alignment of the Portfolio will be made at the end of the fund's investment/disbursement period, when the fund is fully disbursed. This will be a once-off assessment. If it is found during monitoring that this was not reached, the fund would no longer be 2X aligned.

If choosing to be 2X aligned at exit, the fund's portfolio is typically assessed at the end of the funds' life, when all investments are exited. It is advised that this alternative timing of meeting the Portfolio Criteria is written into legal documents or an MOU so all parties are clear on the point at when the Portfolio 2X Criteria must be met (50% at exit).

If the fund makes the 30% at origination or 50% at exit commitment in legal documents, such as the LP agreement of a Side Letter, the Portfolio Criteria is considered to be met. There must be a check at the end of the fund's investment/disbursement period as per the guidance above to ensure this was attained. If the target is not attained, the fund is not 2X aligned.

If the fund commits to the 30% or 50% requirement in a document that is not legal binding, such as a MOU, this is considered a commitment to the Portfolio Criteria.



Example: A fund makes a legally binding commitment that 30% of the portfolio companies will meet one 2X Criteria at origination. The fund confirms 2X alignment of assessed portfolio companies during due diligence. The fund is considered to meet the Portfolio Criteria as a legally binding commitment has been made. The investor into the fund monitors the portfolio, and at the end of the investment /disbursement period, a final portfolio-wide confirms that the 30% portfolio commitment was met.



Example: An investor or fund has committed to being 2X aligned at exit. However, if an investor exits the fund earlier, the Portfolio Criteria must be met at the time of their exit as this requirement is included in the legal agreements of the fund.



Example: A fund considers itself to be 2X aligned because its early investments meet the 2X Criteria. They do not formalise requirement in legal agreements or use of an MOU. Since the 2X assessment is not undertaken at the end of the investment/disbursement period, the fund risks not meeting the Criteria at origination. It is not considered to be 2X aligned

8. How should double intermediated investments be assessed in funds?

Double intermediated investments are less common, but examples can include:

- An investor investing into a fund of funds, or
- An investor investing into a fund that invests in FIs

In such cases, the ability to monitor and set requirements for the end-beneficiaries of the finance may be limited. As such, simplified application of the 2X Criteria is acceptable. The rules are provided below and are presented from the view of the initial investor. A summary of this is provided on in the [2X Critical Pathways](#).

Investments into a fund of funds

- The investee fund must meet Basic 2X ESG, Governance and Accountability and one Direct Criteria at the fund manager level.
- The intermediated fund must meet the Portfolio Criteria. No Criteria at the fund manager level is required.
- To meet the Portfolio Criteria, the intermediated fund must meet or commit to meet either 30% at origination or 50% at exit of portfolio companies meeting one 2X Criteria.

Investments into a fund that invests in FIs

- The investee fund must meet Basic 2X ESG, Governance and Accountability and one Direct Criteria.
- The intermediated FI must meet the Portfolio Criteria. No Criteria at the FI level is required.
- To meet the Portfolio Criteria, the intermediated FI must meet or commit to meet 30% of its portfolio meeting one 2X Criteria.

9. How to assess real estate investment platforms?

The structure of real estate transactions often tends to straddle a ‘fund’ and a ‘complex structure’. Investors in real estate are likely to invest in a subsidiary of a listed real estate investment trust (REIT) or holding company, or directly into a real estate fund. In this guidance, these structures are collectively termed a ‘real estate platform’.

Whilst an SPV structured for an infrastructure investment typically has one underlying project, a real estate platform may invest into many assets, similar to a portfolio. As such, an investor should assess the real estate platform by applying the ‘complex structures’ guidance which allows for flexibility in the entity that is assessed and assess the underlying assets by applying the ‘portfolio’ guidance for funds.

- Real estate platform/fund: Flexibility to assess at the sponsor or SPV levels which is equivalent to assessing at the ‘fund manager’ level. See the [Complex Structures](#) chapter for guidance on how to select which level is most appropriate to assess, noting that it may depend on the specific structure and scenario.
- The assets are equivalent to a ‘portfolio’. Unlike typical private equity or venture capital funds, real estate funds tend to have limited influence over the tenants of the assets.

Two scenarios for real estate investment platforms are expected:

- Single asset real estate platform:** If an investor is investing into a single asset real estate platform, then the investment can be evaluated as a company or complex structure (based on the type of transaction).
- Multi-asset real estate platform:** If the real estate platform functions like an investment fund (i.e. channels money to multiple assets), the Sponsor or SPV should be assessed for a Direct Criteria (Criteria 1-5) and additionally the Portfolio Criteria must be assessed. The requirements are:
 - G&A and Basic 2X ESG at either Sponsor or SPV level,
 - Meet one 2X Criteria at the Sponsor or SPV level, and
 - Portfolio Commitment: 30% of assets to meet at least one 2X Criteria at origination or 50% at exit.

9. How to assess real estate investment platforms? (cont.)

Illustrative examples:



Example: An investor provides capital to a SPV which will fund construction of multiple data centres. The SPV will be managed by the REIT's team and will have the same IC as the REIT. All key decisions, including selection of assets will be approved by the REIT's management team.

The investment is 2X aligned based on:

- G&A and Basic 2X ESG are met at the REIT ('Sponsor' level) and is cascaded down to the SPV.
- Meets Ownership Criteria at Sponsor level as the UBO of the REIT are women.
- Commitment to ensure that the construction workers and employees of the assets meet the 2X employment thresholds.

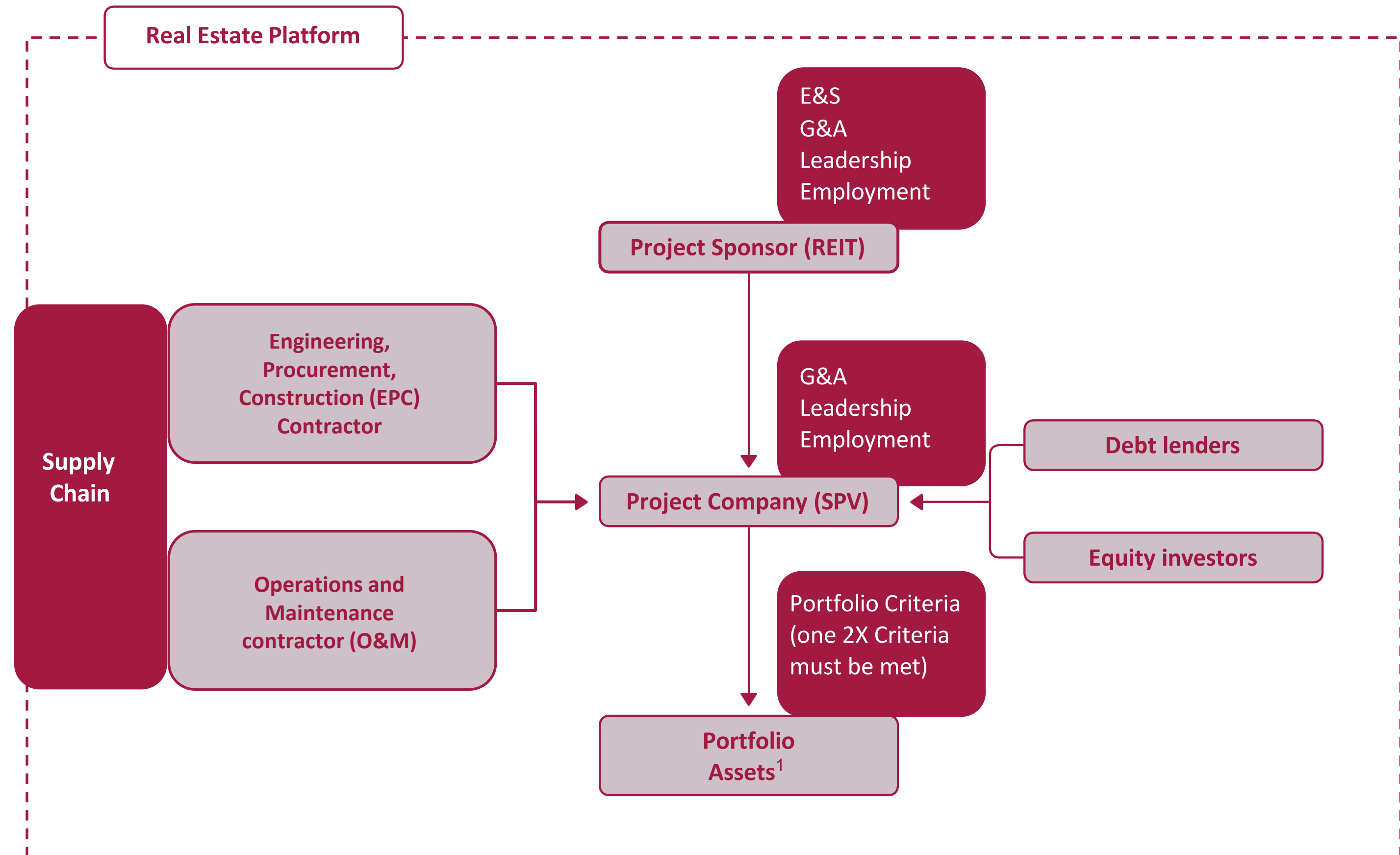


Example: An investor invests into an SPV which is managed and majority owned by a REIT. The SPV will develop greenfield and brownfield retail centers in peri-urban areas. G&A and Basic 2X ESG are met at the REIT (Sponsor level) and are cascaded down to the SPV. Leadership is assessed at the sponsor level and meets the required threshold. As a SPV with multiple underlying assets, it is required that the Portfolio Criteria is assessed. Each asset is considered a 'PortCo'. The SPV commits that 50% of assets will meet one 2X Criteria by exit as per real estate funds guidance.



Example: An investor/FI invests in a holding company 'platform' that will establish a chain of hotel subsidiaries under one brand in various African countries. The platform sponsor meets the Leadership Criteria and commits to meet the Employment Criteria across the chain. This commitment is codified in the investment agreement and periodically monitored by the investor. The investment is 2X aligned.

9. How to assess real estate investment platforms? (cont.)



¹ Assets can refer to any social or residential infrastructure such as hospitals, warehouses, malls, housing etc.

Complex Structures and Additional Financial Instruments

Complex Structures

Updated September 2025



Complex Structures: Assessing alignment

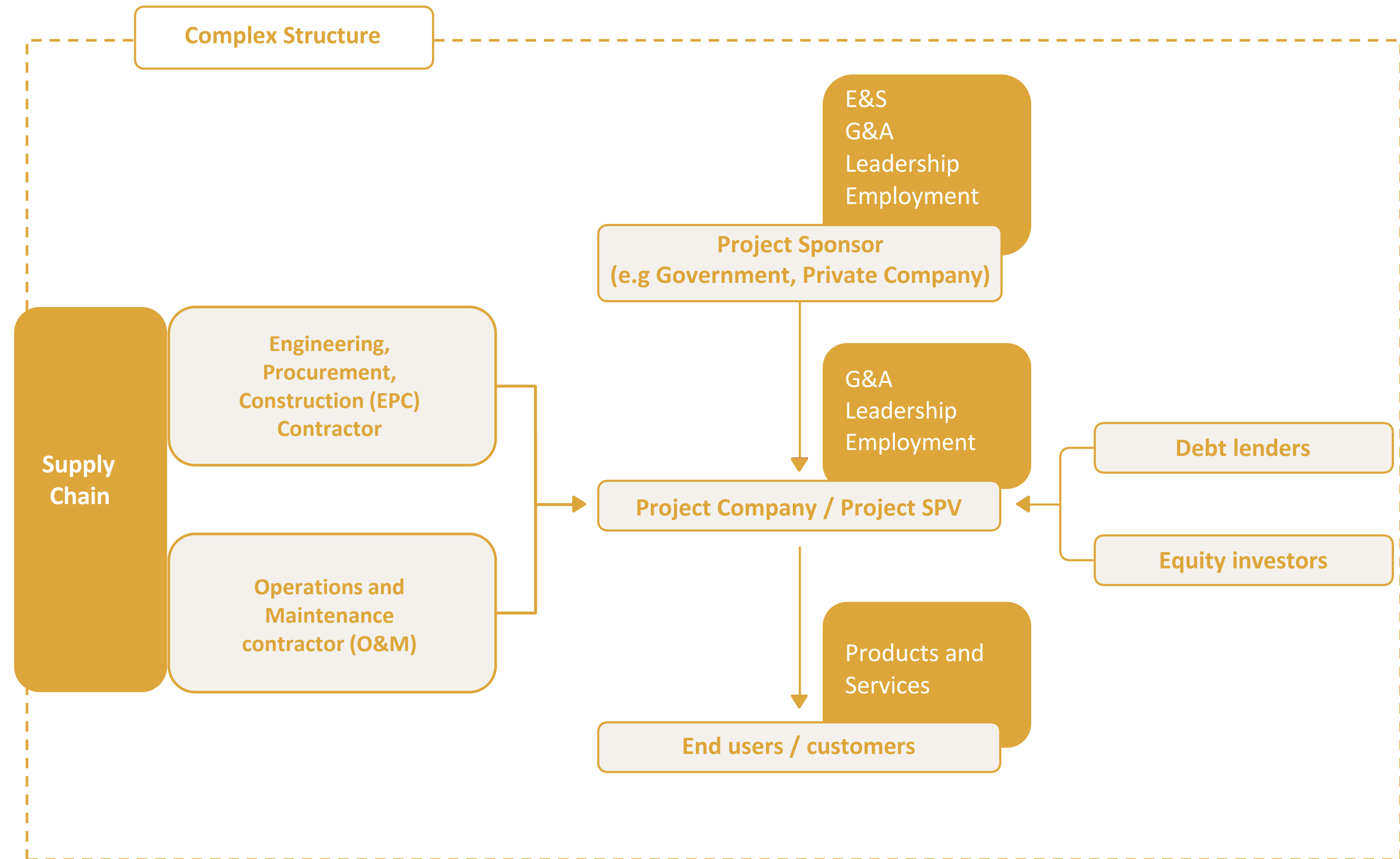
Investors often invest through intermediated structures that can make assessing 2X alignment challenging. These structures can include special purpose vehicles (SPVs), holding companies, project companies, trade finance, single asset real estate platforms, and others (for multi-asset real estate platforms including REITS, see [Portfolio FAQ 8](#)). These structures combined with additional related entities, including engineering, procurement and construction contractors, operations and management contracts, investors and lenders, are collectively termed 'Complex Structures' for 2X Criteria purposes. Complex Structures can arise in any sector and are commonly seen in infrastructure investments into greenfield projects where SPVs are set up primarily for financial structuring purposes. Other common sectors include for investments in forestry and land-use and real estate.

In such cases, assessing alignment to the 2X Criteria can be challenging, especially where the project company or project SPV within the Complex Structure is small and temporarily or thinly staffed. This chapter provides additional guidance on how to assess Complex Structures for 2X Criteria alignment.

The next slide illustrates a typical complex structure. Note, however, that these structures can vary based on sector, geography and transaction. Investors should use their discretion when using this guidance.

The key principle is the flexibility to assess the 2X Criteria at different levels, according to the context. Assessment may be undertaken at the sponsor, project SPV and/or contractor levels, depending on factors such as relevance and availability of data at the point of the 2X assessment.

Complex Structures: Assessing alignment





Complex Structures: Assessing alignment

2X Criteria for Complex Structures

Investments into Complex Structures are required to meet the following requirements to be 2X aligned:

- **Basic 2X ESG met** or a commitment to meet this within 2 years of signing,
- **Governance and Accountability** requirements met or a commitments to meet this within 2 years of signing, and
- **Two 2X Criteria must be met**, or one 2X Criteria plus a time-bound commitment to meeting a second 2X Criteria.

There is room for investors to exercise judgment as to what levels different 2X Criteria are assessed and what levels are most relevant, applicable and material to the transaction in question.



Complex Structures: Basic 2X ESG and G&A requirements

The following pages provide more detailed guidance on how to select the most applicable assessment level for each 2X Criteria.

Basic 2X ESG requirements

- Basic 2X ESG must be met, commitments to meet this within 2 years via an Action Plan are permitted.
- Assessment of Basic 2X ESG should be made at the level of the specific project SPV or project company within a Complex Structure. It is expected that the ESG practices of the sponsor are cascaded down to the project level.
- The assessment should determine which entities are responsible for managing environmental and social risks, especially as it relates to safeguarding at the project level, and any possible exposure to environmental and social issues in the supply chain through an EPC contractor.

Governance & Accountability requirements

- Governance and Accountability requirements must be met, or a commitment made to meet them within 2 years.
- For most cases, this should be assessed at the sponsor level, with consideration given to how Governance and Accountability measures are cascaded from a 'corporate' level down to the specific entities within the Complex Structure, if it is possible and relevant to do.
- In the case of multiple sponsors, the lead sponsor with the largest share in the project SPV or project company should be the entity assessed for Governance and Accountability.
- In some cases of smaller sponsors, Governance and Accountability measures may not be in place. It may make most sense for commitments to meet Governance and Accountability requirements to be developed 'bottom-up' from the specific project SPV or project company.

Complex Structures: Entrepreneurship & Ownership

Entrepreneurship & Ownership

The Entrepreneurship and Ownership Criteria is typically not a relevant 2X Criteria in these transactions.

As debt or equity investments are typically channelled into a project SPV or project company within the Complex Structure that are being set up for financial structuring reasons, there is no ‘Founder or Entrepreneur’ in the spirit of what is intended by this Criteria, and ownership will typically be held by institutional owners/investors as well as Sponsor companies themselves (as opposed to specific individuals).

In cases where Entrepreneurship and Ownership of the project SPV or project company can be traced to individuals, it is possible to be 2X aligned through this Criteria.

Complex Structures: Leadership and Employment

Leadership

The Leadership Criteria should be assessed based on investor discretion to determine women's representation among relevant key decision makers.

In some cases, key decision makers of a project may be most relevant to assess at the level of the sponsor. In such cases, consideration should be given to the relevant country used in the 2X Criteria Threshold Tool, as these decision makers may not be located in the country of the project itself. Further guidance on how to assess the Leadership Criteria in multiple geographies is available in [FAQ 5](#).

In other cases, the relevant entity within the project SPV or project company may have their own independent management team and/or independent board. In this scenario, women's representation can be assessed within these decision-making bodies, assuming they are the key decision-makers. In instances where project SPV or project company board are not material or significant to the decisions of the project, investor discretion may be used to assess the board of the project sponsor.

Employment

The Employment Criteria should be assessed based on investor discretion to determine women's representation among relevant 'employees'. This decision should take into account the size of the project SPV or project company, and where the majority of the employees who work on the project are based. For small SPVs with few full-time employees, it may not be appropriate to count the employees officially employed or seconded to the SPV.

In cases of large sponsors, counting all employees is not reflective of the individuals serving to operationalise the use of investor proceeds. It may be most relevant to count employees who are 'seconded' from these sponsors to work for project SPV or project company. Quality employment indicators, may, however, be assessed at sponsor level.

In other cases, some the project SPV or project company may employ or contract individuals that are independent of the sponsor. In such cases, it is relevant to understand women's representation among these individuals and the quality employment indicators at this same level to support the gender inclusion of these individuals.

Contactors can be included in the employee count, if they are material to the operation of the project. See the [Employment Chapter](#) for more information on assessing contractors.

Complex Structures: Supply Chain and Products and Services

Supply chain

The Supply Chain Criteria is typically assessed at the project SPV or project company level, as the decision-making entity over the supply chain used. In infrastructure projects, supply chain is often contractual based on different phases, e.g. Design, Construction or Operation and Maintenance (O&M). Investors often have limited leverage over the Engineering, Procurement and Construction (EPC) and/or O&M management which is typically selected by project sponsors, but it is at this EPC level of contracting where the Supply Chain Criteria and potential gender-inclusive approaches to procurement may be most relevant, e.g. commitments to work with a target number of woman-owned and -led subcontractors during the construction phase of a project. As such, in most cases it is most appropriate to assess the Supply Chain Criteria at the project SPV or project company.

Products and Services

To assess the Products and Services Criteria within a Complex Structure, it is recommended to refer to Products and Services [FAQ 7-9](#) in the first instance. This covers Complex Structures that relate to infrastructure projects.

It is recognised that this Criteria will not apply to all types of Complex Structures, or even all types of infrastructure transactions. For example, for utility-scale infrastructure projects where it is hard to robustly identify and quantify end beneficiaries, or evidence the expected enhanced wellbeing of women beneficiaries, this Criteria will not be applicable.

Commitments

Commitments to meet the Governance and Accountability and Basic 2X requirements or the 2X Criteria should be made by the entity that has the control, influence or decision-making authority on the particular 2X Criteria. This may be the sponsor, who would cascade the commitment to the SPV, the EPC contractor or the O&M contractor, or it may be the project SPV or project company, as the entity receiving the investment.

Complex Structures: Frequently Asked Questions

Click on the questions below to read the detailed guidance.

1 How to assess funds that invest in complex structures?

2 How to assess complex structures and sponsors across different geographies?

3 How to assess real estate transactions?

1. How to assess funds that invest in complex structures?

Funds investing into complex structures are often funds focusing on investments into greenfield infrastructure, forestry, or real estate.

For funds where at least 50% of the portfolio comprises investments into 'complex structures', a lower threshold of 30% of investments meeting one 2X Criteria by exit can be applied.

It is recognised that at the time of making a commitment to be 2X aligned, the composition of the fund portfolio may not be known, meaning the actual percentage of complex structure investments also may not be known. In these cases, the expected or anticipated level should be used, which should be based on and evidenced by the fund's investment strategy and/or the fund's policies and procedures. Previous fund vintages may also be used as an indicator, if relevant.

There may be a range of fund strategies: some funds may focus only or predominantly on complex structure investments, and some may be mixed, with investments into companies alongside investments into complex structures. For a mixed portfolio, if 50% of the portfolio comprises investments into complex structures, the lower threshold of 30% by exit may apply.

2. How to assess complex structures and sponsors across different geographies?

Sponsors and the underlying project SPV or project company may be registered and/or operate in different countries. Selecting the appropriate country for the 2X Criteria thresholds for the Leadership and Employment Criteria is important.

In such cases, investors should use their discretion to determine the country that is most appropriate in the specific context. For example:

For the Leadership Criteria, if the majority of the decision makers for the particular project SPV or project company are at the sponsor level, and it is appropriate to assess leadership at the sponsor level, the country should be selected based on where the majority of these decision makers are located. This may be different to the location country of the project itself. It is important to guard against global leadership figures being used if those global leaders are not active decision makers on the particular project/investment under assessment. Often, leaders or management team members that are based in the region of the project are the primary decision makers.

In other cases, project SPVs or project companies may have their own independent management teams and/or independent boards. The threshold should be determined based on where these management teams/boards are located. This may be in the project country.

For the Employment Criteria, if assessing at the sponsor level, it is appropriate to select the country threshold where the majority of relevant employees are located. If assessing at the project company/project SPV level, in cases where the project SPV or project company employs individuals, which may include individuals who are independent of the sponsor, it is important to select the country where the majority of these individuals are located. This is often the country where the project is located.



Example: An infrastructure company is based in Spain and established a SPV to develop energy infrastructure in Peru. The majority of the senior decision makers sit within the sponsor in Spain. Women's representation among relevant decision makers exceeds 40%, the requirement for energy and power companies in Spain. The employees working directly on the energy project are based in Peru. Women's representation among the SPV's employees exceeds the 25% threshold for Peru



3. How to assess real estate transactions?

The structure of real estate transactions often tends to straddle a fund and a Complex Structure. Guidance on how to assess real estate transactions is provided in the [Portfolio Chapter FAQ 9](#).

Additional Financial Instruments:

Guaranties and Risk Sharing
Facilities

Updated September 2025



Guaranties and risk sharing facilities

Guaranties and **risk sharing facilities** (collectively referred to hereafter as 'guaranties') are eligible to be 2X aligned. Guaranties are used for a broad range of purposes; for the 2X Criteria we focus on guaranties used to reduce or share the risk of loss on a specific transaction, project or portfolio of assets. These types of guaranties may be provided to a company, financial institution, fund or other entity. For guaranties provided to an FI, the guaranty may cover a portfolio of SME loans, trade loans, or a bond.

Guaranties take many forms depending on the transaction structure and context. For the purposes of applying the 2X Criteria to investments and guaranties, we focus on **five scenarios**:

1. A guaranty provided to any entity or project company for a specific transaction or project
2. A guaranty provided to a financial institution (the Guaranty Holder) to guaranty a defined portfolio
3. A guaranty provided to a financial institution (the Guaranty Holder) to guaranty an undefined portfolio or a portfolio that cannot be assessed for 2X alignment at the time of the guaranty provision
4. A guaranty is provided to a third-party investor (Guaranty Holder) to cover the investor's debt or equity investment in a financial institution. Use of proceeds from the debt/equity investment support lending to a defined or undefined portfolio
5. The provision of a guaranty alongside debt to a financial institution (the Guaranty Holder) for a defined portfolio

The following slides provide an overview of each scenario and the approach to apply the 2X Criteria, followed by a schematic of the structure of each scenario.

Generally, we refer to financial institutions in the scenario guidance, however a similar approach can be applied to financial intermediaries more broadly, including funds.

Guaranties and risk sharing facilities

Scenario 1: A guaranty provided to any entity or project company for a specific transaction or project

This relates to guaranty coverage for a real sector project and may include a project company, similar to a SPV. If the guaranty is applied to a specific project which can be assessed for 2X alignment, the guaranty can be considered 2X aligned if the Guaranty Holder meets Governance and Accountability, Basic 2X ESG, one Direct 2X Criteria and the underlying guaranteed project is 2X aligned. The [Complex Structures](#) guidance may be useful in determining whether the project is 2X aligned.

Scenario 2: A guaranty provided to a financial institution (the Guaranty Holder) to guaranty a defined portfolio

This scenario applies when a guaranteed portfolio or the characteristics of a guaranteed portfolio can be defined at the time of the investment. This may include debt portfolios, directed lending lines, or trade loans.

Under this scenario, the Guaranty Holder, i.e. the financial institution that receives the guaranty provided by the Guaranty Provider should meet:

- a. Basic 2X ESG requirements,
- b. Governance and Accountability requirements,
- c. one Direct 2X Criteria, and
- d. the portfolio of assets covered by the guaranty should meet the Portfolio Criteria (i.e. at least 30% of the potential portfolio meets one 2X Criteria).

It is not required that the claims payment of the guaranty are tracked in relation to the 2X alignment of the entities.

Under the 2X Challenge, this transaction will be termed as a qualification of a 'Guaranty Facility' and 100% of the value of the coverage of the guaranty provision will be counted towards the 2X Challenge target.

Under the 2X Challenge, if the Guaranty Holder does not meet or commit to meet a Direct 2X Criteria at the institutional level and/or the Governance and Accountability requirements, but the guaranteed portfolio of assets do meet the Portfolio Criteria, this is termed as the qualification of a 'Guaranty Portfolio' and is counted similarly to a directed lending line, where the percentage of the coverage of entities meeting one 2X Criteria is counted i.e. the value of the full guaranty is scaled down by the percentage of entities meeting one 2X Criteria (minimum 30%).

Guaranties and risk sharing facilities

Scenario 3: A guaranty provided to a financial institution (the Guaranty Holder) to guaranty an undefined portfolio or a portfolio that cannot be assessed for 2X alignment at the time of the guaranteed transaction

In some cases, a guaranty provider will provide a guaranty to a Guaranty Holder (typically a financial institution) for a larger, less easily defined portfolio, such as a bank's SME loan book, a FI's balance sheet, or a trade finance programme. In these cases, the portfolio will evolve, and it is difficult to define at any point in time. This makes it difficult to assess its alignment with the Portfolio Criteria. In this scenario, there are two options to 2X alignment -

3.1 Assess whether the portfolio has been tailored to encourage lending to women or 2X-qualifying businesses. A guaranteed portfolio that cannot be clearly defined or assessed for 2X alignment at the time of the transaction may still be 2X aligned if it has in place financial incentives or tailored its products to support 2X aligned entities. The financial incentives used may vary, but could include:

- providing a lower cost of capital to 2X aligned entities,
- providing a higher risk limit for 2X aligned entities,
- providing a pricing discount or lower cost of capital to 2X aligned businesses, or
- other incentives or schemes that encourage lending to 2X aligned entities.¹

3.2 Assess the actual guaranteed portfolio at the time of reporting. The portfolio may be considered 2X aligned if, in annual or biennial reporting, the financial intermediary demonstrates that at least 30% of the actual guaranteed portfolio are entities that meet one 2X Criteria. To ensure that adequate reporting, it is best practice that systems to provide gender-disaggregated data are established at the beginning of the investment/guaranty and/or included in the legal documentation.

Note: for 2X Challenge investors, this qualification would occur at the time of the reporting, rather than the time of the investment.

¹ If the tailoring or incentives are legally documented, the portfolio threshold counts as "met" not a "commitment", allowing the Direct Criteria to be a commitment.

Guaranties and risk sharing facilities

Scenario 4: Guaranty covers a third-party investor's (Guaranty Holder) debt or equity in a financial institution. Use of proceeds from the debt/equity investment support lending to a defined or undefined portfolio.

Under this scenario, a Guarantor provides a guaranty to a third-party investor, who provides debt or equity to a financial institution. Often this is undertaken to reduce the risk borne by the third-party investor making the loan to the financial institution. The guidance under Scenario 2 and 3 can be applied in this instance. This means that the third-party investor (Guaranty Holder) must meet Basic 2X ESG and Governance and Accountability requirements, one Direct 2X Criteria, and the portfolio of loans originated using the proceeds from the third-party investment should also meet the Portfolio Criteria (i.e. at least 30% of the potential portfolio should meet one 2X Criteria).

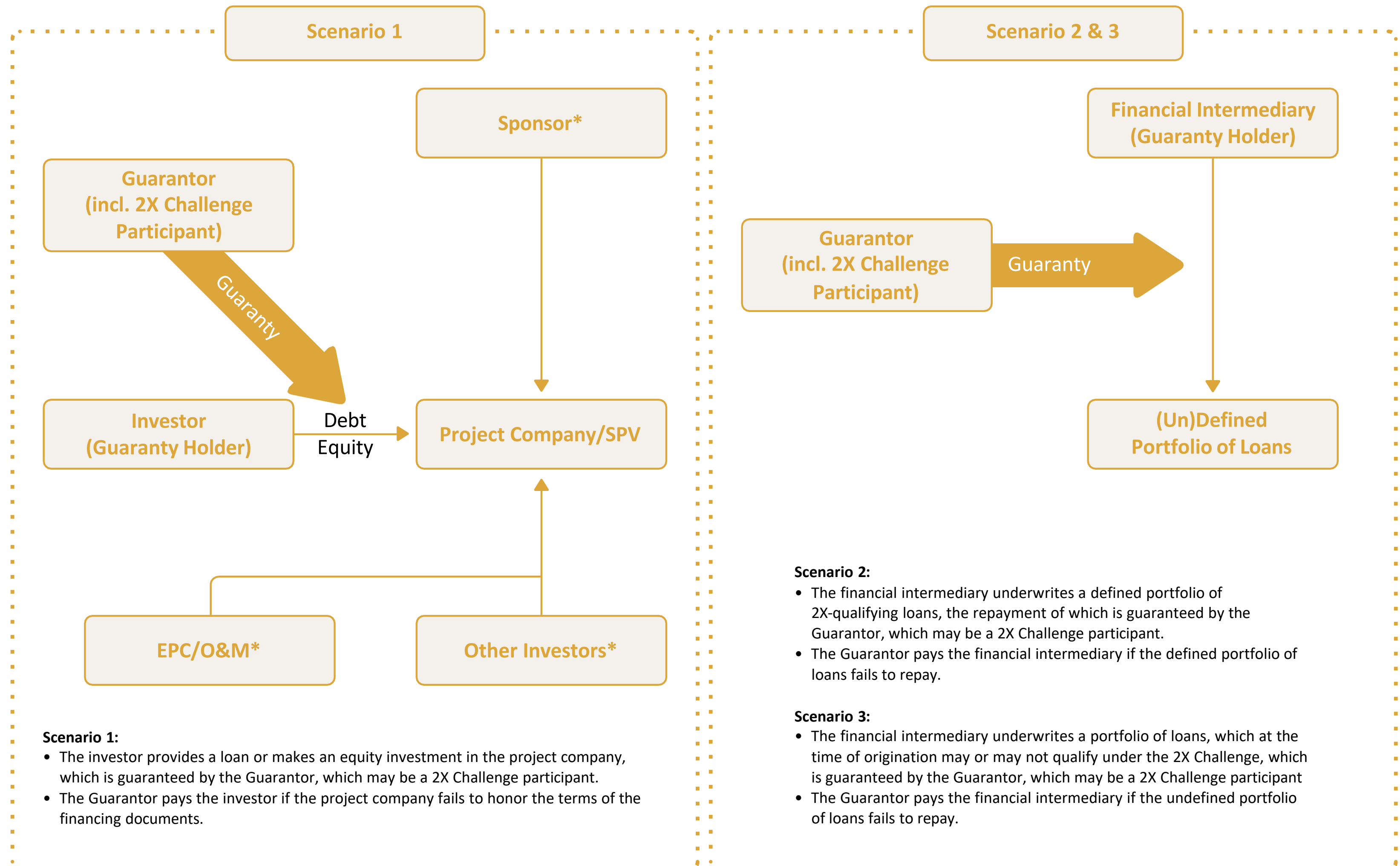
Scenario 5: The provision of a guaranty alongside debt to a Financial institution (the Guaranty Holder) for a defined portfolio

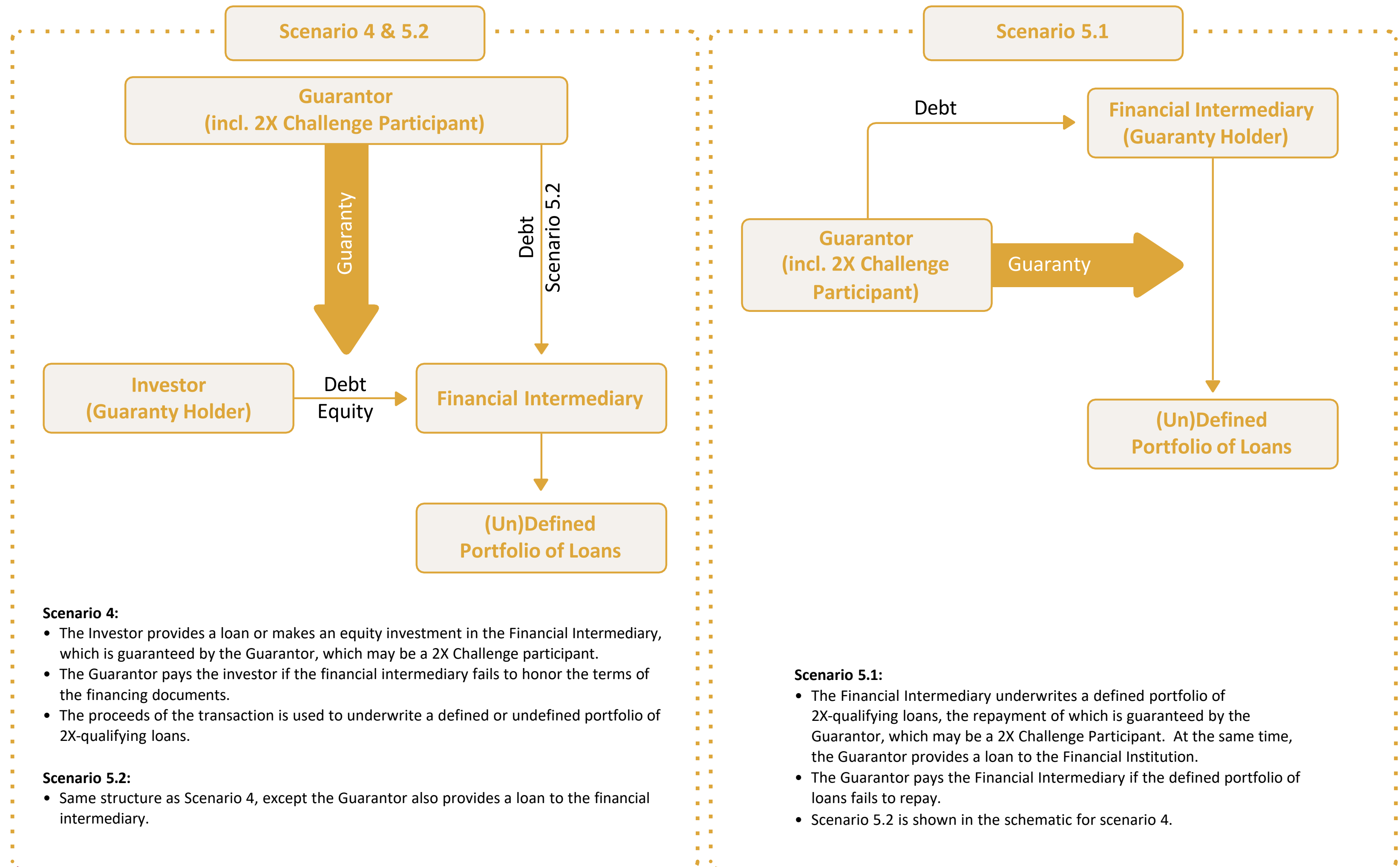
In some cases, an entity may provide debt or a directed lending line to a financial institution **and** provide a guaranty on that same portfolio. This can be to guaranty:

5.1 The downstream loans of the financial institution (the Guaranty Holder), which is deploying the debt or directed lending line. In such cases, it is possible that both the debt and the guaranty is 2X aligned. In these cases, they will both be 2X aligned, and they may both be qualified under the 2X Challenge.¹

5.2 A loan from a third-party lender (the Guaranty Holder) into the financial institution receiving the debt. This is similar to Scenario 4, the addition being that the guarantor also makes a loan to the financial intermediary. In this scenario, the guaranty can be 2X aligned if the co-investor/co-guarantor receiving the guaranty and the underlying debt portfolio is 2X aligned. They may be qualified under the 2X Challenge.¹

¹ While both are eligible to be qualified under the 2X Challenge, the volume counted towards the 2X Challenge targets would be reduced to avoid any double counting these overlapping transactions.





Guaranties and risk sharing facilities

Illustrative examples:



Example: A guaranty facility located in the USA provides a guaranty to a financial institution in Ecuador that on-lends to a targeted portfolio of MSMEs. The guaranty facility meets the Leadership Criteria, as over 40% of the senior leaders are women. The FI that is guaranteed collects data on the percentage of women led- and women-owned MSMEs in its portfolio and reports this to the guaranty facility. 40% of the guaranteed portfolio meet either the Ownership or Leadership Criteria. This falls under scenario 2 and the guaranty facility is 2X aligned.



Example: An investor participates in a risk sharing facility provided by a FI in France, where the facility is provided to the entire loan book of a bank in Senegal. The loan book is too large to undertake a 2X assessment and it is not possible to determine the 2X alignment of the portfolio at the time of the investment. The bank provides annual reporting to the risk sharing facility regarding the entities in the portfolio and the reporting includes whether the entities are women-owned or women-led. At this stage, it is possible to determine the 2X alignment of the facility. This falls under scenario 3.2 and it can be retrospectively qualified under the 2X Challenge.

Additional Financial Instruments: Bonds

Updated September 2025



Bonds: Assessing alignment

Investments into bonds are eligible to be 2X aligned if both the **bond issuer** and the **bond use of proceeds** meet the requirements outlined below. This covers general vanilla bonds, sustainable bonds, social bonds or gender bonds.

1. Bond Issuer Requirements

The **bond issuer** is the organisation that is issuing the bond. This is often a financial institution but may also be a corporate or municipality. The issuer is required to meet Basic 2X ESG and the Governance and Accountability requirements, plus meet one Direct 2X Criteria at the bond issuer level (Criteria 1-5). A commitment to meet a Direct Criteria at the institutional level is not possible for bond issuers.

Under the 2X Challenge, if both the bond issuer and bond use of proceeds meet the requirements outlined above, this will be termed as a qualification of a 'Bond' and 100% of this investment into the bond will be counted. If the bond issuer does not meet a Direct 2X Criteria at the institutional level, but the bond use of proceeds does meet the Portfolio Criteria as per the guidance below, this is termed as the qualification of a 'Bond Portfolio' and is counted similarly to a Directed Lending Line, where the percentage of the coverage of 2X aligned entities is counted (minimum 30%).

2. Use of Proceeds Requirements

2.1 Bonds whose proceeds will support a portfolio of loans or investments – Typically issued by a FI

The **bond use of proceeds** is assessed like a portfolio of loans and should meet the Portfolio Criteria requirements - at least 30% of the bond use of proceeds meeting one 2X Criteria if the portfolio comprises companies, or 50% use of proceeds towards women, if the portfolio comprises individuals. (See next page for additional detail.)

Bonds: Assessing alignment

There are **three scenarios** when bond proceeds will support a portfolio of loans or investments. For each, the key is assessing the legally binding documents that govern the selection of the underlying portfolio, such as the Bond Framework.

1. **There is a gender objective in the bond framework** and it stipulates at least 30% use of proceeds will be for this gender objective. The gender objective must align to the 2X Criteria definitions to be considered to meet the one 2X Criteria requirement. Under the 2X Challenge, this can be qualified at the time of the investment into the bond.
2. **There is a gender objective in the bond framework**, but there is **no defined percentage** for the use of proceeds that will meet this gender objective. The gender objective must align to the 2X Criteria definitions to be considered to meet the 2X Criteria requirement. Under the 2X Challenge, this can be qualified at the time of the post issuance reporting/reporting to the investor, when the percentage of the use of proceeds meeting the gender objective are known and are determined to be at least 30%.
3. **There is no gender objective in the bond framework**, but there is an existing bond portfolio that is considered 2X aligned, i.e. the underlying recipients of the bond proceeds are known, and at least 30% of them meet at least one 2X Criteria. Under the 2X Challenge, this can be qualified at the time of the investment into the bond, if the investor is satisfied that there will be no change of strategy in the future that would reduce the use of proceeds allocated to 2X aligned definitions.

It is important that the definition of the gender objective used in the bond framework aligns with the 2X Criteria definition. Commonly, the gender objective may be to lend to women-led or women-owned businesses, or for business serving women through their products and services. In these cases, it is important that definitions and the thresholds used in those definitions align.



Bonds: Assessing alignment

2.2 Single Asset Bonds – Typically issued by a corporate or municipality

For corporate bonds, where the use of proceeds may be directed towards one or more investments or projects, rather than a portfolio of underlying financial investments, the percentage of the use of proceeds that meet a 2X aligned objective can be counted under the 2X Challenge (minimum 30%). A 2X aligned objective is one which aligns to the 2X Criteria, such as to increase women's access to services, resources or infrastructure, or to increase women's participation as entrepreneurs, leaders and employees. Those seeking to qualify investments into corporate bonds under the 2X Challenge, where it is more difficult to ascertain 2X alignment of the underlying bond use of proceeds, may reach out to the 2X Challenge team for a case-by-case discussion.

Guidance for Bond Issuers who are 2X Challenge participating investors

For issuers of bonds who are seeking that their bond issuances are 2X aligned, the bond may be 2X aligned if it meets the requirements set out above, however the issuer cannot qualify the bond under the 2X Challenge. Instead, if the issuer is a 2X Challenge participating investor, they may qualify the underlying investments that are within the bond, on an individual basis.

Appendix

Updated September 2025



About the 2X Challenge

The 2X Challenge (2024-2027) will unlock an unprecedented multibillion-dollar target over a three-year period and welcome the full spectrum of investors and capital providers.

The 2X Challenge has played a critical role in building the field of gender lens investing (GLI). Since its launch at the G7 Summit in 2018, the 2X Challenge has mobilised US\$ 33.6 Billion to advance gender equality and women’s economic empowerment.

The [G7 Leaders’ Summit 2024](#) in Italy welcomed the new commitment by Development and Multilateral Finance Institutions to invest at least US\$20 Billion over three years (from 2024-2027) to advance measurable changes and financing directed to women’s empowerment. They also called upon other public and private actors to join the 2X Challenge.

Investments will be made under strengthened 2X Criteria that extends to developed market economies and promotes public reporting of finance for women. Given the urgency of climate action, investments at the nexus of gender and climate finance will be encouraged.

Move billions with us. Join the 2X Challenge.



2X Criteria Update in 2024

Key developments from the previous 2X Criteria developed in 2018

In 2023, 2X Global engaged in a global co-creation process to update the 2X Criteria which included a review of existing gender impact monitoring and management frameworks, literature on GLI evidence base looking closely at 2X Challenge investments from 2018 to 2023, global gender data benchmarking, targeted surveys, co-creation workshops and expert interviews including 2X Global members and a diverse set of stakeholders across global markets, collective reflection from the 2X Challenge Working Group and a public comment period.

From these co-creation sessions, the following important updates to the [2X Criteria](#) were made in January 2024:

- Requiring two 2X Criteria to be met in order to be 2X aligned, or one 2X Criteria plus a time-bound commitment to meeting a second,
- Developing guidelines for basic 2X ESG screening that assesses an entity’s fundamental environmental and social standards including exclusion list adherence, commitment to respecting human rights and basic GBVH safeguarding, and considers the principles of the 2X Criteria – Basic 2X ESG,
- Codifying intentionality as Governance and Accountability requirements for qualification,
- Explicit mention of Ownership under Criteria 1: Entrepreneurship and Ownership,
- Sharpening of the quality indicator under Criteria 3: Employment,
- Elevating Supply Chain as its own Criteria,
- Shifting the language to Products and Services for Criteria 5 (previously Consumption),
- Shifting framing of “Indirect Criteria” to Portfolio, referencing the portfolio of funds and/or financial institutions, and
- Including country and sector-specific variable thresholds for Leadership and Employment Criteria, which are benchmarked on the best available data on current market realities.

Qualification under the [2X Criteria](#) now requires all investees to meet the minimum requirements for Basic 2X ESG, Governance & Accountability and at least 1 Criteria, and provide a formal, time-bound commitment to meeting another criterion.

The following slide illustrates the changes that were made.

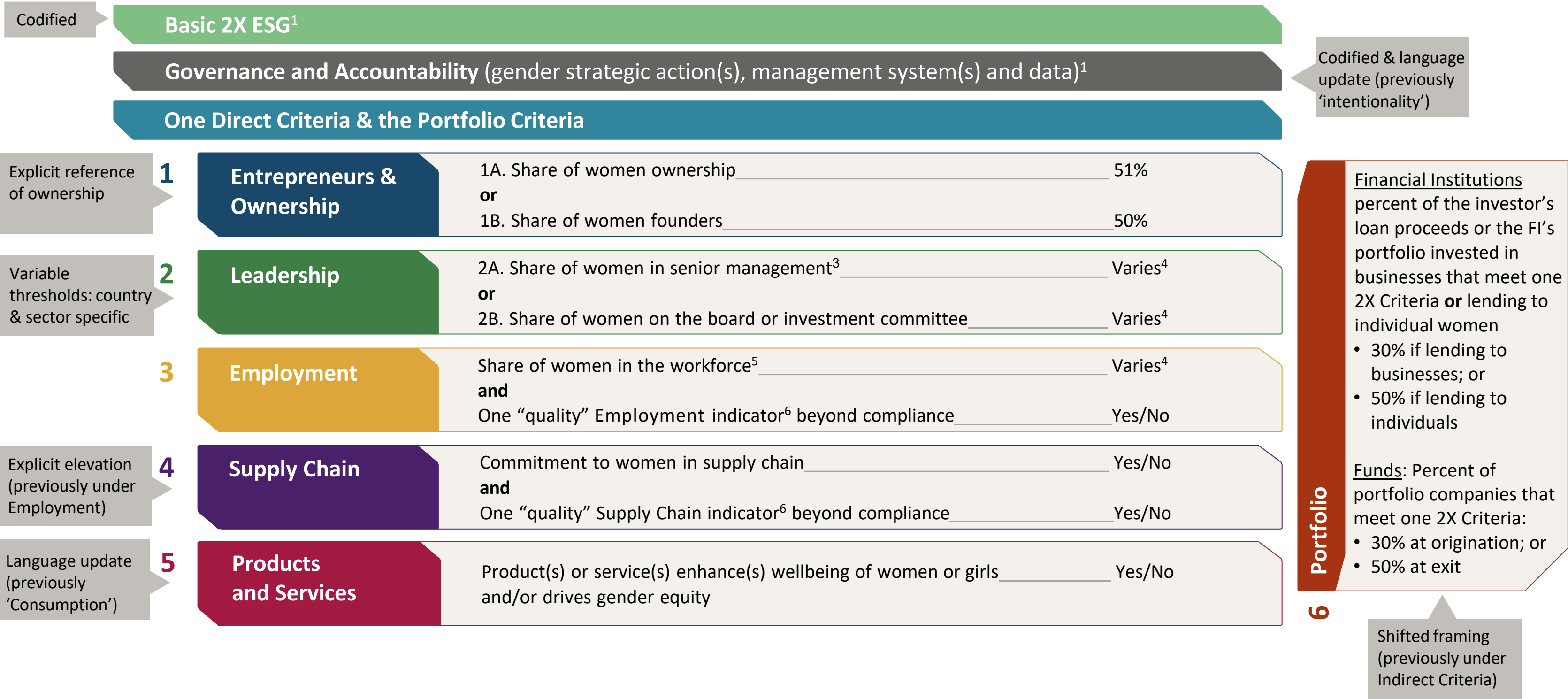


2X Criteria Update in 2024

Key developments and changes from the previous 2X Criteria developed in 2018

Investments align with the 2X Criteria if they meet Basic 2X ESG (including safeguarding) and minimum Governance & Accountability requirements,¹ and meet two 2X Criteria, or meet one 2X Criteria and make a time-bound commitment to meeting a second 2X Criteria. Thresholds are country and sector specific and available [here](#).

Requirement to meet two 2X Criteria or make a time-bound commitment to second



¹ In exceptional cases, where the investee does not meet this requirement yet, the investor can agree on a formal timebound action item to meet this within 2 years, with follow-up/monitoring from the investor.

² For direct investments, thresholds vary based on the sector and country. For FIs, simplified thresholds will apply at Portfolio level.

³ If meeting the Employment Criteria, this requires no dissonance with the Leadership Criteria, there should be at least 10% women's representation in leadership. See Employment FAQ 3 for more guidance.

⁴ Includes diversity practices, pay equity, care support, health and wellbeing and GBVH (further details provided).

⁵ For funds and FIs, Criteria (or target) need to be met at both the institutional and portfolio level.

Contact us

2XChallenge@2XGlobal.org



[linkedin.com/company/2X-Global](https://www.linkedin.com/company/2X-Global)



www.2XGlobal.org

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